

Definitions of "land" and "disposal" [¶7-025]

[¶7-025]

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There is some guidance on what is land and what is a disposal.

Land

"Land" as defined in s [YA 1](#) includes any estate or interest and any option to acquire land, but does not include a mortgage. Consequently, the land disposal provisions potentially have application to:

- # a registered proprietor
- # a purchaser under an unconditional contract for sale who assigns that interest: see *Mills v C of IR* (1985) 7 NZTC 5,025
- # the holder of an option
- # the holder of an interest in a time share, and
- # a lessee.

The land disposal provisions apply to the disposal of parts of land, the whole of the land and land disposed together with other land.

Buildings and other structures attached to land are classified under the general law as fixtures that are part of the land to which they are attached. See further at [¶13-014](#).

Disposal

In s [YA 1](#), a disposal of land is defined to include:

- # a compulsory acquisition under a statute by the Crown, a local authority or a public authority, and
- # a mortgagee's disposal of land following default by the mortgagor.

The most common form of a disposal of land is likely to be its sale. An exchange of assets may be classified as a sale. See *Tasman Forestry Ltd v C of IR* (1999) 19 NZTC 15,147 (CA).

Interpretation statement [IS 22/03](#) "Income tax – Application of the land sale rules to co-ownership changes and changes of trustees" explains when the land taxing provision will apply when there is a change in co-ownership and considers the meaning of disposal for the purposes of land sale transactions. See [¶7-300](#) for detailed discussion.

Law: IT07 ss [CB 23B](#), [YA 1](#) ("dispose", "land")

Last reviewed on 31 December 2025

Purpose or intention of disposal of land [¶7-045]

[¶7-045]

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Income includes an amount derived from the sale of land if the land was acquired for one or more purposes or intentions that included the purpose or intention of disposal.

If land is bought with the intention of retaining some and selling a part (eg to finance the purchase), the sale of the part gives rise to a taxable situation. For this rule to apply, it appears that the purpose or intention of resale must be definitive in some way, ie the purpose or intention of selling the land must exist at the time the land was acquired. However, the purpose or intention of selling does not have to be the dominant purpose or intention for acquiring the land for the profit to be taxable. See *Morrow v C of IR* (1989) 11 NZTC 6,053 and Case N59 (1991) 13 NZTC 3,457 at 3,462.

When acquisition is without any definitive aim or is merely in the vague and general hope that it would be a good investment, there is no taxable purpose. See *Jurgens & Doyle v C of IR* (1990) 12 NZTC 7,074 and *Anzamco Ltd (in liq) v C of IR* (1983) 6 NZTC 61,522, where the High Court took the view that the purpose of resale provisions did not apply when there is simply a recognition that the land may need to be disposed of at some future date. This is because that recognition does not amount to a speculative purpose or intention.

If land is purchased for a private purpose, it is unlikely that recognition at the time of purchase of an increase in value, which may be able to be captured in the future, has the consequence of an acquisition with the purpose or intention of resale. In Case W23 (2003) 21 NZTC 11,238, a building company purchased a block of bare land for eventual development into a residence for the company's shareholders. The plan was never implemented. After 28 years, the land was sold for development purposes. In the course of finding that the gain on sale was not income, the Taxation Review Authority remarked that the fact that, at the time of purchase, the taxpayer also had it in mind that one day the property might increase in value, and that some of that increase might be available to him in his old age, did not thereby convert the purchase into being one for the purposes of resale. The possibility of an increase in value of residential real estate over a period of years is a commonplace adjunct of most such purchases.

Intention or purpose at time of acquisition

It is the person's purpose or intention at the time of acquisition that is material, ie the person must have reached a decision to sell the land, or a part or interest in the land, at the time of acquisition. If a purpose or intention of disposal has not materialised by that time, the transaction is not caught under this limb. Some fine distinctions can arise under this rule.

Property might be acquired with no particular intention at all, except the vague general hope that it will be a good investment. This does not amount to a purpose of sale. See *G Williams v FC of T* 74 ATC 4237.

However, a conditional purpose of sale, such as the contingency of a rise in value subsequent to acquisition, may amount to a purpose of sale. See *Williams Property Developments Ltd v C of IR* (1980) 4 NZTC 61,537 (CA). A taxpayer's father negotiated the purchase of a property on his son's behalf with the intention that the property should be resold at a profit. However, it was found that the taxpayer's purpose had not crystallised at the date of purchase and the profit on resale was not assessable (*Harkness v C of IR* (1975) 2 NZTC 61,017 (SC)).

It is the intention or purpose of the purchaser and not of any relative or adviser that is to be considered.

The difficulty of rebutting evidence of a purpose of disposal is illustrated by the following case.

Example:

A taxpayer purchased a block of land from an estate. Prior to acquisition the taxpayer had organised for a sketch subdivision plan of the block. After acquisition, some of the land was sold and the remainder was kept for private purposes for some time and then sold. The court held the taxpayer was liable to tax on the profit from the sale of both blocks of land. The taxpayer did not, at the time of acquisition, have a separate intention in respect of the piece of land retained for private purposes that was independent of the

overall intention to dispose of the whole block of land for a gain. The intention to acquire the land for subdivisional purposes was only one of the taxpayer's intentions. See *Morrow v C of IR* (1989) 11 NZTC 6,053.

Determination of intention is largely a question of evidence, ie ascertained on a subjective basis. Should the transaction be challenged by the Commissioner, it is important to have sufficient evidence of intention, such as letters to professional and financial advisers, and bank memoranda, before the date of acquisition and valuation reports from real estate agents or a registered valuer. In the case of a company, a court would consider the company's constitution and all other relevant matters. Indicia of speculation include the period of ownership, the frequency and number of similar transactions, the circumstances responsible for realisation and intention to sell manifested prior to acquisition.

Example:

A trust taxpayer purchased and sold a number of residential properties in the vicinity of a shopping centre over a period of 4 years. During this time there was a change in the zoning of the properties purchased and the taxpayer had made submissions to the local council in support of the rezoning. The Taxation Review Authority held that, on the evidence, the taxpayer became engaged in property speculation or trading as a business, a scheme or undertaking, or with the intention of acquisition for resale. Profits derived from the sale of properties purchased after the date the business commenced were taxable. See *Case V3* (2001) 20 NZTC 10,021.

Example:

A partnership of 2 couples purchased the freehold title to a block of land in the Queenstown area in May 1997. Less than 3 years later the partnership sold the land to an associated entity. The Commissioner assessed the partnership for income tax on the transaction on the basis that the partnership had acquired the land for the purpose or intention of disposal. Initially the Taxation Review Authority decided that the ascertainment of purpose or intention should be answered by looking at the purpose or intention of each individual partner (see *Case Y3* (2007) 23 NZTC 13,028) at the time of acquisition of the interest in land. However, in the appeal, the High Court overturned that decision and decided that the question of purpose or intention should be answered by looking at the partnership's purpose. In this case, despite the fact that certain partners took steps that appeared to demonstrate an intention or purpose of disposal the High Court concluded that "the evidence establishes a tolerably clear picture of these four taxpayers as users of the property they had freeholded to best advantage, rather than being a partnership that acquired the land with a purpose or intention of disposing of it, whether that was a single purpose or one among a number". See *C of IR v Boanas* (2008) 23 NZTC 22,046.

There is no time limit specified between the date of purchase and the date of sale, so no matter how long a piece of land is held, if it was acquired for subsequent resale, the eventual sale proceeds will be included in income. In the case of a taxpayer buying an investment property as part of a superannuation/retirement plan, it is unlikely that the purpose of resale provisions will apply. The land, in this case, has not been acquired for the purpose of resale, even though there may be the possibility that in the future rental income derived may be insufficient and the property may have to be sold to release capital to live off.

A transferee of property under a settlement of relationship property will acquire the intention of the transferor ([¶7-440](#)).

There are exclusions from the purpose of resale provisions for certain residential and business premises. See further at [¶7-211](#) and [¶7-250](#), respectively.

QWBA [QB 25/08](#) "When is land acquired for a purpose or with an intention of disposal so that the amount derived from the sale is income?" discusses when s [CB 6](#) will apply, providing a number of examples to illustrate this. It also discusses the relationship between s [CB 6](#) and the 2-year "bright-line" test in s [CB 6A](#) and emphasises that the 2-year bright-line test can only apply if none of ss [CB 6](#) to [CB 12](#) apply ([¶7-050](#)).

For a discussion of the timing of the acquisition of land, see [¶7-047](#).

Law: IT07 s [CB 6](#)

Last reviewed on 31 December 2025

Date of acquisition of land [¶7-047]

[¶7-047]

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Section [CB 15B](#) provides the date of acquisition of an estate, interest or option that is land is the date that begins a period in which the person has an estate or interest in, or an option to acquire, the land. Practically, this will generally be the date that a binding agreement is entered into or an option to acquire that land is acquired. The rule applies whether the land is acquired alone or jointly or in common with another person. Before 1 July 2024, s [CB 15B](#) expressly stated that this section did not apply in relation to the date of acquisition for the purposes of the bright-line test ([¶7-050](#)).

Exceptions to rule

There are 2 exceptions to the general rule. The first is if a person enters into an agreement on behalf of a company to be formed. In that case, the company will be treated as existing from when the person enters the agreement.

The second exception to the general rule in s [CB 15B](#) relates to a person who exercises an option to acquire land and acquires the land. In that case, the person will be treated as acquiring the land at the time they exercise the option.

The rule in s [CB 15B](#) is overridden if a provision in subpt [FB](#) (Transfers of relationship property) or [FC](#) (Distribution, transmission, and gifts of property) provides for the timing of the transaction. Also, if land is acquired from an associated person or on an amalgamation, the acquisition date of the land may be different from that under s [CB 15B](#).

Commissioner's QWBA

QWBA [QB 25/10](#) "On what date is a person treated as acquiring land for the purposes of the land sale rules?" provides further clarity on how s [CB 15B](#) operates, and also sets out when the 2-year period starts for the bright-line test in s [CB 6A](#) ([¶7-050](#)).

In relation to the timing of acquisition of land under s [CB 15B](#), the QWBA emphasises that what is relevant is when the person acquired their first interest in the land being disposed of. A person will often acquire different interests (each being "land") in the same piece of underlying physical land at different times. For example, in a typical purchase of land situation, the purchaser acquires an equitable interest in the estate when a binding contract to purchase the land is formed, which is before they acquire the legal interest (when the land is transferred to them). What is relevant is when they acquired their first interest in the land (ie the particular estate) that they are disposing of. This will typically be when a binding sale and purchase agreement is entered into, even if it is subject to conditions. Other interests in the same underlying physical land will not be relevant. For example, if the sale of a freehold estate may give rise to taxation and the date of acquisition is relevant, the fact that the person previously had a leasehold interest in the land will not be relevant. The time at which the first interest in the freehold estate arose will be the time at which that land was acquired.

The QWBA notes that when a person first acquires an estate or interest in land (relevant to determining whether the bright-line test can apply to them — [¶7-049](#) and [¶7-050](#)) is not necessarily the same date as the date the person is treated as acquiring land for the purposes of the land provisions (for example, where land is acquired through an option, or on a relationship property transfer), and acknowledges that to the extent the item "Taxation (Bright-line Test for Residential Land) Act 2015", *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 78 suggests otherwise, it is incorrect.

Examples 1 and 2 from [QB 25/10](#) illustrate when land is acquired under the general rule in s [CB 15B\(1\)](#). They also note when the period for the bright-line test starts.

Where a nominee completes a purchase, the nominee acquires the land under s [CB 15B](#) on the date they are nominated as the purchaser by way of deed of nomination. If what has occurred is an assignment of contractual rights and the parties are not associated, the assignee acquires the land under s [CB 15B](#) on the date of the assignment. This is when the assignee first has an equitable interest in the land. If the assignor and assignee are associated, the assignee's date of acquisition for the purposes of most of the land provisions (ss [CB 7](#) to [CB 12](#), and [CB 14](#)) will be the date that the assignor first had their equitable interest in the land (ie typically, the date they entered into the contract to purchase the land, even if some conditions still needed to be met). This is because s [CB 15\(2\)](#) treats someone who acquires land from an associated person as having acquired it on the date the associated person did.

Examples 3 and 5 in [QB 25/10](#) demonstrate when land is acquired under s [CB 15B](#) where there is a nomination and when there is an assignment of contractual rights. They also note when the period for the bright-line test starts.

In the original draft the Commissioner did not consider the exception in s [CB 15B\(3\)](#) would apply in a "first right option" scenario. However, in the final item, the Commissioner has stated that, although a "first right option" (eg a right of first refusal or a right of first offer) is not, strictly speaking, an option, if land is acquired through exercising such a pre-emptive right, it will have become an option by that point. On this basis, the special rule in s [CB 15B\(3\)](#) will also apply if land is acquired through exercising a pre-emptive right, and the land will be acquired on the date the option is exercised.

Examples 5 and 6 from [QB 25/10](#) illustrate when land is acquired under s [CB 15B](#) where an option or "first right option" is involved. They also note when the period for the bright-line test starts.

Law: IT07 s [CB 15B](#)

Last reviewed on 31 December 2025

Disposal of residential land — new 2-year bright-line test

[17-049]

[17-049]

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Note: This commentary covers the new 2-year bright-line test applicable to disposal of residential land on or after 1 July 2024.

An objective “bright-line” land sale test for residential land requires income tax to be paid on gains from the disposal of certain residential property acquired and disposed of within the bright-line period. Exceptions from the bright-line test may apply if the property is the main family home or farmland or business premises, or if the property is transferred as part of an inheritance or relationship property settlement. The purpose of the bright-line test is to supplement the purpose or intention test ([17-045](#)).

The bright-line test only applies where none of ss [CB 6–CB 12](#) apply. However, ss [CB 13](#) and [CB 14](#) only apply when the bright-line test does not apply.

The bright-line test first came into force on 1 October 2015. It only applies to a person’s disposal of land if the person acquired their estate or interest in the land on or after 1 October 2015. When the bright-line test was first introduced, it applied to land that was acquired and disposed of within 2 years. The relevant period was extended to 5 years for land acquired on or after 29 March 2018, then further extended to 10 years for land acquired on or after 27 March 2021. See [17-050](#) for detailed commentary on the 5-year and 10-year bright-line tests.

In March 2024, the 5-year and 10-year bright-line tests were repealed and replaced with a new 2-year bright-line test that came into force on 1 July 2024. The new 2-year bright-line test applies to a person’s disposal of residential land if the bright-line end date is on or after 1 July 2024 and within 2 years of the bright-line start date.

In line with the Coalition Government’s objective of returning the policy setting to the original 2-year bright-line test and to simplify the rules, the following changes to the main home exclusion and rollover relief have also been enacted:

The main home exclusion for the new 2-year bright-line test applies if the land has been used as the person’s main home predominantly for most of the bright-line period. The amendment returned the main home exclusion to its original form as references to time and land area apportionment have been removed ([17-215](#)).

The rollover relief rules have been extended to apply to all transfers between associated persons, provided they have been associated for at least 2 years prior to the transfer (see below and [17-545](#)).

Bright-line start date or acquisition date

The 2-year period for the bright-line test runs from the date of acquisition to the bright-line end date. The date of acquisition is the latest date on which the person acquires an estate or interest in the land.

For standard sales of land, the bright-line start date will continue to be the date the transfer of the land is registered to the person under the Land Transfer Act 2017. There are a number of situations when land is acquired that do not follow the standard land sale process. In those situations, separate rules apply for when the bright-line period starts.

Type of acquisition	Bright-line start date
Land outside New Zealand	Date on which the instrument is registered under foreign laws
No instrument registered	Date the person acquired an estate or interest in the land

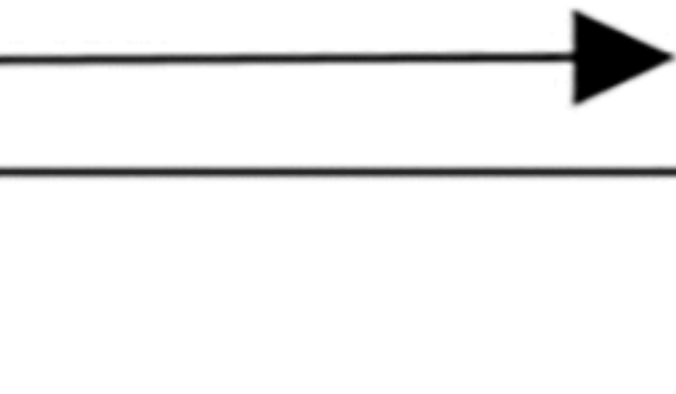
"Off the plans" acquisition	Date the sale and purchase agreement was entered into
Land from the person subdividing land they co-own	Date provided by s CW 3C
Subdivided land	Bright-line start date for the undivided land
Freehold estate converted from a lease with perpetual right of renewal (Glasgow lease)	Date of the grant of the leasehold estate
Joint tenancy converted to a tenancy in common or tenancy in common converted to a joint tenancy	To the extent the person's share in the land is unchanged, the bright-line start date for the land before the conversion
Change of trustee	Bright-line start date for the original trustee

[QB 25/11](#) "When is the bright-line start date for the 2-year bright-line test?" provides detailed guidance along with a number of practical examples on the bright-line start date. [QB 25/11](#) replaces [QB 17/02](#).

Sale where there is no registration of title

Where there is no registration of title, the start date for the bright-line test is the latest date the person acquired the land under ordinary rules. For example, for a sale of a contract to buy land, the start date will be the date that a person enters into a contract to purchase the property. This means that for a sale of a contract to buy, the bright-line period runs from the date that a person enters into a contract to purchase the land to the date that a person enters into a contract to sell the land.

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Contract to sell

Sales “off the plan”

A sale “off the plan” is where a person enters into a contract to acquire a parcel of land that is being developed or subdivided, where the title for the land does not yet exist. Their interest in the land is contingent on the completion of the subdivision. The person is agreeing to acquire registered title in the land once a separate title exists. The start date in this situation is the date the person enters into the binding agreement for the sale and purchase of the land, not the date the title is transferred to them.

Example: Sale “off the plan”



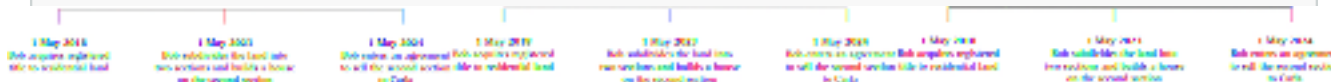
Denise is not subject to the bright-line test as the start date for the bright-line is 1 July 2016 (the date she entered into a contract to purchase “off the plan”) and the end date is 1 March 2019 (the date she entered into a contract to sell). (Note that as Denise acquired the land before 29 March 2018, the bright-line period is only 2 years.)

Example adapted from *Tax Information Bulletin* ¶281-115 Vol 28, No 1, February 2016 at 80.

Subdivided land

The start date for the bright-line period when land is subdivided is the date the owner originally acquired the undivided land.

Example: Subdivision



The start date for the bright-line period is 1 May 2018 and the end date is 1 May 2024. As a result, Bob’s sale of the second section to Carla is not covered by the bright-line test. (Note that as Bob acquired the land between 29 March 2018 and 26 March 2021, the bright-line period is only 5 years.)

Example adapted from *Tax Information Bulletin* ¶281-115 Vol 28, No 1, February 2016 at 80.

Conversion of a lease with a perpetual right of renewal into freehold title

When a person has a lease with a perpetual right of renewal that they then convert into freehold land, the start date for the bright-line period is the date the person is granted the lease. This is consistent with other tax provisions that treat a lease with a perpetual right of renewal similar to freehold estates.

Example: Lease with perpetual right of renewal



The start date for Kelly's bright-line period is 1 July 2016 (the date the lease with perpetual right of renewal is granted) and the end date is 1 April 2019 (the date she entered into agreement to sell the land). (Note that as Kelly acquired the land before 29 March 2018, the bright-line period is 2 years.)

Gains from Kelly's sale of the land are not taxable under the bright-line test.

Example adapted from *Tax Information Bulletin* ¶1281-115 Vol 28, No 1, February 2016 at 80.

Change of trustee

A change of trustee does not trigger the application of the bright-line test. Detailed discussion is found at ¶17-300.

Change in co-ownership proportions

When a person who owns land has more land transferred to them that is added to their pre-existing land, or transfers part of their pre-existing land to another person, for the purposes of the bright-line acquisition date, s CB 6A(3) clarifies that the bright-line clock is reset only for the newly acquired proportion of land. This provision ensures that the bright-line acquisition date for the landowner's pre-existing land remains unchanged despite acquisition of additional land. Detailed discussion is found at ¶17-300.

Bright-line end date or date of disposal

The bright-line end date for the disposal of the property is generally the date that a person enters into an agreement for the sale of the property. However, there are situations where land is disposed of and there is no agreement to dispose of the property. The table below demonstrate the bright-line end dates in these situations.

Type of disposal	Bright-line end date
Standard purchase of land	Date of entry into agreement for sale
Gift	Date of gift (generally registration of title)
Compulsory acquisition	Date of compulsory acquisition
Mortgage sale	Date land is disposed of by mortgagee
Other disposals where no contract to sell	Date of disposal according to ordinary rules

Gift

For gifts, the end date for the bright-line period is the date the person makes the gift of the residential land. This will be the date when the donor has done everything necessary to be done to transfer the property and render the settlement binding. For a gift of a registerable interest in land, this will mean the end date for the bright-line period is the date the interest is registered.

Example: Gift



The start date for the bright-line period is 1 May 2018 (the date Henrietta acquired registered title) and the end date is 1 February 2020 (the date Ingrid acquired registered title). Henrietta will be subject to the bright-line test for her gift of land.

Under ordinary tax rules, gifts of land are treated as if they are transferred at market value. As a result, Henrietta will be deemed to have transferred the land to Ingrid at market value and the \$50,000 gain will be taxable.

Example adapted from *Tax Information Bulletin* ¶1281-115 Vol 28, No 1, February 2016 at 81.

Compulsorily acquired

When the land is compulsorily acquired by the Crown, the end date of the bright-line period is the date that the land is compulsorily acquired. This will generally be 14 days after the proclamation taking the land is published in the *Gazette* under s 26(3) of the Public Works Act 1981.

Mortgagee sale

When land is disposed of by a mortgagee exercising their right to dispose of the property, the end date for the bright-line period is the date when the land is disposed of by the mortgagee.

Other sales

If there is another type of disposal of land, the date of disposal is the date that the land is disposed of according to ordinary rules.

Example: Standard lease (no perpetual right of renewal)



The start date for the bright-line test is 1 May 2018 (the date of registration of title for purchase) and the end date is 1 June 2022 (the date she entered into agreement to sell the land). Jo's proceeds from the sale of the land are taxable under the bright-line test.

Example adapted from *Tax Information Bulletin* ¶1281-115 Vol 28, No 1, February 2016 at 81.

Definition of “residential land”

The bright-line test applies only to “residential land”, which is defined as:

- # land that has a dwelling on it
- # land for which the owner has an arrangement to build a dwelling on it, or
- # bare land that may be used for building a dwelling under the relevant operative district plan,

unless that land is:

- # used predominantly as business premises, or

farmland.

Example: Development

Andrew buys an empty plot of land that is zoned for residential purposes. He plans to develop the plot by subdividing it into four lots and building houses on each of the lots.

Andrew sells Lot 1 “off the plan” to Bob. One month later, Bob sells Lot 1 to Carla.

Lot 1 would be “residential land” and Bob’s sale would be subject to the bright-line test. This is because there is an arrangement to build a dwelling on the land, and because it is bare land that can have a dwelling erected on it under the relevant district plan.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 82.

The definition of “residential land” also now includes land with a dwelling on it if it is used predominantly for a business of supplying accommodation and the dwelling is not the main home of the owner. This ensures the bright-line test applies to short-stay accommodation properties (including a property that is rented out as part of the sharing economy on digital platforms, or a bach that is sometimes rented out when the owner does not use it), unless it is also the owner’s main home and they rent out rooms for short-stay accommodation, such as a bed and breakfast. Thus, the bright-line test applies to both a person who rents out a property on a long-term basis (ie has tenants) and a person who rents out a property on a short-term basis.

For the purposes of the rules related to the bright-line test, the extension of the definition of “residential land” to short-stay accommodation properties applies to land acquired on or after 27 March 2021. However, it does not apply if the land is acquired as a result of an offer made on or before 23 March 2021 that was irrevocable before 27 March 2021. It also does not apply to disposal of residential land acquired as the owner of a leasehold estate with a perpetual right of renewal, if the person was granted the leasehold estate before 27 March 2021. Neither does it apply to the disposal of land acquired on completion of a land development or subdivision if, before 27 March 2021, the person entered the agreement to acquire the land on the completion.

Note: that for purposes other than the bright-line test, such as the residential rental deduction ring-fencing rules ([¶17-365](#)), the extension of the “residential land” definition applies for the 2021–22 and later income years, regardless of when the property was acquired.

Dwelling

The paragraph (a) definition of “dwelling” in s [YA 1](#) applies, that is, any place *configured* as a residence or abode, whether or not it is used as a place of residence or abode. This definition ensures that vacant residential properties are subject to the same rules as occupied residential properties. (Note that this differs from the paragraph (ab) definition of “dwelling” in s [YA 1](#), which requires the place be *used* predominantly as a place of residence or abode and applies for the purposes of the depreciation provisions and the definitions of “commercial building”, “commercial fit-out” and “residential building”.)

The “dwelling” definition generally excludes a number of accommodation facilities. However, for the bright-line test, the definition is modified by specifically including serviced apartments and excluding rest homes and retirement villages.

The paragraph (b)(ii) of the definition of “dwelling” in s [YA 1](#) was amended to replace “boardinghouse” with “boarding establishment”. “Boarding establishment” is defined in s [YA 1](#) as premises that:

- # are used in a business of supplying accommodation
- # are managed by the business
- # consist of at least 10 boarding rooms that are not self-contained (that is, they do not contain all the features necessary for living, like a full kitchen and/or bathroom), and
- # include shared living facilities (which provide the necessary features for living not delivered in the resident’s rooms) that are available to all residents.

All of the above criteria must be met for premises to meet the definition of [boarding establishment](#) to be excluded from the definition of “dwelling” for the purposes of the bright-line test.

Example: Property rented out on a room-by-room basis

Gordon owns a 6-bedroom villa in central Auckland that he previously rented out on a single tenancy contract. Gordon decides it is better for him, and more convenient for the tenants, to rent the house on a room-by-room basis.

Each occupant signs a contract for exclusive use of their individual room and shared use of common areas, like the lounge, kitchen and 2 bathrooms. Under the Residential Tenancies Act 1986, the bedrooms are boarding rooms, and the house is a boarding house.

Gordon's property is not a boarding establishment. Because it has fewer than 10 boarding rooms that are not self-contained, there is no need to consider whether it satisfies the other limbs of the definition.

Therefore, Gordon's property is not excluded from being a "dwelling". This means the property is subject to the residential rental loss ring-fencing rules in subpart [EL](#), and Gordon will not be permitted to offset excess deductions against his non-property income. Gordon will also be subject to income tax under the bright-line test in s [CB 6A](#) if he sells the property within the relevant bright-line period.

Example taken from Inland Revenue [Special Report on interest limitation and additional bright-line rules](#), 31 March 2022 at 211.

Business premises

Residential land does not include land used predominantly as business premises. The exception is land acquired on or after 27 March 2021 with a dwelling on it used predominantly as business premises for a business of supplying accommodation (see discussion above). "Business premises" has its ordinary meaning within the Income Tax Act. This generally requires a building on the land that is occupied by a person in the course of running their business.

The exclusion does not require that the land be occupied by the owner as their business premises. As a result, properties rented out by the owner to other persons to use as their business premises are covered by this exclusion.

Example: Workers' quarters

Steve owns land that contains a factory that is used to process food. The land also has workers' quarters on it, which Steve provides to his employees to use as residences.

The land is used predominantly as business premises and so is entitled to the business premises exception.

Example: Empty factory

Velma purchases an empty factory that she plans to develop into an apartment building.

Before beginning construction and within two years of her acquisition, Velma receives a good offer for the building and sells it to William.

Velma has an arrangement to put a dwelling on the land and so meets the first criterion for residential land. The land does not qualify for the business premises exclusion as the factory is empty and not being used as business premises at the time of disposal. As a result, the land is "residential land" and subject to the bright-line test.

Examples taken from *Tax Information Bulletin* ¶1281-115 Vol 28, No 1, February 2016 at 83.

QWBA [QB 25/14](#) "When does the business premises exclusion to the bright-line test apply?" considers the business premises exclusion that applies for the bright-line test under s CB 6A. QB 25/14 replaces [QB 19/13](#).

Note that a separate business premises exclusion under s [CB 19](#) is relevant where the sale is potentially taxable under ss [CB 6](#) to [CB 11](#) and IR has also released [QB 19/14](#) "Income tax — when does the business premises exclusion in s [CB 19](#) apply to preclude land sales from being taxed under ss [CB 6](#) to [CB 11](#)?" to deal with that exclusion. The main differences between the 2 business premises exclusions are discussed at [17-250](#).

The most likely situation where the bright-line business premises exclusion needs to be considered is where a person sells land that has both a dwelling and business premises on it. The presence of the dwelling means the land will be residential land and subject to the bright-line test unless the land is used predominantly as business premises. [QB 25/14](#) focuses on that type of situation.

Land that has been used predominantly as business premises is not “residential land” and is therefore not subject to the bright-line test, even if the land has a dwelling on it. For these purposes, the Commissioner considers “business premises” means land, typically including a building, with any surrounding associated land, from which a person carries on a business. In some cases, land can be business premises even if there is no building on the land. For instance, a quarry may be business premises even if it does not have a building on it. It will be up to the taxpayer to show that the land is business premises.

There must also be a business being carried on from that building. “Carrying on” a business from a location requires some or all of the activities of the business to be conducted continuously or habitually from there. [QB 25/14](#) confirms that the business premises may be those of the landowner or of a third party such as a tenant or tenants.

Land will be used predominantly as business premises where more than 50% of the area of the land has been used as business premises, and the land has been used as business premises for more than 50% of the time the seller owned it.

From time to time, particularly where the split between the business premises use of the land and the land’s other uses is close, the nature and the importance of the land’s different uses should be considered to determine which of the uses is the predominant use. This is the approach the courts have taken to the meaning of “predominantly”.

A consequence of the definition of “business premises” requiring the land to have been used “predominantly” as business premises is that the Commissioner considers this exclusion applies on an all or nothing basis. Therefore, if the land is predominantly used as business premises, all of the land is excluded from the meaning of residential land. If the land is not used predominantly as business premises, then the exclusion does not apply, and all of the land is residential land and subject to the bright-line test.

[QB 25/14](#) contains a flowchart and a number of examples to explain how the exclusion works.

Farmland

“Farmland” is defined as land that:

- # is being worked in the farming or agricultural business of the land's owner, or
- # because of its area and nature is capable of being worked as a farming or agricultural business.

Determining whether there is a farming or agricultural business on the land requires looking at the same factors that determine whether there is a business under general tax law. This requires looking at the nature of the activities carried on and the intention of the taxpayer in undertaking these activities.

Determining whether land is capable of being worked requires looking at the capability of the land at the time of disposal. Land that requires significant investment or modification to be used as a farming business would not qualify.

Example: Land that because of its area is not capable of being used as farmland

Marama purchases a lifestyle block with a house and a small area of farmland. A small number of sheep are kept on the land to keep the grass down.

The land is not “farmland” as the land is not being worked as a farming business nor is it capable of being worked as a farming business. It is a hobby farm rather than a genuine farming business.

If the area of farmland was larger and capable of being used for farming purposes, it would likely be “farmland”.

Example: Land that because of its nature is not capable of being used as farmland

Tina owns a 50-hectare plot of land. The land is covered in gorse.

The land is not “farmland” because it is not currently capable of being used for farming purposes.

Examples taken from *Tax Information Bulletin* [¶1281-115 Vol 28, No 1](#), February 2016 at 83.

Inheritance

When a person dies, their property may be sold or transferred to a beneficiary, who may subsequently sell the property (s [FC 9](#)). These transfers and disposals will not be subject to tax under the bright-line test ([¶7-405](#)).

Resident's restricted amalgamation

Under the bright-line test there is rollover relief for amalgamations (s [FO 10\(6\)](#)). This rollover relief extends the existing rollover relief for amalgamations to property that is revenue account property of an amalgamating company due to the application of the bright-line test ([¶20-108](#)).

Relationship property

When a relationship breaks down, property may be transferred between the spouses or partners. The property may then subsequently be sold. Transfers of property under a relationship property agreement are excluded from the bright-line test (s [FB 3A](#)). However, any subsequent sale of the transferred property will be subject to the bright-line test ([¶7-440](#)).

Look-through companies and disposal of residential land

Interpretation statement [IS 25/15](#) “Look-through companies and disposal of residential land under the bright-line test” sets out the application of the bright-line rules, including the main home exclusion and rollover relief in land transfer transactions involving residential land and an LTC. This interpretation statement applies to transfers of residential land on or after 1 July 2024. This item considers the following 5 situations and for each scenario provides detailed guidance on whether there is a disposal, whether the main home exclusion applies and whether rollover relief under s [FD 1](#) applies:

- # transfer of an interest in residential land by a person or persons to an LTC of which they are owners
- # transfer of an interest in residential land by an LTC to one or more LTC owners in their separate capacities
- # a company owning residential land becomes an LTC
- # a land owning LTC ceases to be an LTC
- # an LTC owner disposes some or all of their owner interest in a land owning LTC.

Table 1 in [IS 25/15](#) summaries the tax treatment of the above scenarios. [IS 25/15](#) also contains a number of practical examples to illustrate the application of the rules.

Rollover relief

Certain transfers of residential land enjoy rollover relief. Where rollover relief applies, either fully or partially, the recipient of the land takes on the transferor's bright-line acquisition date so that the taxing point is deferred to a later disposal. Rollover relief applies to certain transfers of residential land between associated persons, changes in co-ownership and transfers of residential land under a settlement of the Treaty of Waitangi. For detailed commentary on the rollover relief applicable from 1 July 2024, see [¶7-545](#).

Deductibility of expenditure

Taxpayers are allowed deductions for property subject to the bright-line test according to ordinary tax rules. See [¶7-360](#) to [¶7-371](#).

Losses

Losses from deductions that are claimable solely against bright-line income (bright-line deductions) are ring-fenced so that they may only be used to offset taxable gains arising under the land sale rules.

The amount of bright-line deductions allowed in any income year is limited to the amount of bright-line income and net land income for that year. Net land income is the amount of net income for the year as if the person's only income they derived was from the disposal of land under ss [CB 6](#) to [CB 14](#).

Any excess deductions not allocated to the income year will be treated as the cost of revenue account property and carried forward to the next income year. However, any excess deductions will not be able to be carried forward if the general continuity requirements for carrying forward tax losses are not satisfied.

Example: Ring-fenced loss

In June 2017 Zac sells residential land that is taxable solely due to the bright-line test. Zac acquired the land for \$600,000 and sold it for \$540,000. For the 2017–18 income year, Zac also earned \$80,000 in salary.

The \$60,000 loss for the sale of residential land is ring-fenced so that it may only be used to offset income from other land sales. Zac cannot use the \$60,000 loss to offset his income from salary and wages.

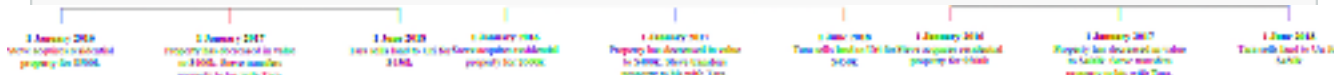
In August 2019 Zac sells land that he purchased with an intention of resale. Zac made a gain of \$100,000 from the sale. Zac may offset his previous \$60,000 loss against the \$100,000 gain. As a result, Zac only has to pay tax on \$40,000 of the gain in the 2019–20 income year.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 88.

Loss on transfers to associated persons

Where a person derives income under the bright-line test from the transfer of property to an associated person, the person's deduction for expenditure or loss on the disposal of the land is capped at the amount of income derived. However, to avoid genuine losses being denied permanently, the associate may increase the cost base of the land by the amount of the denied deduction.

Example: Transfer to associate



Steve's deductions are capped at \$400,000 for the transfer on 1 January 2017. He cannot claim the \$100,000 loss for the year.

When Tara sells the land on 1 June 2018, she can deduct \$500,000. This is made up of the \$400,000 cost of acquisition as well as the \$100,000 of denied deductions.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 89.

Note that these ring-fencing rules were originally contained in former ss [DB 18A](#) and [DB 18AB](#) when the legislation was first introduced. However, following the introduction of ring-fencing rules in subpt [EL](#) for other residential land from 1 April 2019, these sections were repealed and replaced by s [EL 20](#).

Anti-avoidance rules for land-rich companies and trusts

The use of land-rich companies and trusts to circumvent the bright-line test is addressed through anti-avoidance rules that deem a disposal subject to the bright-line test to have occurred when companies and trust are used to defeat the intent and application of the test.

For these purposes, a land-rich company or trust is one where residential land owned directly or indirectly makes up 50% or more, by market value, of the assets of the company or trust.

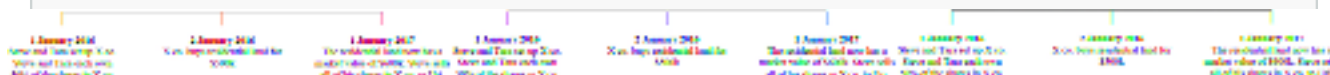
Land-rich companies

The anti-avoidance rule in s [GB 52](#) for land-rich companies applies when the following requirements are met:

- # The company is a land-rich company.
- # 50% or more of the shares in the company, by market value, are disposed of within a 12-month period.
- # Some of the company's residential land was acquired within 2 years (effective for disposal or residential land on or after 1 July 2024) of the disposal of the shares.
- # The disposal of the shares had a purpose or effect of defeating the intent and application of the bright-line test.

When the requirements are met, the land-rich company is treated as disposing of residential land that it acquired within 2 years of the share disposal to the shareholder at cost. The amount of residential land and the price are at the cost proportional to the shareholding of the relevant shareholder. The shareholder is then treated as immediately disposing of the residential land back to the company at market value.

Example: Land-rich company



X co. will be treated as disposing of 50% of the residential land to Steve for \$250,000. Steve will then be treated as disposing of the residential land back to the company for \$300,000. As a result, Steve will have to pay income tax on the \$50,000 gain from the deemed sale.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 89.

Land-rich trusts

In the case of a land-rich trust, s [GB 53](#) deems a trustee to have disposed of residential land at market value when any of the following changes are made with a purpose or effect of defeating the intent and application of the bright-line test:

- # a change in the trust deed of a trust
- # a decision-maker under the trust deed changes, or
- # an arrangement under the trust changes.

Law: IT07 ss [CB 6A](#), [CB 16A](#), [EL 20](#), [FB 3A](#), [FC 9](#), [FD 2](#), [FD 3](#), [FO 10\(6\)](#), [GB 52](#), [GB 53](#), [YA 1](#) (“[bright-line end date](#)”, “[bright-line period](#)”, “[bright-line start date](#)”, “[boarding establishment](#)”, “[date of acquisition](#)”, “[dwelling](#)”, “[farmland](#)”, “[residential land](#)”), [YB 2](#), [YB 3](#), [YB 4](#), [YB 5](#), [YB 6](#), [YB 7](#), [YB 8](#), [YB 9](#), [YB 10](#), [YB 11](#), [YB 12](#), [YB 13](#)

Last reviewed on 31 December 2025

Disposal of residential land — 5-year and 10-year bright-line tests [¶7-050]

[¶7-050]

[Click to open document in a browser](#)

Note: This commentary covers the 5-year and 10-year bright-line tests applicable to residential land disposed of before 1 July 2024.

The bright-line test came into force on 1 October 2015. It only applies to a person's disposal of land if the person acquired their estate or interest in the land on or after 1 October 2015. When the bright-line test was first introduced, it applied to land that was acquired and disposed of within 2 years. The relevant period was extended to 5 years for land acquired on or after 29 March 2018, then further extended to 10 years for land acquired on or after 27 March 2021 (although note the exception for irrevocable offers entered into on or before 23 March 2021, discussed below). In addition, from 1 April 2022, the bright-line test does not apply to certain transfers between family trusts and settlors (former s [CB 6AB](#)), transfers of certain Māori family trusts (former s [CB 6AC](#)) and the transfer of certain residential land under a settlement claim under the Treaty of Waitangi (former s [CB 6AE](#)). See [¶7-540](#) and [¶7-545](#).

Despite the bright-line test being extended to 10 years, “new build land” remained subject to the 5-year test ([¶7-053](#)).

The former s [CB 6A\(1\)](#) defined residential land as subject to the bright-line test as either “10-year test land” or “5-year test land”. These concepts are defined as:

10-year land test: residential land to the extent to which it is not new build land and the land's bright-line disposal date is within 10 years of the earliest applicable bright-line acquisition date.

5-year land test: residential land to the extent it is:

new build land ([¶7-053](#)), and

the person acquires the land no later than 12 months after the land became new build land, and

the land's disposal is within 5 years of the earliest applicable bright-line acquisition date, and

at the time of disposal, or the time of registration, the land meets the definition of new build land (or would have met the definition but for destruction by natural disaster or fire).

Application date of the relevant extended bright-line tests

With the extension of the bright-line test to 5 years and then to 10 years, it is important to determine which test applies to the residential land in question. This depends on the date the land was acquired, and the applicable bright-line tests (and the related exclusions) are set out in the table below:

Date land acquired	Applicable bright-line test and exclusion
On or after 27 March 2021 and disposed of before 1 July 2024	10-year bright-line test applies (former s CB 6A) unless the land is new build land (¶7-053). Main home exclusion applies only for period that land is used as main home (former s CB 16A) (¶7-220).
29 March 2018 to 26 March 2021	5-year bright-line test applies (former s CZ 39). Main home exclusion applies if land used as main home for most of the period of ownership (former s CZ 40) (¶7-215).
1 October 2015 to 28 March 2018*	2-year bright-line period applied. Main home exclusion applies if land used as main home for most of the period of ownership.
Prior to 1 October 2015	Bright-line test does not apply.

* Land acquired from 1 October 2015 to 28 March 2018 will generally no longer be subject to tax under the bright-line test as more than 2 years have elapsed since 28 March 2018 (assuming no disposal has taken place within the required 2-year period).

For land acquired on or after 27 March 2021, the relevant period is 10 years. However, an exception exists for land acquired on or after 27 March 2021 if an offer was made by the purchaser on or before 23 March 2021 that could not be revoked before 27 March 2021. The 5-year bright-line test continues to apply to these properties. Inland Revenue has published the following table to assist taxpayers:

Example	What bright-line test applies?
The following scenarios deal with revocable offers	
Purchaser offers on 21 March 2021, seller accepts on 24 March. Sale and purchase agreement (ASAP) signed 24 March.	5-year test applies.
As above, but the seller accepts the offer and signs the ASAP on 27 March.	Extended 10-year test applies.
Purchaser offers on 18 March 2021, seller verbally accepts on 24 March, but does not sign ASAP until 27 March.	Extended 10-year test applies (for property transactions a verbal contract is not binding, and the purchaser does not have an equitable interest in the property at that point).
Purchaser offers on 19 March 2021, seller counter-offers on 24 March, purchaser accepts on 25 March.	5-year test applies.
As above, but the purchaser accepts the counter-offer on 27 March.	Extended 10-year test applies.
The following scenarios deal with irrevocable offers	
Purchaser submits offer as part of tender process that closes on 22 March 2021. The tender document states that the offer cannot be withdrawn until 28 March. Seller accepts offer on 27 March and ASAP is signed.	5-year test applies. Although the purchaser acquires the land on 27 March and therefore is prima facie subject to the extended test, the carve-out for offers made on or before 23 March applies.
Purchaser submits an offer as part of a tender process that closes on 16 March 2021. The offer cannot be withdrawn until 22 March. Purchaser does not withdraw the offer, seller accepts on 27 March and ASAP is signed.	Extended 10-year test applies. The carve-out does not apply because the purchaser was able to revoke their offer before 27 March.
The following scenarios deal with conditional offers	
Purchaser submits an offer subject to a building report on 18 March 2021. The vendor accepts the offer and the ASAP is signed on 24 March. On 2 April, the purchaser informs the vendor that the condition is satisfied, and the agreement goes unconditional.	5-year test applies. The purchaser acquired the land when the binding agreement (subject to conditions) was entered into on 24 March, not on 2 April when the conditions were satisfied.
As above, except the purchaser and seller agree on a reduced price on 2 April, each signing the change in the agreement.	5-year test applies. The binding agreement was entered into on 24 March, which is before 27 March.

Table taken from Inland Revenue, Special Report, Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Act 2021.

Where there is a standard acquisition of land, the date a person acquires their estate or interest will generally be the date of entry into an agreement to purchase the land, even if there are conditions still to be met (such as obtaining finance or a building report).

Note that in [QB 17/02](#), “Income tax — Date of acquisition of land, and start date for 2-year bright-line test” (*Tax Information Bulletin* [¶1294-109 Vol 29, No 4](#), May 2017 at 125), the Commissioner confirmed that the date someone first acquires an estate or interest in land (relevant for determining whether the bright-line test can apply) is not always the same as when they acquire land under s [CB 15B \(¶17-047\)](#). While the dates may generally be the same in a typical land purchase, there are other situations where they may not, such as acquiring land through the exercise of an option or on a settlement of relationship property.

Acquisition date

The relevant period for the bright-line test (the old 2 years, 5 or 10 years) runs from the date of acquisition to the bright-line date. The date of acquisition is the latest date on which the person acquires an estate or interest in the land. Generally, this will be the date the title to the land is registered for the purchase of the property. The bright-line date for the disposal of the property is generally the date that a person enters into an agreement for the sale of the property.

There are a number of situations when land is acquired that do not follow the standard land sale process. In those situations, separate rules apply for when the bright-line period starts. The bright-line start dates have not changed and remain the same irrespective of the length of the bright-line period. The various start dates/acquisition dates are discussed at [¶17-049](#).

Change of trustees

Detailed discussion is found at [¶17-300](#).

Transfers to self

A person may transfer land directly to himself or herself although acting in a different capacity, eg a transfer as an LTC owner to the shareholder personally. Another example could be the transfer of land between different partnerships, or from a partnership to a partner.

In the change of capacity scenario the person's bright-line acquisition date for the land is the first such bright-line acquisition date that the person had. This is provided that the transfer to the person in a different capacity was made after 31 March 2022.

Bright-line date or date of disposal

The bright-line date for the disposal of the property is generally the date that a person enters into an agreement for the sale of the property. There are several situations where land is disposed of and there is no agreement to dispose of the property. These are discussed at [¶17-049](#) as they remain the same irrespective of the length of the bright-line period.

Definition of “residential land”

The bright-line test applies only to “residential land”, which is defined and discussed at [¶17-049](#) remains unchanged despite the length of the bright-line test changing over the years.

Note: that for purposes other than the bright-line test, such as the residential rental deduction ring-fencing rules ([¶17-365](#)), the extension of the “residential land” definition applies for the 2021–22 and later income years, regardless of when the property was acquired.

Inheritance

When a person dies, their property may be sold or transferred to a beneficiary, who may subsequently sell the property. These transfers and disposals will not be subject to tax under the bright-line test ([¶17-405](#)).

Relationship property

When a relationship breaks down, property may be transferred between the spouses or partners. The property may then subsequently be sold. Transfers of property under a relationship property agreement are excluded from the bright-line test. However, any subsequent sale of the transferred property will be subject to the bright-line test ([¶7-440](#)).

Rollover relief

Certain transfers of residential land enjoy rollover relief. Where rollover relief applies, either fully or partially, the recipient of the land takes on the transferor's bright-line acquisition date so that the taxing point is deferred to a later disposal.

Rollover relief applies to certain transfers of residential land between trustees and settlors, LTCs and look-through owners, partnerships and partners, changes in co-ownership and transfers of residential land under a settlement of the Treaty of Waitangi ([¶7-540](#)).

From 21 March 2021, the registration of a transfer to change the proportionality of co-ownership will only restart the bright-line clock to the extent a particular party's interest has increased. To the extent they already owned the land, the bright-line clock does not reset in respect of the pre-existing land (former s CB 6A(5D)).

Māori family trusts holding land

The bright-line test does not apply to certain Māori land. Transfers involving a Treaty of Waitangi claims and residential land transferred to certain Māori family trusts are not subject to the bright-line test. See former s CB 6A(1AB) and [¶7-540](#).

Resident's restricted amalgamation

Under the bright-line test there is rollover relief for amalgamations. This rollover relief extends the existing rollover relief for amalgamations to property that is revenue account property of an amalgamating company due to the application of the bright-line test ([¶20-108](#)).

Deductibility of expenditure

Taxpayers are allowed deductions for property subject to the bright-line test according to ordinary tax rules (see [¶7-360](#) to [¶7-371](#)).

Losses

Losses from deductions that are claimable solely against bright-line income (bright-line deductions) are ring-fenced so that they may only be used to offset taxable gains arising under the land sale rules.

The amount of bright-line deductions allowed in any income year is limited to the amount of bright-line income and net land income for that year. Net land income is the amount of net income for the year as if the person's only income they derived was from the disposal of land under ss [CB 6](#) to [CB 14](#).

Any excess deductions not allocated to the income year will be treated as the cost of revenue account property and carried forward to the next income year. However, any excess deductions will not be able to be carried forward if the general continuity requirements for carrying forward tax losses are not satisfied.

Loss on transfers to associated persons

Where a person derives income under the bright-line test from the transfer of property to an associated person, the person's deduction for expenditure or loss on the disposal of the land is capped at the amount

of income derived. However, to avoid genuine losses being denied permanently, the associate may increase the cost base of the land by the amount of the denied deduction. See *Tax Information Bulletin* ¶281-115 Vol 28, No 1, February 2016 at 89 for an example on transfer of associate.

Note that these ring-fencing rules were originally contained in former ss DB 18A and DB 18AB when the legislation was first introduced. However, following the introduction of ring-fencing rules in subpt EL for other residential land from 1 April 2019, these sections were repealed and replaced by s EL 20.

Anti-avoidance rules for land-rich companies and trusts

The use of land-rich companies and trusts to circumvent the bright-line test is addressed through anti-avoidance rules that deem a disposal subject to the bright-line test to have occurred when companies and trust are used to defeat the intent and application of the test.

For these purposes, a land-rich company or trust is one where residential land owned directly or indirectly makes up 50% or more, by market value, of the assets of the company or trust.

Land-rich companies

The anti-avoidance rule in s GB 52 for land-rich companies applies when the following requirements are met:

- # The company is a land-rich company.
- # 50% or more of the shares in the company, by market value, are disposed of within a 12-month period.
- # Some of the company's residential land was acquired within 10 years (5 years for land acquired between 29 March 2018 and 26 March 2021, and 2 years for land acquired before 29 March 2018) of the disposal of the shares.
- # The disposal of the shares had a purpose or effect of defeating the intent and application of the bright-line test.

When the requirements are met, the land-rich company is treated as disposing of residential land that it acquired within the relevant 2, 5 or 10 years of the share disposal to the shareholder at cost. The amount of residential land and the price are at the cost proportional to the shareholding of the relevant shareholder. The shareholder is then treated as immediately disposing of the residential land back to the company at market value. See *Tax Information Bulletin* ¶281-115 Vol 28, No 1, February 2016 at 89 for a practical example.

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Land-rich trusts

In the case of a land-rich trust, s GB 53 deems a trustee to have disposed of residential land at market value when any of the following changes are made with a purpose or effect of defeating the intent and application of the bright-line test:

- # a change in the trust deed of a trust
- # a decision-maker under the trust deed changes, or
- # an arrangement under the trust changes.

Law: IT07 ss CB 6A, CB 16A, CZ 39, CZ 40, EL 20, FB 3A, FC 9, GB 52, GB 53, YA 1 ("bright-line date", "boarding establishment", "date of acquisition", "dwelling", "farmland", "residential land")

Last reviewed on 31 December 2025

Disposal of residential land — 5-year bright-line test for new build land [¶7-053]

[¶7-053]

[Click to open document in a browser](#)

Note: This commentary covers the 5-year bright-line test for new builds which is applicable to new build land acquired from 27 March 2021 and disposed of before 1 July 2024.

The concept of “new build land” is important for land acquired from 27 March 2021. The bright-line test imposes a 10-year period under which disposals of residential land is taxable under former s [CB 6A \(¶7-050\)](#). Subpart [DH](#) limits interest deductibility for residential investment properties. There are exceptions for the application of both the bright-line test and the interest deductibility rules for new build land. See [¶10-706](#) for commentary on the exemption from the interest deductibility rules for residential investment land.

New build land will be subject to a 5-year bright-line period under former s [CB 6A\(2\)\(b\)](#), rather than the 10-year bright-line period applied under former s [CB 6A \(2\)\(a\)](#).

The bright-line test: 5-year test land

The definition of “5-year test land” is residential land to the extent which, using the land area test, it is new build land, and:

- # the person acquires it no later than 12 months after the land becomes “new build land”, and
- # the land’s bright-line disposal date is within 5 years of the earliest bright-line acquisition date, and
- # at the time of its disposal, or at the time the instrument to transfer the land to another person is registered, it meets the definition of new build land.

If a new build is destroyed because of a natural event, like fire, the land can continue to enjoy the 5-year bright-line test, rather than being subject to the 10-year bright-line period. New build land is subject to the quantification under former s [CB 6A\(8\)](#).

For detailed commentary on the 5-year bright-line test, see [¶7-050](#).

Example: New build bright-line test

Steph purchases a new build in May 2021. She sells the property in June 2027. Since she sold a new build, the 10-year bright-line test would not apply. Steph has owned the property for more than 5 years when she sells it, so she will not have to pay tax on any gain on sale under the bright-line test

Example reproduced from Commentary on SOP 64 first published in October 2021 by Policy and Regulatory Stewardship, Inland Revenue.

New build land defined

What constitutes “[new build land](#)” is defined in s [DH 5\(7\)](#). New build land is defined as:

- # land, to the extent to which, it has a place that is configured as a self-contained residence or abode (see discussion below), if a code compliance certificate (CCC) has been issued on or after 27 March 2020 evidencing that the place was:
 - # added to the land, or
 - # converted into a residence or abode, and
 - # includes, for land described above, land exclusively used by residents of the place and also a reasonable proportion of shared areas of land, appurtenant to the place, and
 - # includes land for which there is an agreement that a place that is configured as a self-contained residence or abode will be added to the land and a CCC will be issued on or after 27 March 2020 evidencing that the place was added to the land, and

includes land that has a place that was a hotel or motel, to the extent to which, by a conversion, it becomes places that are configured as self-contained residences or abodes, and the conversion is recorded in the records of a local authority or building consent authority as having been “completed” on or after 27 March 2020, and

includes land to the extent to which it has a place that is configured as a self-contained residence or abode, if the place was removed from the earthquake prone buildings register on or after 27 March 2020, and

a CCC has been issued on or after 27 March 2020 evidencing that building work to remediate the place is complete

the completion of the building work to remediate the place is recorded in the records of a local authority or building consent authority as having been “completed” on or after 27 March 2020 and as having been verified by a suitably qualified engineer, and

includes land to the extent to which it has a place that is configured as a self-contained residence or abode, if the place was not previously weathertight and a CCC has been issued on or after 27 March 2020 evidencing that at least 75% of the place’s cladding has been replaced.

The table below sets out an analysis of various types of land under each subsection that may meet the definition:

Provision	New build land includes:	Analysis	Examples
Section DH 5(7) (a)	Land, to the extent to which the land has a place configured as a self-contained residence or abode, if a CCC has been issued on or after 27 March 2020 which shows the place was added to the land. Or A CCC has been issued on or after 27 March 2020 evidencing a place already on the land has been converted into the self-contained residence.	This is expected to be the most common type of property that will qualify as “new build land”. It is where a new build is added to the land and receives its CCC on or after 27 March 2020. “To the extent” means the land must be apportioned if it has both a new build and non-new build on it. Existing tax apportionment principles apply.	A self-contained residence is constructed on (or relocated onto) the land. A commercial building is converted into one or more self-contained residences. An existing home is converted into 2 or more self-contained residences.
Section DH 5(7) (b)	Land exclusively used by residents of a new build.	This covers both the floor area of the new build itself, as well as any outdoor areas that are exclusively used by the new build, eg if there is an outdoor garden area that is only used by residents of a new build (and not by the residents of any other residences on the property), then those spaces would qualify as new build land as well.	
	A reasonable proportion of shared areas of land appurtenant to a new build.	This covers any areas of the land that are shared by a new build and a non-new build, eg a shared driveway or garden area. If a new build shares a driveway with a non-new build, then a reasonable proportion could be 50% of the land area covered by the driveway.	
Section DH 5(7) (c)	Land for which there is an agreement that a new build will be added to the land and a CCC	This provision ensures that interest may be deductible from the date of acquisition for new	

	will be issued on or after 27 March 2020 confirming the place was added to the land.	builds acquired off the plans. A CCC need not be issued for an off-the-plans new build to qualify for the exemption. Note that even if the exemption from the interest limitation rules applies, the interest can only be deducted if it is deductible under existing tax rules.	
Section DH 5(7) (d)	Land that was previously a hotel or motel, to the extent to which a hotel or motel is converted into places configured as self-contained residences or abodes, provided this conversion is recorded in the records of a local authority or building consent authority as having been completed on or after 27 March 2020.	This provision applies to former hotel and motel units that are converted into new builds. The conversions need to be completed on or after 27 March 2020, and the conversion needs to be reflected in the records of a local authority or building consent authority for the exemption to apply. The record could be in the form of a building's use changing in the records, or the rates that apply to the land switching from commercial rates to residential rates.	A hotel or motel is converted into individual self-contained units or apartments.
Section DH 5(7) (e)	Land to the extent that has a place configured as a self-contained residence or abode, if the place was removed from the earthquake prone buildings register on or after 27 March 2020 and: # a CCC was issued on or after 20 March 2020 evidencing that building work to remediate the place is complete # completion of the building work to remediate the place is recorded in the records of the local authority or building consent authority as having been completed on or after 27 March 2020 and as having been verified by a suitably qualified engineer.	This provision applies to places that are remediated after being on the earthquake-prone buildings (EPB) register. Remediation must take place on or before 27 March 2020 and be issued with a CCC or completion needs to be reflected in the records of a local authority or building consent authority for the exemption to apply.	An existing apartment block that is on the EPB register is remediated and then removed from the register.
Section DH 5(7) (f)	Land to the extent to which it has a place that is configured as a self-contained residence or abode, if the place was not previously weather-tight and a CCC has been issued on or after 27 March 2020 evidencing that at least 75% of the place's cladding has been replaced.	This provision applies to places that are remediated for weathertightness issues (leaky homes) and the CCC has been issued on or after 27 March 2020.	An existing self-contained residence that has weathertightness issues is reclad to fix those issues.

Property must have been acquired within 12 months of the CCC being issued. See detailed commentary below on this point. When assessing whether property qualifies for new build land status, the acquisition date of the land is not relevant as the key date is the date the CCC was issued.

Example: Date of acquisition irrelevant

Mark acquires residential land on 1 November 2019. He adds a self-contained dwelling to the land that is completed and receives its CCC on 31 March 2020. The land that the self-contained dwelling has been added to would qualify as new build land because the dwelling's CCC was issued after 27 March 2020. It does not matter that Mark acquired the land before 27 March 2020, as the date of acquisition is not relevant to the application of the new build exemption.

Example reproduced from Commentary on SOP 64 first published in October 2021 by Policy and Regulatory Stewardship, Inland Revenue.

Acquired no later than 12 months after meeting the new build land definition

Under former s [CB 6A\(2\)\(b\)\(i\)](#), if a person acquires land that already has a new build on it, the person must acquire the land no later than 12 months after first meeting the definition of “new build land” to qualify for the new build bright-line test. Generally, the definition would be met when the new build received its CCC confirming it was added to the land. Therefore, when acquiring an existing new build, the land would have to be acquired no later than 12 months after the CCC was issued for the 5-year new build bright-line test to apply. New builds purchased off the plans and a new build constructed on land already owned by the person also qualify, provided these new builds have received their CCCs by the time the land is disposed of.

Where land has met the definition of “new build land” more than 12 months ago and a person acquires the land, the person will not qualify for the 5-year bright line test.

If, however, the person subsequently adds a new residence to the land, then the portion of land to which the new residence is attributable, can qualify for the 5-year bright line test based on the fact that the new residence is new build land. The portion which is attributable to the original residence will continue to be subject to the 10-year bright line test.

Land area test

Section DH 7 uses the term “to the extent to” which indicates that a land area test is required. An apportionment is required where land contains a “new build” and an “old build” and the bright-line test under s [CB 6A](#) applies.

Five-year test land is residential land to the extent to which it is new build land and:

- # the person acquires it no later than 12 months after the land first meets the definition of “new build land”
- # it is disposed of within 5 years of acquisition, and
- # it is “new build land” when disposed of.

Where the entire piece of land is a new build and is acquired and sold within 5 years, the new build bright-line test would apply to tax the entire piece of land. However, in cases where a new build and an old or existing build are on the same legal title, “to the extent” means that:

- # the portion of the land with a new build on it is subject to the 5-year new build bright-line test, and
- # the portion of the land with an existing build on it is subject to the 10-year bright-line test.

The portion of land that relates to each dwelling includes the land immediately beneath the dwelling, as well as outdoor areas exclusive to the dwelling, and a reasonable proportion of shared areas.

Example: Apportionment where “new build” and “old build” on same title

Amber purchases an existing dwelling (old build) situated on an 800m² section for \$1m in 2022, which she rents out. She builds a second dwelling on the site (on the same title) in 2025 (new build). Building the new build costs \$400,000, and after it is constructed, she rents it out. After building the new build, Amber's property is comprised of the following areas:

- # the old build, which covers 200m²
- # exclusive areas attributable to the old build, which cover 200m²
- # the new build, which covers 200m²
- # exclusive areas attributable to the new build, which cover 150m², and

a common area (a shared driveway) of 50m², which is available for use by occupants of both the existing dwelling and the qualifying new build.

After constructing the qualifying new build, Amber has spent a total of \$1.4m on the property. She sells the property in 2028 for \$3m, so makes a total gain on sale of \$1.6m.

Amber's calculation under the bright-line test would be as follows:

New build

The portion of the land with the new build on it is subject to the 5-year new build bright-line test. This portion of the land is 375m² (being the land under the dwelling, the exclusive outdoor area and a half share of the common driveway). This is 46.9% of the total 800m² land area. Amber disposes of the land more than 5 years after acquiring it – the property was purchased in 2022 and sold in 2028. It does not matter that the new build was only built in 2025 – the new build bright-line test would apply provided a new build is on the land when it is sold. Therefore, 46.9% of the gain would not be taxed on sale.

Old build

The proportion of the land with the old build on it is subject to the 10-year bright-line test as it is disposed of within 10 years of acquisition. The old build makes up 425m² of the land (being the land under the dwelling, the exclusive outdoor area, and a half share of the common driveway). This is the remaining 53.1% of the land.

Therefore, Amber will be required to pay tax on the following amount of her gain on sale:

$$(\$3,000,000 - \$1,400,000) \times 53.1\% = \$849,600$$

At her marginal tax rate of 39% she has tax to pay of \$331,344 on her \$849,600 taxable gain on sale.

Example reproduced from Commentary on SOP 64 first published in October 2021 by Policy and Regulatory Stewardship, Inland Revenue.

Self-contained residence or abode

A place only qualifies as a new build if it is self-contained. This means the new build needs to contain its own cooking and bathroom facilities and have its own entrance. The entrance can be from a shared accessway like a shared lobby.

New builds do not have to be constructed out of new material, or on-site. They can include modular, prefabricated or older relocated homes. The main criteria are that it is self-contained and receives its CCC on or after 27 March 2020 confirming it has been added to the land.

Code compliance certificate

A CCC for the purposes of subpt DH means a CCC issued under the [Building Act 2004](#). A CCC indicates when building works have been completed and meet the Building Code. It is used to objectively verify whether a new self-contained residence or abode has been added to the land and can be used by both IR and taxpayers.

The exemption for new build land generally starts on the date the CCC is issued.

Remediation of earthquake-prone buildings and homes with weathertightness issues

Land with existing self-contained residences may qualify as new build land if they are remediated in 2 instances. They are:

- # where they were on the EPB register but have been remediated and removed from the register, or
- # where they had weathertightness issues but have been at least 75% reclad.

The above 2 categories of land will qualify as new build land because a significant amount of building work is generally required to remediate these types of existing residences.

Section DH 5(7)(e) provides that to the extent land has a self-contained residence that is removed from the EPB register on or after 27 March 2020, the land is new build land if:

- # a CCC is issued on or after 27 March 2020 evidencing the building work to remediate the residence is complete, or
- # local or building consent authority records show that the building work to remediate the residence was completed on or after 27 March 2020 and that this has been verified by a suitably qualified engineer.

The second point above provides an exception to the CCC requirement. This is because, in some circumstances, remediation of an earthquake-prone building may not result in a CCC being issued. In such cases, to qualify as new build land, local or building consent authority records must show that:

- # the remediation was completed on or after 27 March 2020, and
- # the building work to remediate the building was verified by a suitably qualified engineer.

Example: Remediation of apartment building on EPB register

Robin has an apartment in an apartment building in Wellington that is on the EPB register. Robin and the owners of the other apartments in the building agree to proceed with building work to remediate the apartment building. Over a period of 12 months, building work to remediate the apartments takes place. On 30 June 2021, a CCC is issued confirming that the building work has been completed. The apartment building is removed from the EPB register. The apartments are considered new build land from this date.

Example reproduced from the Special report on the interest limitation and additional bright-line rules published in March 2022 by Inland Revenue.

Section DH 5(7)(f) provides for an existing self-contained residence is remediated for weathertightness issues. For the land to qualify as new build land, it must have:

- # at least 75% of the residence reclad, and
- # a CCC is issued on or after 27 March 2020 evidencing that the cladding has been replaced.

This provision applies to stand-alone residences and to a residence that is part of an apartment block.

Example: Leaky home remediated

Miranda owns a self-contained residence in Auckland that has significant weathertightness issues. It needs to be completely reclad, and large amounts of its interior need to be completely replaced because of mould and rot. Miranda arranges for the work to be done. A CCC is issued on 20 December 2020 evidencing that the residence has been at least 75% reclad, and that various other building work has been undertaken to remediate the property. The land that the residence is on is considered new build land from this date.

Fact variation: Only portion of home reclad

Steve owns a self-contained residence in Wellington that was built from native timber in the 1920s. In the 1990s, before Steve bought it, an extra couple of rooms were added to the residence. Unfortunately, in recent years Steve has discovered that the extra rooms were poorly constructed and have weathertightness issues.

Steve pays a builder to re-clad the extra rooms that were added to the residence. While Steve has re-clad the entire portion of the residence that was leaky, he has only reclad a quarter of the residence overall because most of the residence was not leaky.

The land that the residence is on does not qualify as new build land after the re-clad. This is because at least 75% of the residence would have to have been re-clad to qualify.

Example reproduced from the "Special report on the interest limitation and additional bright-line rules" published in March 2022 by Inland Revenue.

Special report issued

IR issued a ["Special Report on the interest limitation and additional bright-line rules"](#) in March 2022. Flowchart 6 in this report presents a summary of the process in determining if land is new build land. Flowchart 7 presents a summary of the process in determining if a remediated land is new build land. The report also contains a number of practical examples to illustrate the application of the law.

Law: IT07, former s [CB 6A\(2\)\(b\)](#), s DH 5

Last reviewed on 31 December 2025

Income from disposal of land — business relating to land [¶7-055]

[¶7-055]

[Click to open document in a browser](#)

The income of a person (person A) includes an amount derived from the disposal of land by person A where any one of the following applies:

- # at the time of acquisition of the land:

- # person A or an associated person carried on a business of dealing in land, and

- # person A acquired the land for the purpose of the business ([¶7-057](#)), or

- # at the time of acquisition of the land:

- # person A or an associated person carried on a business of developing or dividing land into lots, and

- # person A acquired the land for the purpose of the business ([¶7-059](#)), or

- # at the time of acquisition of the land:

- # person A or an associated person carried on a business of erecting buildings

- # person A acquired the land for the purpose of the business, and

- # person A or the associate made improvements to the land, before or after its acquisition, that are of more than a minor nature ([¶7-061](#)).

There are additional provisions that apply to a dealer, developer or builder. These provisions address the position of other land that had not been acquired for the purpose of any dealing, developing or building business by a person conducting one of those businesses. The land may give rise to assessable income if it is sold within 10 years. See further at [¶7-065](#) (dealer), [¶7-085](#) (developer) and [¶7-095](#) (builder).

There are exclusions for land that is residential land and business premises. See further at [¶7-211](#) and [¶7-250](#), respectively.

Law: IT07 s [CB 7](#)

Last reviewed on 31 December 2025

Income from disposal of land — business of dealing in land [17-057]

[17-057]

[Click to open document in a browser](#)

Under s [CB 7\(1\)\(a\)](#), the income of a person includes an amount derived from the disposal of land if, at the time of acquisition of the land, the person (or an associated person) carried on a business of dealing in land and the person acquired the land for the purpose of the business. Whether a person is a land dealer is a question of fact to be decided in light of the surrounding circumstances, including the number and frequency of land transactions that have been entered into by the taxpayer. The test of whether a person is a dealer in land is usually taken as follows:

It is to be noted that it must be a business of dealing. “Dealing” connotes buying and selling or exchanging land. To constitute a business of dealing where a person does not hold himself out as carrying on such business, generally speaking, the law requires a reasonable frequency of transactions or some continuity of effort in respect of the buying, selling or exchanging of land. Even where there are a number of transactions concerning land, they may well have some other explanation. The sales and purchases may be entirely for personal reasons. They may constitute a form of investment or change of investment with the object of getting a return from the property in preference to other forms of investment of money. It is a question of fact or inference from fact in each case. Sometimes it is difficult to draw the dividing line, and other times it is clear that the case falls on one side or the other. Each case must be decided on its own facts.

See *Bates v C of IR* ([1955](#)) [11 ATD 96](#) at 102. See also *Williams Property Developments Ltd v C of IR* ([1980](#)) [4 NZTC 61,537](#), where this statement was approved.

Example:

A real estate agent is not regarded as being a land dealer merely because of their work as an agent. An investor is not necessarily a land dealer when selling property to obtain a better investment. See Case D30 ([1980](#)) [4 NZTC 60,654](#).

Example:

The concept of “dealing” requires the subject-matter of the dealer’s business to be bought and sold substantially in the same condition. The business of dealing in land did not, therefore, cover the situation in which land was bought for the purpose of the erection and sale of houses. See *Hornby Leaseholds Ltd v C of IR* ([1984](#)) [6 NZTC 61,736](#) and also *Henderson v C of IR* ([1982](#)) [5 NZTC 61,279](#) (a subdivision of one single block of land).

Example:

TP Ltd was involved principally in erecting buildings such as schools and hospitals, but it had no pattern in dealing in domestic property. TP company built 2 houses on property acquired 7 years earlier for accommodation for long-term employees. These houses were sold 35 years later. The Taxation Review Authority held that there was sufficient connection between the business of the taxpayer and the erecting of domestic dwellings for the activity in question to constitute a part of that business. See Case L65 ([1989](#)) [11 NZTC 1,381](#).

Law: IT07 s [CB 7\(1\)\(a\)](#)

Last reviewed on 31 December 2025

Income from disposal of land — business of developing or dividing land [¶7-059]

[¶7-059]

[Click to open document in a browser](#)

Under s [CB 7\(1\)\(b\)](#), the income of a person includes an amount derived from the disposal of land if, at the time of acquisition of the land, the person (or an associated person) carried on a business of developing or dividing land into lots and the person acquired the land for the purpose of the business.

The provisions on gains derived from a business of developing or dividing land into lots overcome the decision in *Henderson v C of IR* ([1982](#)) 5 NZTC 61,279. In that case, the High Court held that a business of dealing in land does not encompass the building on or the developing of land. For an activity to constitute dealing, the commodity in which a dealer trades must be bought and sold in substantially the same condition. For the developer provisions to apply, it must be shown that the vendor was in the business of developing or dividing land into lots when they acquired the land. A person carrying on a business that is not one of land development or division at the time of acquisition is not subject to the developer provisions.

Example:

A profit made by an accountant when he sold his interest in a commercial property was not subject to the developer provisions, because he was not in the business of developing or subdividing land when he acquired his interest. While his partnership had started a building project that required division and development work, that work did not constitute a separate business. It was preparatory to or part of its contemplated business activity of building, not subdividing or developing. See Case T25 ([1997](#)) 18 NZTC 8,160.

Law: IT07 s [CB 7\(1\)\(b\)](#)

Last reviewed on 31 December 2025

Income from disposal of land — business of erecting buildings [IT7-061]

[IT7-061]

[Click to open document in a browser](#)

The provisions concerning businesses that relate to land apply to the disposal of land where the vendor, or an associated person, carried on a business of erecting buildings when the land was acquired and the land was acquired for the purpose of that business. It must also be the case that the vendor or their associate has made improvements to the land. Those improvements may have been made before or after the person acquired the land, overcoming an arrangement where, for example, the builder or the associate may effect the improvements before acquiring and then on-selling the improved land. For this purpose, the notion of improvements is defined to mean improvements to land that are not minor and that are made by a person (or an associated person) erecting a building or otherwise.

Example:

Taxpayers carried on a building contracting business in partnership, and, in 1963, acquired a section in a residential area. It was used for several years for the storage of building materials, but, in 1973, the taxpayers decided to erect on it a block of own-your-own flats. The Taxation Review Authority held that the profit derived from sale of the section was assessable income. If the land was acquired for the purposes of a business of erecting buildings, any profit on sale is taxable irrespective of whether a part of those profits might have otherwise been regarded as a capital gain. See Case D11 [\(1979\) 4 NZTC 60,485](#).

Example:

A partnership that owned rental properties and subsequently resolved to realise those properties in order to erect 4 flats was found by the Taxation Review Authority to be in the business of building. However, the Commissioner could not rely on the builder provisions to assess a taxpayer associated with the syndicate in respect of the sale of a commercial property purchased at the time of association because the Commissioner had assessed the taxpayers on different grounds.

The business of building was found to have commenced upon the start of work involving the demolition of the existing house, clearing the site, erecting fencing, connection of power and sewerage and paving of driveways. See Case T25 [\(1997\) 18 NZTC 8,160](#).

It is irrelevant when the disposal takes place. If the land was originally acquired by the taxpayer for the purposes of their building business and improvements have been made to it, then any amount arising on subsequent sale is included in income.

Example:

A building company acquired bare land that the shareholders intended should become the site of their family residence. Those plans were never implemented, and the land was sold after 28 years of ownership. The Taxation Review Authority held that the land was not acquired to be applied in the course of the company's building activities. See Case W23 [\(2003\) 21 NZTC 11,238](#).

Example:

A trust was found to be in the business of erecting dwellings in Case 5/2013 [\(2013\) 26 NZTC 12-004](#). This is despite the fact that the trust did not maintain separate records, have any employees, register for GST or employ the services of an accountant. What was important was that the trust had carried out its building activities in an organised and coherent way and a considerable amount of time and financial commitment was involved. The trust was involved in arranging the purchase and related financing of the land, having plans drawn up, organising the building contracts, project managing the build and carrying out the last stages of the build. Although no profit was actually realised in the beginning, reasonable profits were made towards the end of the trust's building activities.

Law: IT07 s [CB 7\(1\)\(c\)](#)

Last reviewed on 31 December 2025

Income from disposal of land — dealer's other land [17-065]

[17-065]

[Click to open document in a browser](#)

An amount derived from the disposal of land is income if:

- # the land was disposed of within 10 years of acquisition, and
- # at the time the land was acquired, the person, or an associated person, carried on a business of dealing in land.

It is not necessary that the land was acquired for the purpose of the dealing business. Conduct of the dealing business at the time of acquisition, and sale within 10 years, are sufficient to give rise to income upon sale of the land.

Where a person carries on the business of dealing or is associated with a person who carries on the business of dealing, extreme care needs to be taken in acquiring property for domestic or investment purposes. The associated persons test is applied at the time the land is acquired ([17-430](#)).

There are exclusions for certain council-controlled organisations, Kōhanga Ora-Homes and Communities (previously Housing New Zealand Corporation) and companies in the same wholly-owned group, and for certain residential land and business premises. See further at [17-209](#), [17-210](#), [17-211](#) and [17-250](#) respectively. The dealer's other land may not give rise to income upon death or distribution to a beneficiary of the estate ([17-400](#)).

Assessable income under s [CB 9](#) may not arise if land has been disposed of to the government under s 91, 103 or 104 of the Greater Christchurch Regeneration Act 2016 ([17-450](#)).

Law: IT07 s [CB 9](#)

Last reviewed on 31 December 2025

Income from disposal of land — developer's other land [¶7-085]

[¶7-085]

[Click to open document in a browser](#)

An amount derived from the disposal of land is income if:

- # the land was disposed of within 10 years of acquisition, and
- # at the time the land was acquired, the vendor, or an associated person, carried on a business of developing land or dividing land into lots.

It is not necessary that the land be acquired for the purpose of the developing or subdividing business. Conduct of the developing or subdividing business at the time of acquisition, and sale within 10 years, are sufficient to give rise to income upon sale.

There are exclusions for certain council-controlled organisations, Kōwhiri Ora – Homes and Communities (previously Housing New Zealand Corporation), companies in the same wholly-owned group, certain residential land and business premises, and land acquired from a co-owner on a partition or subdivision. See further at [¶7-209](#), [¶7-210](#), [¶7-211](#), [¶7-250](#) and [¶7-300](#) respectively. The developer's other land may not give rise to income upon death or distribution to a beneficiary of the estate. See further at [¶7-400](#).

Assessable income under s [CB 10](#) may not arise if land has been disposed of to the government under s 91, 103 or 104 of the Greater Christchurch Regeneration Act 2016 ([¶7-450](#)).

Law: IT07 s [CB 10](#)

Last reviewed on 31 December 2025

Income from disposal of land — builder's other land [¶7-095]

[¶7-095]

[Click to open document in a browser](#)

Where improvements carried out on land are more than minor in nature, s [CB 11](#) will apply to include as income an amount derived on disposal of the land by the following:

- # Builders who, at the time the improvements began, were carrying on the business of erecting buildings, and, regardless whether the land was acquired for the purpose of that business, the land is disposed of within 10 years of completing the improvements.

- # Persons who were associated with builders at the time the improvements were begun and the land is disposed of within 10 years of completing the improvement. It is irrelevant whether the person is a builder themselves or whether the land was acquired for the associated builder's business.

Where a person in the business of building acquires land and on-sells it without modification, the person will not be subject to tax under this section — that is, a genuine capital gain on private or investment property should not be taxed. However, a person in this situation would need to be aware of other taxing provisions that may apply.

The notion of improvements is defined to mean improvements to land that are not minor (and that are made by a person or an associated person erecting a building or otherwise). In other words, the improvements must be able to be regarded as more than minor before any gain upon disposal of the land gives rise to income.

QWBA [QB 18/01](#) "Can a fit-out of an existing building be 'improvements' for the purposes of s [CB 11](#)?" concludes that the fit-out of an existing building can be improvements and if the building is later sold, the proceeds may be taxable under s [CB 11](#). The item includes a number of examples.

The 10-year period runs from the date of completion of the improvements rather than from the date of acquisition of the land. No account is taken of how long the owner has held the land, so a disposal 20 years after acquisition may still give rise to assessable income if the land is disposed of within 10 years of completing improvements.

To be classified as "carrying on a business of erecting buildings" the business in question must be involved in most facets of a building business. Consequently, a person may be excluded from both ss [CB 7\(1\)\(c\)](#) and [CB 11](#) if the business does not involve the erection of buildings.

An employee of a building company, not carrying on the business, would appear not to be subject to ss [CB 7\(1\)\(c\)](#) and [CB 11](#) unless that employee was associated with another person who carried on a building business.

There are exclusions for certain council-controlled organisations, Kōwhiri Ora – Homes and Communities (previously Housing New Zealand Corporation) and companies in the same wholly-owned group, and for certain residential land and business premises. See further at [¶7-209](#), [¶7-210](#), [¶7-211](#) and [¶7-250](#) respectively. The builder's other land may not give rise to income upon death or distribution to a beneficiary of the estate ([¶7-400](#)).

Assessable income under s [CB 11](#) may not arise if land has been disposed of to the government under s 91, 103 or 104 of the Greater Christchurch Regeneration Act 2016 ([¶7-450](#)).

Law: IT07 s [CB 11](#)

Last reviewed on 31 December 2025

Development or division begun within 10 years — s CB 12 [¶7-115]

[¶7-115]

[Click to open document in a browser](#)

Proceeds from the disposal of land may be subject to taxation under s [CB 12](#) if the person has subdivided or developed the land within 10 years of acquisition. In particular, the disposal of land gives rise to income in the following circumstances:

- # an undertaking or scheme is carried on (not necessarily as a business)
- # the undertaking or scheme involves the development of the land or the division of the land into lots
- # the person, or another person on their behalf, carries on the development or division work on or in relation to the land
- # the development or division work is not minor
- # the undertaking or scheme commenced within 10 years of acquisition of the land, and
- # there is no application of an exclusion relating to:
 - # residential land ([¶7-225](#))
 - # business premises ([¶7-260](#))
 - # farmland ([¶7-270](#)), or
 - # investment land ([¶7-290](#)).

A number of the expressions used in s [CB 12](#) are very important in determining the scope and application of the section. These expressions are analysed further at [¶7-116](#) – [¶7-120](#).

Law: IT07 s [CB 12](#)

Last reviewed on 31 December 2025

Meaning of “undertaking or scheme” [¶7-116]

[¶7-116]

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The term “undertaking or scheme” as used in ss [CB 12](#) and [CB 13](#) is not defined in the IT07. However, there are a number of judicial definitions. A “scheme” typically implies a plan or purpose that is coherent and has some unity of conception. A scheme is a course of action devoted to a particular end. An “undertaking” is a project or enterprise organised and directed to an end result. See *Lowe v C of IR* ([\(1981\) 5 NZTC 61,006](#)) and *Investment and Merchant Finance Corporation Ltd v FC of T* [70 ATC 4001](#).

It would appear that not much activity needs to be present to constitute a plan or programme of action as an undertaking or scheme. Further, the undertaking or scheme must be carried on or carried out by the taxpayer or another person for them. See *Case X9* ([\(2005\) 22 NZTC 12,123](#)).

Land development activities invariably need to be preceded by the obtaining of regulatory consents and supported by a significant financial investment. Those aspects will typically show whether there is an undertaking or scheme.

Example:

A scheme exists when there is a coherent plan of action for the development or division into lots of the relevant land. While the scheme does not have to be complete in all details, there must be sufficient identification of objectives before any following steps may be described as implementation of the scheme instead of its preparation. The date of commencement is when the first step is taken in carrying out the scheme. See *Cross v C of IR* ([\(1987\) 9 NZTC 6,101 \(CA\)](#)). See further at [¶7-117](#).

Question we’ve been asked

QWBA [QB 15/04](#) “Income tax — whether it is possible that the disposal of land that is part of an undertaking or scheme involving development or division will not give rise to income, even if no exclusion applies” outlines the Commissioner’s position, that if an undertaking or scheme involving development or division has been carried on (and meets the other criteria in s [CB 12](#) or [CB 13](#)), the proceeds on disposal of all of the land will be taxable under the relevant provision unless an exclusion applies. However, the Commissioner will accept that s [CB 12](#) or [CB 13](#) does not apply to the disposal of any given part of the land if the taxpayer can provide satisfactory evidence that the undertaking or scheme was not carried on with a view to the disposal of that land. The item states that the Commissioner would expect to see evidence that there had been some other demonstrable plan for the land in question. The item identifies the following as things that may be relevant to establish an undertaking or scheme was not carried on with a view to disposal of the land in question:

- # the details of the development or subdivision plans, resource consent applications, etc
- # any contracts or agreements entered into
- # evidence as to the intended use of particular parts of the land
- # whether the taxpayer apportioned costs relating to the development or division work between land they had a view to disposal of and land they claim they did not
- # what ultimately happened to the land in question, and
- # the reasons for the ultimate disposal of the land in question.

The item emphasises that if an undertaking or scheme meeting the criteria in s [CB 12](#) or [CB 13](#) is carried on, it does not matter when the disposal of land occurs. The mere passage of time will not, without other supporting evidence, necessarily be sufficient to show that the undertaking or scheme was not carried on with a view to the disposal of the land in question. In addition, it is only necessary that an undertaking or scheme meeting the relevant criteria has been carried on, it does not need to have been carried out (ie brought to fruition). If an undertaking or scheme meeting the relevant criteria was carried on but was subsequently abandoned, the ultimate disposal of the land will still be caught by the relevant provision unless

an exclusion applies or the taxpayer can establish that the undertaking or scheme was not carried on with a view to disposal of the land in question.

Law: IT07 ss [CB 12](#), [CB 13](#)

Last reviewed on 31 December 2025

Commencement of the undertaking or scheme [¶7-117]

[¶7-117]

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The time of commencement is relevant in applying the 10-year rule under s [CB 12](#). It is also relevant in relation to calculating any amount derived under s [CB 13](#) because it is only the amount derived from the commencement of the scheme that is regarded as income.

Section [CB 12](#) applies if a scheme or undertaking began within 10 years of the acquisition of the land. All subsequent disposals are caught if the scheme or undertaking commenced within 10 years of the acquisition regardless of when the land is disposed of.

The commencement date of a scheme or undertaking will depend on the specific facts. However, as a general rule, a scheme will commence when the first positive or overt act in implementing the scheme occurs.

The High Court in *Cross v C of IR* ([1985](#)) 7 NZTC 5,054 held that a distinction can be made between actions preparatory to the commencement of an undertaking or scheme and the implementation of the scheme itself. The Court also noted that an undertaking or scheme commences with an overt act. However, in order for there to be an undertaking or scheme, not every detail of the scheme need be settled before commencement. Also, the completion of preparatory work does not automatically lead to the commencement of a scheme, since a taxpayer may legitimately defer the commencement of a scheme. The Court of Appeal held that the date of commencement was the date on which a contract for earthworks was let and work started. It did not commence when the original scheme plan was lodged with the relevant local authority.

In general, a development need not consist solely of physical activity. The legal process of obtaining any necessary resource consents may, in many cases, be regarded as part of the undertaking or scheme. Similarly, the date on which a direction to proceed is given to persons engaged to carry out the scheme, or the date of entering into some contract or arrangement may signal the commencement of an undertaking or scheme. Generally, a scheme will commence when the first positive or overt act for putting the scheme into effect occurs. The planning or formulation of a scheme is separate from the implementation of a scheme.

The Commissioner considers that commencement is the first step of a reasonably definite nature in a continuing series of steps leading to the development or subdivision being undertaken. This could be the preparation of the initial plan if the succeeding steps involving development followed on immediately, as it would be for the act of demolition of an existing structure on the land in question. Where there is an appreciable delay, the preparation may not trigger the start date.

Example:

A taxpayer's first step was an application for a specified departure to allow the subdivision of land. Without the application, the land would have retained its rural character. The specified departure hearing was held to be an integral part of the scheme of development and subdivision. The commencement of legal work may evidence the commencement of a scheme. See *Smith v C of IR* (No 2) ([1989](#)) 11 NZTC 6,018 (CA).

Implications of the Cross and Smith cases

There are a number of points to be learnt from these cases:

- # Where there is a scheme of subdivision planned to be carried into effect in a number of stages, there will only be one commencement date for the purposes of ss [CB 12](#) and [CB 13](#).
- # The planning or formulation of a scheme is separate and distinct from the implementation of a scheme. It is the commencement of the implementation of the scheme that is important for the purposes of ss [CB 12](#) and [CB 13](#).
- # When a scheme commences is a question of fact. However, as a general rule, a scheme will commence when the first positive or overt act in implementing the scheme occurs.

In practice, it is clearly preferable that, where land has been held for a period close to the 10-year mark, no feasibility activity occurs until the 10-year period has elapsed.

More than one scheme

Problems can occur when a taxpayer has commenced an undertaking or scheme within the 10-year period but:

- # has not completed a single scheme, and has become involved in 2 or more schemes affecting the same land, or
- # has abandoned the original scheme and commenced an alternative scheme.

The problem in this scenario is determining whether the subsequent scheme is a modification of the original scheme or an entirely new one.

In *Church v C of IR* (1992) 14 NZTC 9,196, one scheme commenced within the 10-year period, but it was abandoned. Another scheme commenced outside the 10-year period. The profits from the second scheme were not assessable. The sales were part of a new scheme commenced after the 10-year period had ended.

Law: IT07 ss [CB 12](#), [CB 13](#)

Last reviewed on 31 December 2025

Deductions for property introduced into a scheme or undertaking [¶7-118]

[¶7-118]

[Click to open document in a browser](#)

Where the sale proceeds of land are taxable income, the land is “revenue account property”. Section [DB 23](#) provides that a person is allowed a deduction for expenditure incurred as the cost of revenue account property.

If an undertaking or scheme falls within the provisions in s [CB 12](#), a deduction is allowed for the actual expenditure incurred in acquiring the land. This means that any increase in the introduced land’s value between the date of acquisition and the date the scheme commenced is taxable.

In comparison, s [DB 27](#) provides that where a person derives income under s [CB 13](#) the person will be allowed a deduction for the land equal to its market value at the time of the commencement of the scheme or undertaking.

Law: IT07 ss [CB 12](#), [CB 13](#), [DA 1](#), [DA 2\(1\)](#), [DB 23](#), [DB 27](#), [YA 1](#) (“revenue account property”)

Last reviewed on 31 December 2025

Meaning of development or division into lots [¶7-119]

[¶7-119]

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A “division into lots” seems to cover any procedure where the land is divided into separately marketable lots, whatever form those lots may take, rather than being limited to subdivision into separate freehold titles.

The division of land by unit plan or cross-lease has been held to be a division into lots. “Development” work is the preparation of land for its intended use, but does not include construction of buildings: *Dobson v C of IR* (1987) 9 NZTC 6,025.

Example:

In the case of a division of land by unit plan, the plan of units had to be deposited under the Land Transfer Act 1952, and it referred to clearly delineated and defined pieces of land. See Case E90 (1982) 5 NZTC 59,471.

Example:

In the case of the cross-lease, a flats plan was completed and purchasers received a lease in perpetuity of one of 7 flats, together with an undivided seventh share of the land. The cross-leases and undivided seventh shares achieved 7 separate lots. See *Woolston v C of IR* (1987) 9 NZTC 6,010.

Example:

Physical change of the land is not necessary, because division into lots is an alternative to development. See *Costello v C of IR* (1994) 16 NZTC 11,253 (CA).

Interpretation statement

Interpretation statement [IS 20/08](#) “Income tax – when is development or division work ‘minor’?” makes the following comments on “development or division into lots”:

“6. The undertaking or scheme must involve the ‘development of the land’ or the ‘division of the land into lots’.

- ‘Development of the land’ includes work done on or in relation to the land in preparation for its intended use. This might include fencing, demolishing buildings, clearing the site, earthmoving, installing power or water, creating a driveway or entranceway, legal work, zoning applications, the drawing of engineering plans and specifications, and entering into contracts for the physical work necessary for the development. It does not include the development of buildings.
- ‘Division of the land into lots’ requires, at a minimum, a level of activity designed to facilitate the division of land. This could include planning and preparation of formal plans; survey work, obtaining resource and building consents, and legal work, including the deposit of subdivision plans and the issue of separate titles if required.

7. The development or division work must be carried on by the person (or another person for them) and that work must be on or relating to the land. Work performed by a local authority in fulfilment of its own statutory function is not work carried on by the person (or another person for them).”

The Commissioner also considers that the “division of the land into lots” includes subdivisions, unit-titling and cross leasing. The amalgamation of 2 or more lots of land into one lot will not, on its own, constitute the division of the land into lots for the purposes of s [CB 12\(1\)](#). However, if the amalgamation of land forms part of a subdivision scheme, the cost of that amalgamation work will be included in the cost of the division work.

Resource consent

Note that, while the Commissioner considers resource consent application fees are not included when evaluating whether development or division work is minor (as it is work done in fulfilment of the local authority's own statutory function), the Commissioner does consider that "development or division work" includes any work involved in obtaining an environmental assessment as part of the process of applying for resource consent. This is because obtaining an environmental assessment is "development or division work carried on by the person (or another person for them) on or relating to the land".

Boundary adjustments

With regard to boundary adjustments (relocation, rearrangement or realignment), the Commissioner's view is that all boundary adjustments are the division of the land into lots.

There are 2 reasons for this view. The first is that the boundary adjustment requires the existing boundaries to be erased and new boundaries to be created, even if there is no increase in the number of lots. The work is exactly the same type of work that is carried out in a subdivision where the number of lots is increased.

The second reason is that s [CB 23B](#) provides that s [CB 12](#) applies where the land disposed of is the whole or part of any land to which s [CB 12](#) applies or the whole or part of any such land together with any other land. Therefore, if the boundaries between adjoining lots of land owned by the same person are altered, there is a division into lots of the land comprised of those adjoining lots.

While the term "division of the land into lots" has a broad meaning and encompasses all types of boundary adjustments, the amount received from the sale of that adjusted land may not be taxable under s [CB 12](#) if:

- # the other conditions of s [CB 12\(1\)](#) are not satisfied (that is, the division work is minor)
- # one of the exclusions to s [CB 12](#) is satisfied, or
- # it can be established that the undertaking or scheme involving the land was not carried on with a view to disposing of that land.

Law: IT07 ss [CB 12](#), [CB 13](#)

Last reviewed on 31 December 2025

Meaning of work of a minor nature [¶7-120]

[¶7-120]

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Section [CB 12](#) only applies where an undertaking or scheme involves work that is more than minor in nature. It is a question of fact whether the work is of a minor nature.

The courts have held that most subdivisional activities, including the associated legal and engineering work, are to be taken into account. The consequence is that this aspect of the development provisions generally will be satisfied. For example:

Whether the work is of a minor nature must, it seems, depend on an overall assessment of such matters as the time, effort and expense involved, measured both in absolute terms and relative to the nature and value of the land on which the work is done.

See *Lowe v C of IR* ([1981](#)) 5 NZTC 61,006 (CA). To take into account the entire range of activities suggests that little is required by way of activity to constitute a plan or programme of action that is a taxable undertaking or scheme.

Example:

Subdivisional work in relation to a block of land included:

- # fencing, planting and other work directly related to land, and
- # professional work on surveying, plan preparation and legal services.

The development and division work comprised surveying and engineering works and legal matters and cost over \$9,000. The land and buildings cost \$12,000. The court concluded that a scheme costing approximately 75% of the value of the projects could hardly be said to have been of a minor nature. See *Wellington v C of IR* ([1981](#)) 5 NZTC 61,101.

Example:

The demolition of existing houses was seen as the most significant feature in concluding that there was work of more than a minor nature. The development work involved demolition, clearing of sites, surveys and cross-leases. The demolition altered the whole character of each property, allowing for its complete redevelopment, which would not have been possible otherwise. The totality of work carried out was work of more than a minor nature. See *Dobson v C of IR*; *Dobson v C of IR* ([1987](#)) 9 NZTC 6,025. See also Case T25 ([1997](#)) 18 NZTC 8,160 per Judge Barber at 8,177.

Example:

The subdivision of a block of flats into 9 unit titles was not work of a minor nature. The Court of Appeal found that although the surveyor's fees were modest and the total professional charges were very small, relative to land values, it took the surveyor 36 hours to achieve the subdivision into 9 lots. The unit title subdivision also involved associated legal work, including establishing a new corporate body for the property. See *Costello v C of IR* ([1994](#)) 16 NZTC 11,253.

Commissioner's interpretation

Interpretation statement [IS 20/08](#) "Income tax – when is development or division work 'minor'?" provides guidance on whether development or division work undertaken on land is minor. Safe harbour figures for absolute cost and relative cost have also been identified to assist taxpayers with compliance. In the Commissioner's view, there are 4 factors to take into account in addressing the question of whether development or division work is minor. These are summarised in the statement as follows (see [8]):

“• The total cost of the work done, in both absolute and relative terms

Whether development or division work is minor depends on an overall assessment of the work involved, including the cost, as measured both in absolute terms (total cost) and relative terms (relative to the value of the land that is subject to the undertaking or scheme at the start of the

development or division work). The Commissioner accepts that amounts of \$50,000 or below are low in absolute cost terms. Similarly, the Commissioner accepts that relative costs of less than 5% of the value of the land at the start of the development or division work are low in relative cost terms. These figures are 'safe harbours' and are intended to give taxpayers greater certainty when making this cost assessment. Both measures of cost must be considered as it is possible for costs to be low in absolute terms but high in relative terms, and vice versa.

The cost factor is weighed along with the other three factors discussed below. However, the Commissioner considers that there will be a point where the absolute value of the sum spent on the development or division work is so high that this factor alone will indicate that the work is more than minor.

- **The nature of the professional services used**

Development or division work typically requires the services of professionals such as a solicitor, a surveyor, an engineer and/or a valuer. The more time a professional spends on the development or division work, the more likely that the development or division work is not minor. In addition, the more complex and significant the work undertaken by the professional the more likely that the development or division work is not minor.

- **The extent of the physical work required**

The more physical work undertaken as part of the development or division work, the more likely it is that the work is not minor. However, a lack of physical work does not necessarily mean that the development or division work will be minor.

- **The significance of the changes to the physical nature and character of the land**

The more significant the changes to the physical nature and character of the land since the development or division work began, the less likely it is that the development or division work will be minor."

Note that when applying the absolute and relative cost safe harbours, the Commissioner will give limited weight to the cost factor when evaluating whether work is minor where the taxpayer has been able to keep development or division work costs low because they have performed the work themselves.

Deciding if work is of a minor nature requires an overall assessment of what was done in the particular circumstances, having regard to the time, effort and expense involved measured in both absolute and relative terms, rather than the ticking off of items on a checklist.

The statement includes a number of examples explaining the application of s [CB 12](#), as well as an appendix containing a summary of cases that have considered whether development or division work was minor. Some of the examples follow:

Example: Straightforward subdivision of a farm

Mohammed owns a 75-acre farm he purchased 6 years ago. In addition to the house he lives in, there is an old farmhouse situated at one end of the property. Mohammed decides to subdivide off the old farmhouse and 2 acres of surrounding land. He arranges for a valuer to value the 75-acre farm shortly before the subdivision begins. The valuer estimates the value of the farm to be \$1.8 million.

Mohammed spends \$20,000 on professional services to create the subdivision. The survey work and legal work is straightforward as it is a simple division of one parcel of land into 2.

No physical work is required as existing fencing and hedges separate the old farmhouse and surrounding land from the rest of Mohammed's property. No easements for access or services are required.

Mohammed sells the farmhouse and the surrounding 2 acres for \$795,000.

Is the sale of the farmhouse and the 2 acres of surrounding land taxable under s [CB 12](#)?

There was an undertaking or scheme to divide the land into lots.

- # The cost was low in absolute terms (\$20,000) and in relative terms (1% of the pre-division value of the land, being \$1.8 million).
- # The nature of the professional services used was straightforward.
- # No physical work was required.
- # The character or nature of the land did not change.
- # The undertaking or scheme was begun within 10 years of the date on which Mohammed acquired the land.

On the facts, the division work was minor. Therefore, the sale of the farmhouse and the 2 acres of surrounding land is not taxable under s [CB 12](#).

Example: Subdivision with use of professional services and additional physical work and with land value unknown

Elisapeta purchased 10 acres of land 7 years ago for \$500,000. She began to build her dream home on the land, but building costs exceeded her expectations and she decided to subdivide the land to help finance the construction: one lot of 3 acres with her home on it and one lot of 7 acres to sell.

Elisapeta used the professional services of a surveyor, a solicitor and a geotechnical engineer. She also organised a landscaper to fence between the 2 lots and had an earthworks company excavate a driveway to one of the lots. An arborist felled several trees and cleared the site, as this was necessary for the subdivision of the land. The total cost of the division work was \$60,000.

Elisapeta did not know how much the 10-acre block was worth before she started the development. However, a council rating valuation from the year before for the undivided land was \$1 million.

Elisapeta sold the 7-acre block of land for \$700,000, which allowed her to complete construction of her home.

Is the sale of the 7-acre block taxable under s [CB 12](#)?

- # There was an undertaking or scheme to develop and/or divide the land into lots.
- # The cost was high in absolute terms (\$60,000). The cost was also high in relative terms, being 6% of the pre-division value of the land.
- # The use of several different professional services was required.
- # Physical work was required, including site clearance, excavation of a driveway and installation of fencing.
- # The character and nature of the land has changed, with the site cleared and trees felled.
- # The undertaking or scheme was begun within 10 years of the date on which Elisapeta acquired the land.

On the facts, Elisapeta's subdivision involved development or division work that was more than minor. Accordingly, s [CB 12](#) applies, and the sale price of \$700,000 is taxable.

The statement also discusses when a person carries on development or division work ([17-119](#)).

Law: IT07 s [CB 12](#)

Last reviewed on 31 December 2025

Income from disposal of land — major development or division [¶7-125]

[¶7-125]

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Section [CB 13](#) will apply to amounts derived from the disposal of land if the amount is derived in the following circumstances:

- # an undertaking or scheme is carried on (not necessarily as a business)
- # the undertaking or scheme involves the development of the land or division work
- # the development or division work has been carried on by or on behalf of the taxpayer on or in relation to that land
- # the development or division work involves *significant expenditure* on channelling, contouring, drainage, earthworks, kerbing, levelling, roading or any other amenity, service or work customarily undertaken in major projects involving the development of land for commercial, industrial or residential purposes
- # any one of the other land disposal provisions do not apply, and
- # none of the following exclusions apply:
 - # residential land ([¶7-225](#))
 - # business premises ([¶7-260](#))
 - # farmland ([¶7-270](#)), or
 - # investment land ([¶7-290](#)).

Section [CB 13](#) is really a “catch all” provision in that it catches any amount derived from major subdivision schemes and can apply where the land subdivision scheme is not taxable under any of ss [CB 6A–CB 12](#), and [CB 14](#).

The exclusions for development or division work used in carrying on the taxpayer’s business, for the taxpayer’s residence or for the derivation of rental income from that land have application to transactions that involve sale of land on which major development or subdivision has occurred under s [CB 12](#) or [CB 13](#).

The meanings of “undertaking or scheme”, “development or division into lots” and “significant expenditure” in relation to s [CB 13](#) are analysed further at [¶7-115](#), [¶7-119](#) and [¶7-127](#).

Law: IT07 s [CB 13](#)

Last reviewed on 31 December 2025

What is significant expenditure? [¶7-127]

[¶7-127]

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Whether expenditure will be regarded as “significant” is a question of fact and degree to be determined in light of all the circumstances. The amount of expenditure as a proportion to the total value may be a relevant factor. However, from case law it would seem that the threshold for “significant expenditure” is not high.

Example:

A subdivision involved the creation of 105 residential sections from 17 acres fronting an ocean beach. The work included grassing raw sand, installing storm water drainage, making roads and extending electricity services. The taxpayer contended that there had been no significant expenditure because \$103 had been spent per section. The court held, however, that regard should also be had to the surveying and legal costs and should include the taxpayer's time, use of farm machinery on the physical work of the subdivision, the value of the land that resulted from the expenditure and the circumstances of the subdivision. However, contributions to local body reserve funds were excluded. The profits were assessable income. See *Aubrey v C of IR* (1984) 6 NZTC 61,765.

Example:

Amounts paid by a taxpayer to the council for road, water and sewerage were excluded by the court. However, survey and valuation fees, expenditure on pipes and gravel and the notional cost of the taxpayer's time were to be taken into account. Since these items of expenditure totalled no more than 1.4% of the sale price of the subdivided section, the expenditure was not regarded as being significant. See *Mee v C of IR* (1988) 10 NZTC 5,073.

Some controversy may attach to the proposition that expenditure should include some sort of notional cost for the taxpayer's own efforts in the course of the undertaking or scheme. The concept of an expenditure for the purposes of provisions like the general permission are normally regarded as requiring some outlay or disbursement of funds. See further at [¶10-021](#).

QWBA on what is significant expenditure

QWBA [QB 15/02](#) “Income tax — Major development or division — What is ‘significant expenditure’ for section [CB 13](#) purposes?” deals with what expenditure is relevant for s [CB 13](#) purposes and when such expenditure will be regarded as “significant”. The QWBA concludes that expenditure on developmental work is relevant for s [CB 13](#) purposes, but expenditure on non-developmental work is not. The value of a person's time, effort or use of their machinery is not relevant, and neither is expenditure not yet incurred on the undertaking or scheme. Whether expenditure is “significant” requires consideration of the absolute amount, the amount relative to the pre- and post-development value of the land, and the context of the project. The QWBA concludes that other non-physical development work that is customarily found in major projects involving development of land for commercial, industrial or residential purposes (for example, preparation of zoning applications, the drawing of engineering plans and specifications, and the provision of estimates) is relevant for s [CB 13](#) purposes. The conclusions in [QB 15/02](#) are now reflected in [IS 20/08](#).

Last reviewed on 31 December 2025

Value of the land [¶7-129]

[¶7-129]

[Click to open document in a browser](#)

A significant feature of the application of the provisions dealing with a major development or subdivision is that the cost base comprises the market value of the land at the commencement of the scheme.

Under s [DB 27](#), a taxpayer subject to s [CB 13](#) is treated as having acquired the land immediately after the start of the scheme at the market value of the land at that time. The taxpayer is allowed a deduction for that value of the land.

The effect is that any inflationary gain accruing over the period from acquisition until committal to the undertaking or scheme is eliminated from assessable income. For this reason, it is important that taxpayers obtain a valuation of the land at the time of the commencement of the scheme even if they consider that the proceeds are not income.

Law: IT07 s [DB 27](#)

Last reviewed on 31 December 2025

Income from disposal of land — rezoning gains [¶7-135]

[¶7-135]

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The disposal of land gives rise to income in the following circumstances:

- # the amount is not income under ss [CB 6A–CB 12](#)
- # the land was disposed of within 10 years of acquisition
- # the total amount derived exceeds the cost of the land, and
- # at least 20% of the gain on disposal arises from at least one of the following:
 - # the rules of an operative district plan under the Resource Management Act 1991 (RMA)
 - # the likelihood of the imposition of such rules
 - # a change to the rules after acquisition
 - # the likelihood of a change to the rules
 - # the grant of a consent under the RMA after acquisition
 - # the likelihood of a consent being granted
 - # a decision of the Environment Court made under the RMA after acquisition
 - # the likelihood of such a decision being made
 - # the removal of a condition, covenant, designation, heritage order, obligation, prohibition, or restriction under the RMA
 - # the likelihood of the removal of a condition, covenant, designation, heritage order, obligation, prohibition or restriction
 - # an occurrence of a similar nature to any of the occurrences described above, or
 - # the likelihood of an occurrence of a similar nature to any of the occurrences described above, and
 - # none of the following exclusions apply:
 - # residential land ([¶7-235](#)), or
 - # farmland ([¶7-280](#)).

Essentially, if at least 20% of the excess derived (being excess of amount derived over cost) on disposal is attributable to any of the above factors, the whole amount is taxable.

However, the taxpayer is allowed a deduction under s [DB 28](#), that is, the taxable amount reduces by the greater of:

- # \$1,000, or
- # 10% of the derived amount exceeding the cost of the land multiplied by the number of each complete continuous 12-month period of the taxpayer's ownership of the land (not exceeding 10).

Example:

In October 2016, an individual sold a piece of land for \$270,000. The land was purchased in June 2008 for \$100,000 and at least \$34,000 (20% of the \$170,000 gain) is due to a change in zoning. No other land disposal provision, or exclusion, applies. Ownership of the land from June 2008 to October 2016 constitutes 8 complete years of ownership.

The amount required to be included as assessable income for the 2016–17 income year is:

Assessable income: sale proceeds	\$270,000
Less cost of land	\$100,000
Less 10% of the gain for each complete year of ownership, being:	
\$170,000 × 10% × 8	\$136,000
Taxable income is	\$34,000

The rezoning provisions require that a rezoning event has occurred, or a likelihood that one will occur sufficiently soon, to create a 20% share of the excess, arising upon the sale of the land. In deciding whether

there was any zoning potential at that time, it is legitimate to look at what happened after the sale, if that is logically relevant to the existence of a zoning potential at sale date.

“Likelihood”

In *Swan v C of IR* (1979) 4 NZTC 61,515 (SC) and Case V3 (2001) 20 NZTC 10,021 at 10,039 the phrase “likelihood” was held to refer to something more than a bare possibility and something that was less than probable could satisfy the test. In addition, the stipulated event does not have to be likely in the immediate future as it need only be close enough to enhance the excess derived on disposal of the land by at least 20%.

The fact that there was a zoning potential in existence when the land was bought (as well as at the time when the land was subsequently sold) does not mean that the rezoning provisions do not apply. What is to be looked for in such a case is the *increase* in potential during the time that the person holds the land. If the increase is sufficient to create 20% of the excess upon sale, the gain realised comes within the rezoning provisions.

In ascertaining the proportion of the excess caused by a zoning potential, the market value of the land without that potential at the time of sale should be compared with the market value of the land with that potential at the time of sale, rather than with the actual sale price. The increase in the potential over the period of the person’s ownership must be sufficient to say that 20% of the excess was caused by that increase in potential. This is because the actual sale price might be affected by factors peculiar to the purchaser, not related to the zoning potential.

Section [CB 14](#) will apply even if the taxpayer is unaware of any zoning-type changes or likely changes as set out in the provision. Intention or knowledge is not relevant for the purposes of s [CB 14](#).

Law: IT07 ss [CB 14](#), [DB 28](#)

Last reviewed on 31 December 2025

Land used as a landfill [¶7-165]

[¶7-165]

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An owner of land that has previously been used as a landfill may elect that the land be held on revenue account property. Where the following conditions are satisfied the election will be valid:

- # the person uses the land as a landfill prior to disposal
- # at the time of disposal, the land is not being used as a landfill
- # the purchaser is not an associated person
- # the person has notified the Commissioner within 12 months of acquisition that the land will be subject to the landfill provisions, and
- # all land used by the person or an associated person is subject to similar election notice requirements.

The effect of a valid election is that the landfill property is held on revenue account. Therefore, any gain or loss on disposal will be income or a deductible loss. Section [CB 8](#) is an exception to the rule that no deduction is allowed for a loss in value of land. It recognises that no amount of restoration expenditure by a landfill owner can prevent a loss in land value (*Tax Information Bulletin* [¶177-107 Vol 17, No 7](#), September 2005 at p 27). The prospect of being able to deduct a loss on disposal is likely to be influential in determining whether any election should be made.

Law: IT07 s [CB 8](#)

Last reviewed on 31 December 2025

Exclusions from the land disposal provisions [¶7-201]

[¶7-201]

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The land disposal provisions are subject to various exclusions. The exclusions encompass land that has been used for residential, business, farming or investment purposes and an exclusion for certain council-controlled organisations, Kāinga Ora – Homes and Communities (previously Housing New Zealand Corporation) and companies in the same wholly-owned group. If applicable, the exclusion prevents the creation of assessable income under one of the land disposal provisions.

The exclusions are summarised in the table that follows.

Category of income	Income Tax Act 2007	MTG reference	Exclusion	Income Tax Act 2007	MTG reference
Disposal within 2-year bright-line period	s CB 6A	¶7-049	main home	s CB 16A	¶7-215
Disposal within 5-year and 10-year bright-line period	Former ss CB 6A and CZ 39	¶7-050	main home	Former ss CB 16A and CZ 40	¶7-220
Bright-line – new build (Disposals before 1 July 2024)	Former s CB 6A(1)(b)	¶7-053	reduced bright-line period and interest limitation exclusion	s DH 5(7)	¶7-053 ¶7-220 ¶10-815
Purpose or intention of sale	s CB 6	¶7-045	own residence business premises	s CB 16 s CB 19	¶7-211 ¶7-250
Business relating to land	s CB 7	¶7-055	own residence business premises	s CB 16 s CB 19	¶7-211 ¶7-250
Dealer's other land	s CB 9	¶7-065	council-controlled organisation Kāinga Ora – Homes and Communities own residence business premises	s CB 15C s CB 15D s CB 16 s CB 19	¶7-209 ¶7-210 ¶7-211 ¶7-250
Developer's other land	s CB 10	¶7-085	council-controlled organisation Kāinga Ora – Homes and Communities own residence business premises	s CB 15C s CB 15D s CB 16 s CB 19	¶7-209 ¶7-210 ¶7-211 ¶7-250
Builder's other land	s CB 11	¶7-095	council-controlled organisation Kāinga Ora – Homes and Communities own residence business premises	s CB 15C s CB 15D s CB 16 s CB 19	¶7-209 ¶7-210 ¶7-211 ¶7-250
Development within 10 years	s CB 12	¶7-115	residential development	s CB 17(1)	¶7-225

			own residence	s CB 17(2)	¶7-225
			business premises	s CB 20	¶7-260
			farmland	s CB 21	¶7-270
			investment land	s CB 23	¶7-290
Major development	s CB 13	¶7-125	residential development	s CB 17(1)	¶7-225
	s DB 27		own residence	s CB 17(2)	¶7-225
			business premises	s CB 20	¶7-260
			farmland	s CB 21	¶7-270
			investment land	s CB 23	¶7-290
Rezoning gains	s CB 14	¶7-135	residential development	s CB 18	¶7-235
	s DB 28		farmland	s CB 22	¶7-280

Law: IT07 ss [CB 15C–CB 23](#), [CZ 40](#)

Last reviewed on 31 December 2025

Exclusion for bodies controlled by local authorities [¶7-209]

[¶7-209]

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The land tainting rules in ss [CB 9](#)–[CB 11](#) were introduced to prevent tax avoidance, but were overreaching in the context of council groups by taxing capital account land in situations when there was no tax avoidance concern. The rules were amended to exempt entities linked by ownership or control to local authorities.

Section [CB 15C](#) applies retrospectively from 1 September 2015, the date on which Auckland Council established a land development entity. The section prevents land held by council-controlled organisations of Auckland Council from being tainted by the land development entity under s [CB 9\(2\)](#), [CB 10\(2\)](#) or [CB 11\(1\)\(b\)\(ii\)](#).

The exemption does not apply to:

- # entities associated with a local authority under the tripartite relationship test in s [YB 14](#), and
- # entities associated to a property developer when that developer is outside the council group, unless that association occurs under s [YB 14](#).

Consequential amendments were also made to ss [CV 2](#) and [FM 9](#) to ensure that those provisions are overridden by s [CB 15C](#), otherwise a land disposal that was exempt under s [CB 15C](#) could still be taxable to the group because of the development activities of another group member. This ensures that the consolidated group rules do not defeat the intent of the land tainting amendments.

Law: IT07 ss [CB 9\(3\)](#), [CB 10\(3\)](#), [CB 11\(3\)](#), [CB 15C](#)

Last reviewed on 31 December 2025

Exclusion for Kainga Ora – Homes and Communities (previously Housing New Zealand Corporation) [¶7-210]

[¶7-210]

[Click to open document in a browser](#)

From 1 July 2017, Kainga Ora – Homes and Communities (previously Housing New Zealand Corporation) and companies in the same wholly-owned group of companies have been excluded from the land tainting rules in ss [CB 9\(2\)](#), [CB 10\(2\)](#) and [CB 11\(1\)\(b\)\(ii\)](#). In addition, the associated persons rule in s [CB 15\(1\)](#) does not apply ([¶7-432](#)).

The exclusion was introduced to correct an incorrect policy result for the Housing New Zealand (HNZ) group by imposing tax on sales that were not a policy concern. For example, a sale of a property in HNZ's rental portfolio may have become taxable under the land tainting rules because of the development or building activities of another group member, despite not being ordinarily taxable under the land sale rules and there being no concern that HNZ was trying to undermine the rules.

Consequential amendments were also made to ss [CV 1](#), [CV 2](#) and [FM 9](#) to ensure that those provisions are overridden by s [CB 15D](#), otherwise a land disposal that was exempt under s [CB 15D](#) could still be taxable to the group because of the development activities of another group member. This ensures that the wholly-owned and consolidated group rules do not defeat the intent of the land tainting amendments.

Law: IT07 ss [CB 9\(3\)](#), [CB 10\(3\)](#), [CB 11\(3\)](#), [CB 15\(1B\)](#), [CB 15D](#)

Last reviewed on 31 December 2025

Residential exclusion from land disposal provisions [¶7-211]

[¶7-211]

[Click to open document in a browser](#)

There is an exclusion for the disposal of land with a dwellinghouse situated on it, where the disposal would otherwise give rise to assessable income under one of the following land disposal provisions:

- # land acquired with the purpose or intention of sale ([¶7-045](#))
- # land acquired for a business relating to dealing, developing or erecting buildings ([¶7-055](#) – [¶7-061](#))
- # the other land of a dealer ([¶7-065](#)), developer ([¶7-085](#)) or a builder ([¶7-095](#)).

For the exclusion to apply, the following requirements must be satisfied:

- # the person acquired the land with a dwellinghouse on it, or
- # acquired the land and erected a dwellinghouse on it, and
- # the dwellinghouse was occupied mainly as a residence by:
 - # the person
 - # if members of the person's family live with them, the person and any family members living with them, or
 - # if the person is a trustee, one or more beneficiaries of the trust.

The exclusion applies to the land with the dwellinghouse on it if the total area of the related land is 4,500 square metres or less. However, if that size is exceeded, the larger area must have been required for the reasonable occupation and enjoyment of the dwellinghouse.

The exclusion does not apply to a person who has engaged in a regular pattern of acquiring and disposing of, or erecting and disposing of, dwellinghouses used mainly as the taxpayer's residence. From 30 March 2021, amendments were made and have expanded the regular pattern restriction to apply to a group of persons undertaking buying and selling activities together, rather than just the activities of a single person. For the purposes of the residential and the main home exclusions, a group of persons means 2 or more people when they occupy, or have occupied, all of the properties together as their residence. It also includes a non-natural person (such as a trustee of a trust or another entity) if at least one of the people who occupy all the properties has significant involvement in, or control of, the activities of that non-natural person. For the avoidance of doubt, it is provided that if the other person is able to direct, alone or as part of a group, the activities of the non-natural person, then they have significant involvement in, or control of, the activities of the non-natural person.

Example:

Example taken from the Commentary to the Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Bill.

Finally, the amendments have clarified that the regular pattern restriction in the residential exclusion applies only when the land was acquired with a purpose or intention of disposal. This ensures that the restriction is better targeted at people who regularly buy and sell land on a speculative basis.

QWBA [QB 25/09](#) “When do I have a “regular pattern” of transactions that prevents me from using exclusions from the land sale rules for my residence or for my main home?” considered what constituted a regular pattern for the purposes of the main home (s [CB 16A](#)) and residential (s [CB 16](#)) exclusions. QB 25/09 replaces [QB 16/07](#).

The item states that for there to be a “pattern” there has to be a similarity or likeness between the transactions. The reason or purpose for each transaction is irrelevant; it is the similarity of the transactions

that is important. For a pattern to be “regular”, the transactions must occur at sufficiently uniform or consistent intervals. For a “regular pattern” involving disposal of property, a taxpayer must have engaged in the regular pattern independently of and before the transaction in question. The transaction being considered as potentially subject to tax is **not** taken into account in deciding if there is a regular pattern of such transactions.

Merely residing in the premises in question for a period will not be sufficient to satisfy the residence requirement of this exclusion. In Case G76 [\(1985\) 7 NZTC 1,348](#) the Authority found that the taxpayer’s occupation of the house was incidental to the purpose of building and then disposing of the property at a profit. Occupation was necessary only to provide the money to complete the scheme.

In addition, the Commissioner does not consider that the exclusion applies to accommodation used on a short-term or transient basis, such as hotels, motels, boarding houses and similar buildings (*Tax Information Bulletin* [¶68-107 Vol 6, No 8](#), January 1995 at 9).

The exclusion will also apply to residences where the owner of the land is a trust and some or all of the beneficiaries of the trust occupy the dwellinghouse as a residence.

Law: IT07 s [CB 16](#)

Last reviewed on 31 December 2025

Main home exclusion from bright-line test — for the new 2-year test and the old 5-year test [¶7-215]

[¶7-215]

[Click to open document in a browser](#)

Note: This commentary covers the position relating to the main home exemption as it applies to the 5-year bright-line test (for residential land acquired between 29 March 2018 and 27 March 2021) and the new 2-year bright-line test (for residential land disposed of on or after 1 July 2024).

The principal exclusion from the bright-line test for the disposal of residential land (see ss [CB 6A](#) and former [CZ 39](#) and [¶7-049](#), [¶7-050](#), [¶7-053](#)) is for the disposal of a person's main home. The main home exclusion was revised in March 2021 and then returned to its original policy state in March 2024. Two slightly different exclusions now apply depending on the key acquisition or disposal date for the residential land in question:

Key acquisition or disposal date for residential land	Applicable bright-line test and exclusion
Land disposed of on or after 1 July 2024 within 2 years of the bright-line acquisition date	New 2-year bright-line test applies (s CB 6A) Main home exclusion applies if land used as main home for most of the bright-line period (s CB 16A)
Land acquired on or after 27 March 2021* and disposed of before 1 July 2024	10-year bright-line test or 5-year new build bright-line test applies (former s CB 6A) Main home exclusion applies only for period that land is used as main home (former s CB 16A)
Land acquired between 29 March 2018 to 26 March 2021	5-year bright-line test applies (former s CZ 39) Main home exclusion applies if land used as main home for most of the bright-line period (former s CZ 40)
Land acquired between 1 October 2015 to 28 March 2018	2-year bright-line test applies Main home exclusion applies if land used as main home for most of the period of ownership
Land acquired prior to 1 October 2015	Bright-line test does not apply

* Some exceptions apply (see discussion at [¶7-053](#) and [¶7-220](#)).

Main home exclusion for the new 2-year and the old 5-year bright-line test

The main home exclusion in this commentary is relevant and applicable for the following bright-line tests:

The new 2-year bright-line test that captures residential land disposed of on or after 1 July 2024 and within 2 years of the acquisition date (see s [CB 6A](#) and [¶7-049](#)).

The 5-year bright-line test for residential land acquired between 29 March 2018 and 26 March 2021 and disposed of by a person within 5 years (see [¶7-050](#) and former s [CZ 40](#)).

The main home exclusion applies if the land has been used predominately, for most of the bright-line period, for a dwelling that was the person's main home. This main home exclusion applies on an all or nothing basis.

There are 3 requirements for the exclusion:

- # the dwelling must be the person's main home
- # the land must have been used predominantly for that dwelling, and
- # the above requirements must have been satisfied for most of the bright-line period.

Main home

A main home of a person is the one dwelling that is *mainly* used as their residence (their home). Where a person has more than one home, their main home is the dwelling with which they have the greatest connection.

For the main home exclusion to apply, the dwelling must have been mainly used as the home of the person disposing of the land or a beneficiary of a trust of which the person is a trustee (subject to some limitations, discussed below).

Used predominantly as main home

For the exclusion to apply, the land must have been used predominantly for a dwelling that was the main home. This means that most of the area of the land must have been actually used for the home. The test is based on a person's actual use of the property and not the person's intended use of the property.

In some circumstances, a person will be required to determine the area of land used for their private residential purposes and the area of land used for other purposes. For example, when a single property has been used by the owner partly as a residential home and partly as a rental property, the relative areas will need to be determined. In many cases, a taxpayer will have determined the relative areas in working out the tax deductions (insurance and rates, for example) that can be claimed. The determination of the areas includes any land used for the relevant purposes (for example, a backyard or garage for the home).

The exclusion can only apply where the property is actually used as the main home. It can also only apply in full or not at all; it does not apply on a proportionate basis. As a result, if less than 50% of the property is used as the main home of the person, the main home exclusion will not apply (see example in *Tax Information Bulletin* [¶1364-102a Vol 36, No 4](#), May 2024 at 9).

Used for most of the bright-line period as main home

Prior to 23 March 2020, the land must have been used predominantly for the main home of the person, or a beneficiary of a trust that owned the property, for most of the time the person had owned the property. From 23 March 2020, the provision was amended to align the period of ownership for the main home exclusion from the bright-line test with the period in the bright-line test itself. Thus, rather than considering the use of the land during the period the person owned the property, the exclusion now considers the use of the land during the bright-line period.

The land must have been used for the main home for most of the bright-line period, ie from date of acquisition to the bright-line end date. IR has said this requires use for more than 50% of the period. The land does not have to have been used without interruption as the main home. For example, a main home can be rented out for short periods while the owner is on holiday or prior to settlement of the sale of the property, as long as the time is less than the private residential use.

Again, the exclusion can only apply where the property is actually used as the main home. It can also only apply in full or not at all; it does not apply on a proportionate basis. As a result, if a property is used less than 50% of the time as the main home of the person, the main home exclusion will not apply. The owner must have resided in the property as their main home. The exclusion will not apply when only a family member and not the owner has used the property as their main home.

Construction period

For the purposes of determining whether the residential land was used for most of the bright-line period as a person's main home, s [CB 16A \(2\)](#) clarified that the construction period for the person's main home is ignored. The word "construction" is not defined in the IT07. The Commissioner's view is that the ordinary meaning of "construction" would apply, which would include work to build or erect the main home, and the design phase (see example in *Tax Information Bulletin* [¶1364-102a Vol 36, No 4](#), May 2024 at 9). Generally, construction is considered complete once the code compliance certificate has been issued under the [Building Act 2004](#).

The former ss [CB 16A](#) and [CZ 40](#) have been amended to ensure the construction period is also ignored for the purposes of determining whether the main home exclusion from the 5-year bright-line test applies.

Example : Ignoring the construction period for the main home exclusion for the 5-year bright-line test

Amy purchased a new build townhouse off the plans on 1 June 2019. Construction was completed on 5 March 2020 and Amy moved in on 1 April 2020. Amy lived in the townhouse until 15 December 2020 when she moved overseas for a job offer she could not refuse. The townhouse was sold on 17 January 2021.

- # The construction period of 1 June 2019 to 5 March 2020 is 279 days.
- # The period Amy lived in the house from 1 April 2020 to 15 December 2020 is 259 days.
- # The bright-line period of 1 June 2019 to 17 January 2021 is 597 days.
- # The 279 days the property is constructed is ignored, so the calculation is as follows: $259 / (597 - 279) = 81.45\%$

The main home exclusion from the 5-year bright-line test applies because 81.45% is at least 50%, and Amy is not subject to tax on the sale of her home.

Example reproduced from *Tax Information Bulletin* [¶364-102a Vol 36, No 4](#), May 2024 at 106.

Main home exclusion and trusts

If a property is owned by a trust, the main home exclusion will apply to the trustee when the dwelling is the main home of a beneficiary of the trust (s [CB 16A\(1\)\(b\)](#)). The land must be used predominantly for a dwelling that is the beneficiary's main home for most of the bright-line period. If a principal settlor of a trust has a main home that is not the one being disposed of by the trust, the main home exclusion cannot apply to any property owned by the trust.

A principal settlor of a trust is the person whose settlements for the trust are the greatest or greatest equal, by market value. For these purposes, a person's settlements do not include the provision of services at below market value. In addition, a person is not a principal settlor if they have provided a "no strings attached" gift to the trust. A transfer of value will also be disregarded unless that transfer is by:

- # a beneficiary
- # a trustee
- # a person with power of appointment or removal of trustees
- # a person with a contingent interest in the trust property, in the case that the trust fails, or
- # a decision-maker under the trust.

There is no guidance as to who "a decision-maker under the trust" might be. It is presumed that this will include protectors, advisory trustees and any other person in a role that gives the person any power over the trustees or the ability to exercise what would otherwise be trustee powers. A person with the ability to determine a trustee dispute or disagreement might also be a decision-maker under a trust. Accordingly, care should be taken when drafting deeds of trust to avoid inadvertently providing that a person is or could be a principal settlor of a trust.

To be able to determine who the principal settlor is, trustees will need to ensure adequate records of gifting and settlements onto the trust by all settlors (as defined for tax purposes), not just the settlors named in the deed of trust. The definition of "settlement" is modified for these purposes by the definition of "[settlement](#)" in s [YA 1](#).

Example: Trusts — student flat

Dave has two properties, a family home that he lives in, and a student flat that his son lives in while studying. Dave settles the student flat on a trust and makes his son a discretionary beneficiary of the trust.

The trust cannot use the main home exclusion because the principal settlor of the trust (Dave) has another main home.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 86.

Habitual sellers

A person will not be able to use the main home exclusion if they (s [CB 16A\(3\)](#)):

- # already used it 2 or more times in the previous 2 years, or
- # have engaged in a regular pattern of acquiring and disposing of residential land used predominantly for a dwelling as a main home.

QWBA [QB 25/09](#) “When do I have a “regular pattern” of transactions that prevents me from using exclusions from the land sale rules for my residence or for my main home?” considers what constitutes a regular pattern for the purposes of the main home (s [CB 16A](#)) and residential (s [CB 16](#)) exclusions ([¶7-211](#)).

Despite amendments to the bright-line test over the years, the principles remain the same regarding patterns of disposals of residential properties. For the purposes of the main home exclusion, the regular pattern restriction has been expanded to apply to a *group of persons* undertaking buying and selling activities together, rather than just the activities of a single person (s [CB 16A\(4\)](#)). See [¶7-211](#) for detailed commentary and an example of a group of persons for these purposes.

Multiple homes

Where a person resides in multiple homes, only one of those properties can be their main home for the purpose of the main home exclusion for the bright-line test. QWBA [QB 24/01](#) “If a person has two or more homes, which home is their main home for the purpose of the main home exclusion to the bright-line test?” concludes that if a person has 2 or more homes that they use as a residence, their main home would be determined according to which property the person has the greatest connection with. The Commissioner considers the factors that determine these connections would include:

- # the time the person occupies the dwelling
- # where their immediate family, if any, live
- # where their social ties are strongest
- # the person’s employment, business interests and economic ties to the area where the dwelling is located, and
- # whether the person’s personal property is in the dwelling.

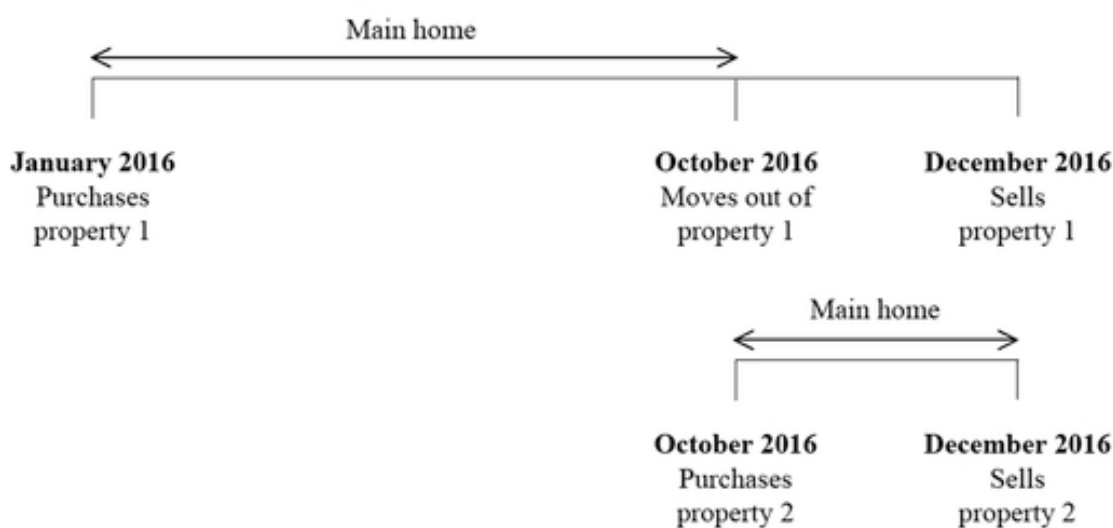
The item further stated the Commissioner’s view that a person’s holiday home cannot be considered their main home as the holiday home is not used as a residence. See [QB 24/01](#) for examples.

Using the exclusion for 2 properties

Under limited circumstances, a person may use the main home exception for 2 properties sold at the same time. An example is when a person lives in a home for less than one year as their main home and moves into a new home while trying to sell the original home. The original home may satisfy the requirements to be the person’s main home for the period before moving into the main home. The new home may also satisfy the requirements to be the person’s main home for the subsequent period.

The ownership overlap of the properties will not mean the original home fails to satisfy the requirements to be a main home for the previous period. If the 2 properties were sold at the same time, the owner would be able to use the main home exception for both properties (if they both satisfied the requirements to be a main home for the different periods).

Example: Main home exception for multiple properties



The main home exclusion is available for both properties. Property 1 was the main home for 9 out of the 11 months of the bright-line period. Property 2 was the main home for the entire bright-line period.

Example adapted from *Tax Information Bulletin* ¶281-115 Vol 28, No 1, February 2016 at 84.

QWBAs

Main home exclusion and renting to flatmates

QWBA [QB 24/02](#) “Income tax — bright-line test — main home exclusion — renting to flatmates” concludes that a person can qualify for the main home exclusion for the purpose of the bright-line test if they rent out a room in their home to a flatmate as the home is considered to be “mainly used as a residence” by the person.

Where a person rents out space in their home to one or more flatmates, the item considers the following factors may be of relevance in determining whether the dwelling is “mainly used as a residence” (note none of the factors below are by themselves determinative):

- # the person’s purpose in renting rooms to flatmates – renting rooms to flatmates to assist with the costs of home ownership may indicate the dwelling is mainly used as a residence versus renting rooms to flatmates with the purpose of deriving a profit
- # the proportion of the dwelling that is for the person’s use (either exclusively or as common use)
- # the scale of the person’s rental activity – a large number of flatmates may suggest that the person’s rental activity is significant.

Example: Sharing home with flatmates

Seilala purchased a four-bedroom apartment, with the sale being settled on 16 February 2023. The apartment is in a unit title complex. Seilala owns the apartment and has shared ownership in the common areas (e.g., lifts, lobby and driveway).

Seilala lives in the apartment and rents out three bedrooms to flatmates. Seilala occupies the largest of the four bedrooms and his flatmates each occupy a standard double room. The apartment has a large open plan living and dining space that is used by all the occupants.

Seilala continues to live in the apartment with his flatmates until he sells it on 11 July 2024.

The bright-line test applies as the apartment was sold after 1 July 2024 and the sale was less than two years after Seilala’s bright-line start date (16 February 2023).

The main home exclusion applies to Seilala if:

- # more than 50% of the land was used for a dwelling that was Seilala’s main home; and

the dwelling was used as Seilala's main home for more than 50% of the bright-line period.

As the apartment consists of a single dwelling Seilala's land has been used predominantly for a dwelling.

Seilala has use of most of the apartment and decided to share with flatmates to reduce some of the cost of home ownership. As the apartment has been mainly used as Seilala's residence, the property is Seilala's main home.

As the land was used by Seilala as his main home for most of the days in the bright-line period (in fact, all the days in the bright-line period), Seilala qualifies for the main home exclusion. Any gain on the sale of the property is not taxable under the bright-line test.

Example reproduced from *Tax Information Bulletin* [Vol 36, No 6](#), July 2024 at 48.

Main home exclusion and sale of subdivided section or lifestyle blocks

QWBA [QB 25/12](#) "How does the bright-line test apply to the sale of a subdivided section?" considers whether the main home exclusion to the bright-line test can apply in a situation where:

- # there is undivided land that contains a dwelling (which is the seller's main home)
- # the land is subdivided into new sections, one that contains the dwelling and another (or others) that does not contain a dwelling, and
- # the subdivided section (or one of the sections) without a dwelling is sold.

The item concludes that the main home exclusion will apply when more than 50% of the area of the land in the subdivided section has been used for a dwelling that was the seller's main home, and the seller has used the land in the subdivided section in that manner for more than 50% of the time since the seller acquired the undivided land. See examples in [QB 25/12](#) to demonstrate the application of the rules. [QB 25/12](#) replaces [QB 18/16](#).

QWBA [QB 25/13](#) "When is the sale of a lifestyle block excluded from the bright-line test?" considers when the sale of a lifestyle block is excluded from the bright-line test and considers the farmland and main home exclusions. In the item it is assumed that:

- # there was a dwelling on the land that was the seller's main home
- # none of the other land rules in ss [CB 6](#) to [CB 12](#) of the IT07 apply to the sale of the land, and
- # none of the exceptions to the main home exclusion apply.

The item states that where the land is, or could in its current state, be used for a farming or agricultural business carried on by the owner, the land will be farmland and not residential land and therefore not subject to the bright-line test. Lifestyle blocks are generally not farmland. [QB 25/13](#) replaces [QB 18/17](#).

The main home exclusion will apply where:

- # more than 50% of the area of the land has been used for the seller's main home. This includes curtilage and other land used for residential purposes, and
- # the land has been used in that manner for more than 50% of the time the seller owned it.

See Flowchart 1 in [QB 25/13](#) which summarises the main steps when determining whether the bright-line test applies to a lifestyle block. These steps address the question of whether the land is farmland and the application of the main home exclusion. The flowchart assumes that the lifestyle block is residential land if it is not farmland, and that none of the exceptions to the main home exclusion apply. Also see examples in [QB 25/13](#) to demonstrate the application of the rules.

Law: IT07 ss [CB 6A](#), [CB 16A](#), former [CZ 39](#), former [CZ 40](#), [DB 23](#), [DB 23C](#), [YA 1](#) ("bright-line date", "[bright-line period](#)", "[main home](#)", "[principal settlor](#)", "[residential land](#)", "[settlement](#)")

Last reviewed on 31 December 2025

Main home exclusion from bright-line test — for the 10-year test and 5-year new build test [¶7-220]

[¶7-220]

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Note: This commentary covers the position relating to the main home exemption as it applies to the 10-year and 5-year new build bright-line tests for residential land acquired on or after 27 March 2021 and disposed of before 1 July 2024.

A person's main home is not taxed under the bright-line test because an exclusion for main homes applies (known as the main home exclusion). These rules determine whether a person qualifies for the main home exclusion. There are 2 sets of main home rules for the bright-line test – the main home exclusion rules for the new 2-year test or the 5-year test ([¶7-215](#)), and the main home exclusion rules for the 10-year test (including the 5-year new build test).

The principal exclusion

The principal exclusion from the bright-line test for the disposal of residential land acquired on or after 27 March 2021 and disposed of before 1 July 2024 is for the disposal of a person's main home. See former s [CB 6A](#) and [¶7-050](#).

Land acquired on or after 27 March 2021

Residential land acquired on or after 27 March 2021 and disposed of within the bright-line period is not subject to the bright-line test if, *for all of the days* in the bright-line period, the land has been used predominantly for a dwelling that was the main home of the person, or of a beneficiary of a trust of which the person is a trustee: former s [CB 16A](#).

Note that this main home exclusion does not apply to land acquired on or after 27 March 2021 where an offer was made on the land on or before 23 March 2021 and the offer was irrevocable before 27 March 2021. The former main home exclusion in s [CZ 40](#) applies in these cases ([¶7-215](#)).

Used predominantly as main home

A main home of a person is the one dwelling that is *mainly* used as their residence (their home). Where a person has more than one home, their main home is the dwelling with which they have the greatest connection.

For the exclusion to apply, the land must have been used predominantly for a dwelling that was the main home. As discussed above, this means that most of the area of the land must have been actually used for the home. If less than 50% of the property is used for the main home, then the land apportionment test must be applied (see below).

Time apportionment

The main home exclusion does not apply on an all or nothing basis. For land acquired on or after 27 March 2021, the exclusion applies only for the period the property is actually used as the taxpayer's main home. If the land has not been used as the main home for a period that exceeds 12 months, the main home exclusion does not apply. The sale proceeds on disposal are then taxable, but an adjustment is permitted to ensure that tax is paid only on any gains made during the period of time that the property was not used as the main home. See below for a discussion on the operation of the adjustment provision.

Main home

For land acquired on or after 27 March 2021, the main home of a person is the one dwelling that is used as their residence, that is, the dwelling is their main home. Where a person has more than one home, their main home is the dwelling with which they have the greatest connection.

For the main home exclusion to apply, the dwelling must have been used as the home of the person disposing of the land or a beneficiary of a trust of which the person is a trustee (subject to some limitations, discussed below).

Note that for land acquired before 27 March 2021, the main home definition previously referred to the dwelling being *mainly* used as the person's home.

Used for all of the days in the bright-line period for the main home

If more than 50% of the property is used for the main home, it is then necessary to consider whether the property has been so used for the relevant period.

The main home exclusion in former s [CB 16A](#) requires the land to have been used predominantly for a dwelling that was the main home for the person for all of the days in the bright-line period. The bright-line period is the period starting with acquisition date (generally the date of registration) and ending with the bright-line date of disposal. ([¶17-050](#)).

See *Tax Information Bulletin* [¶1336-102 Vol 33, No 6](#), July 2021 at 18 for examples illustrating how the exclusion applies, as well as compares the result with the exclusion for land acquired before 27 March 2021.

12-month buffer period

There is a “12-month buffer” under which any period of up to 12 months that the property is not used as the person's main home is counted as a main home period. This only applies if that period is immediately before or after a period during which the land was used as the main home. The rationale for allowing a grace period is to cater for situations where the property is empty for a period while the taxpayer is moving in or out or where it is used for another purpose for a short period of time (eg rented out while the owners were overseas). If the period of non-main home use exceeds 12 months, the main home exclusion does not apply and all of the sale proceeds from disposal are taxable. However, an adjustment is then made to the amount of taxable income to allow for periods that the land was actually used as the main home (see s CB 6A(8) and discussion below). See *Tax Information Bulletin* [¶1336-102 Vol 33, No 6](#), July 2021 at 19 for examples to demonstrate the application of the 12-month buffer period rule.

Main home test where construction takes more than 12 months

The 12-month buffer provision was rewritten by the March 2022 amendments to cover situations where a main home was under construction and takes longer than 12 months to complete. Under the previous wording of s [CB 16A](#), land on which a main home was constructed would be taxed for some of the ownership period if the construction took longer than 12 months. The buffer period now covers the entire period that a main home is under construction, even if it exceeds 12 months. The “exempt main home period limit” in former s CB 16A(1C) is 365 days, or if the person is building a new home, the length of the construction period provided that extended period is reasonable.

Adjustment for use as main home for only part of bright-line period

Where a person has used their property as their main home for some, but not all, of the bright-line period, former s CB 6A(8) applies to determine the required adjustment from their taxable income. Effectively, their taxable income is reduced by an amount that reflects the periods of main home use by the person.

The amount of income from the disposal is reduced by an adjustment amount calculated using the following formula:

$$\text{unadjusted income} \times (\text{exempted non-predominant main home days} \times \text{main home percentage} + \text{exempted predominant main home days}) / \text{total days}$$

where:

unadjusted income is the amount of the gain on sale that is income under the bright-line test before application of the formula

exempted non-predominant main home days is the total number of days:

that the land was used as a dwelling for a main home, and

of non-main-home use that interrupts main home use, but are within the exempt main home period limit (generally, no more than 12-months in duration)

main home percentage is the percentage area of the land that was used as a main home during the exempted non-predominant main home days

exempted predominant main home days is the total number of days of predominant main home use and days that interrupt main home use for periods that are less than 12 months (the 12-month buffer period discussed above)

total days is the total number of days in the bright-line period for the land.

The effect of this formula is to evenly apportion the sale proceeds from the property over the period it is held. The amount attributable to the period the property was not used as the taxpayer's main home then becomes income for tax purposes.

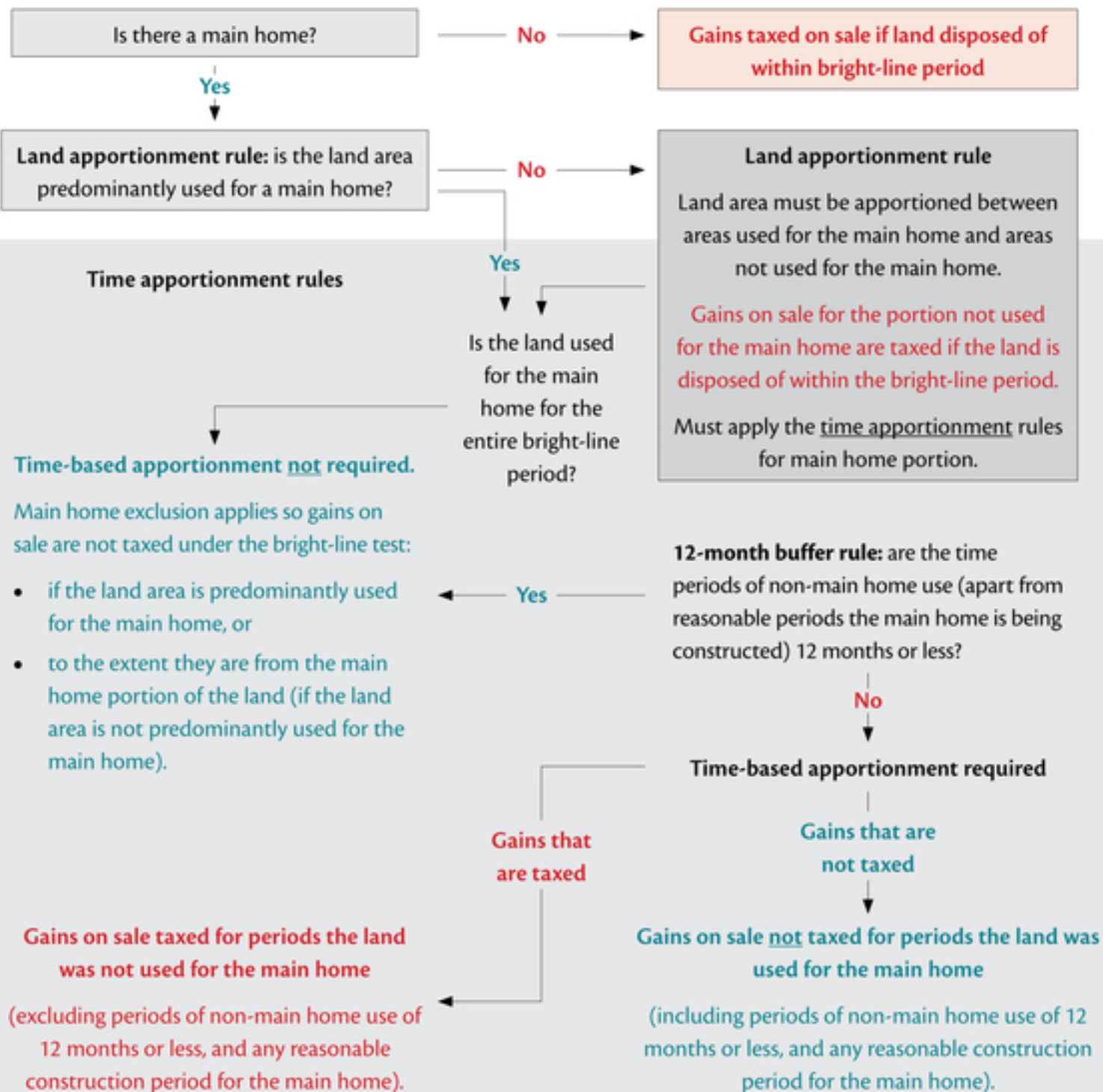
See example from IR, [“Special report on interest limitation and additional bright-line rules”](#), 31 March 2022 at 183 to illustrate the required adjustment.

Flowchart: main home exclusion – land and time apportionment rules

The following diagram summarises the application of the land apportionment and time apportionment tests:

Flowchart 10: Main home exclusion – land and time apportionment rules

Note: This flowchart presents a high-level overview of key concepts and must be read in conjunction with the explanatory text.



Reproduced from *Tax Information Bulletin* [1345-106 Vol 34, No 5](#), June 2022 at 121.

Cost of land reduced

While an amount of gain on land sold within the bright-line period is taxable, a person is allowed a deduction for the cost of the land.

A person can claim a deduction under s [DB 23](#) for the cost of property subject to the bright-line test. However, where former s CB 6A(8) applies to make an adjustment to the person's taxable income, s [DB 23C](#) reduces the cost of the land that can be claimed. The cost is reduced by the excluded adjustment amount, which is calculated using the following formula:

$$\frac{\text{cost} \times (\text{exempted non-predominant main home days} \times \text{main home percentage} + \text{exempted predominant main home days})}{\text{total days}}$$

where:

cost is the cost of the land.

The other terms are those as defined above which are applied to calculate another reduction from the amount that is to be income on account of main home use under former s CB 6A(8). See examples from IR, "[Special report on interest limitation and additional bright-line rules](#)", 31 March 2022 at 185 to demonstrate the application of the rules.

Combined effect of bright-line test, adjustment for partial use as main home and reduced cost of land

Where the bright-line test applies and the person has only used the property as a main home for some of the bright-line period, the amount of the person's net taxable income from disposal of the land is calculated through the combination of the bright-line test, the adjustment to taxable income and the reduction in the cost of land.

This combination may be mathematically simplified as the following formula:

$$\text{income under former s CB 6A(8)} - \text{cost of the property}$$

Example: Combined effect of ss CB 6A, DB 23 and DB 23C

This example uses the same facts as the 2 previous examples:

Daniel's **income** under s [CB 6A](#) is \$643,265.

Daniel's **deduction** for the cost of the property under s [DB 23](#) (after applying s [DB 23C](#)) is \$268,027.

His net income from the sale is therefore **\$375,238** (\$643,265 – \$268,027). Daniel's income from other sources is \$70,000, so he would pay income tax on his gain as follows:

At 33% (total income between \$70,001 and \$180,000): \$36,300, being \$109,999 of Daniel's gain multiplied by 33%.

At 39% (remaining total income exceeding \$180,000): \$103,443, being the remainder of Daniel's gain that was not taxed at 33% (\$265,239), multiplied by 39%.

From the sale, Daniel would therefore have tax to pay of **\$139,743**.

This example does not include any other deductions that Daniel may be entitled to, for example certain interest expenses or rates and insurance.

Main home exclusion and trusts

The rules around the application of the main home exclusion for properties owned by a trust remain as they did under the old rules. That is, if a property is owned by a trust, the main home exclusion will apply to the trustee when the dwelling is the main home of a beneficiary of the trust. The land must be used predominantly for a dwelling that is the beneficiary's main home during the bright-line period. If a principal

settlor of a trust has a main home that is not the one being disposed of by the trust, the main home exclusion cannot apply to any property owned by the trust.

A principal settlor of a trust is the person whose settlements for the trust are the greatest or greatest equal, by market value. For these purposes, a person's settlements do not include the provision of services at below market value. In addition, a person is not a principal settlor if they have provided a "no strings attached" gift to the trust. A transfer of value will also be disregarded unless that transfer is by:

- # a beneficiary
- # a trustee
- # a person with power of appointment or removal of trustees
- # a person with a contingent interest in the trust property, in the case that the trust fails, or
- # a decision-maker under the trust.

There is no guidance as to who "a decision-maker under the trust" might be. Presumably this will include protectors, advisory trustees and any other person in a role that gives the person any power over the trustees or the ability to exercise what would otherwise be trustee powers. A person with the ability to determine a trustee dispute or disagreement may also be a decision-maker under a trust. Accordingly, care should be taken when drafting deeds of trust to avoid inadvertently providing that a person is or could be a principal settlor of a trust.

To be able to determine who the principal settlor is, trustees will need to ensure adequate records of gifting and settlements onto the trust by all settlors (as defined for tax purposes), not just the settlors named in the deed of trust. The definition of "[settlement](#)" is modified for these purposes by the definition of "[settlement](#)" in [s YA 1](#).

Example: Trusts — student flat

Dave has two properties, a family home that he lives in, and a student flat that his son lives in while studying. Dave settles the student flat on a trust and makes his son a discretionary beneficiary of the trust.

The trust cannot use the main home exclusion because the principal settlor of the trust (Dave) has another main home.

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 86.

Multiple homes

Where a person resides in multiple homes, only one of those properties can be their main home. Their main home would be determined according to which property the person has the greatest connection with. The factors that determine these connections would include:

- # the time the person occupies the dwelling
- # where their immediate family, if any, live
- # where their social ties are strongest
- # the person's use of the dwelling
- # the person's employment, business interests and economic ties to the area where the dwelling is located, and
- # whether the person's personal property is in the dwelling.

The factors are similar to those used to determine if a person has a permanent place of abode under current case law. Inland Revenue has stated that existing guidance on the "permanent place of abode" test ([¶11-120](#)) should assist in determining which property the person has the greatest connection with. See example from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 86 to demonstrate the application of the rules.

Using the exclusion for 2 properties

Under limited circumstances, a person may use the main home exception for 2 properties sold at the same time. An example is when a person lives in a home for less than one year as their main home and moves into a new home while trying to sell the original home. The original home may satisfy the requirements to be the person's main home for the period before moving into the main home. The new home may also satisfy the requirements to be the person's main home for the subsequent period.

The ownership overlap of the properties will not mean the original home fails to satisfy the requirements to be a main home for the previous period. If the 2 properties were sold at the same time, the owner may be able to use the main home exception for both properties (if they both satisfied the requirements to be a main home for the different periods).

Habitual sellers

A person will not be able to use the main home exclusion if they:

- # already used it 2 or more times in the previous 2 years, or
- # have engaged in a regular pattern of acquiring and disposing of residential land used predominantly for a dwelling as a main home.

QWBA [QB 16/07](#) "Income Tax — Land sale rules — Main home and residential exclusions — Regular pattern of acquiring and disposing, or building and disposing" considers what constitutes a regular pattern for the purposes of the main home (s [CB 16A](#)) and residential (s [CB 16](#)) exclusions. See the discussion of the QWBA at [17-211](#). Despite amendments to the bright-line test, the principles remain the same regarding patterns of disposals of residential properties.

Note that although the bright-line period has been extended to 10 years for land acquired on or after 27 March 2021, and 5 years for land acquired between 29 March 2018 and 26 March 2021 ([17-050](#)), the application of the main home exclusion continues to consider how often the exclusion has been used in the previous 2-year period.

For the purposes of the main home exclusion, from 27 March 2021 the regular pattern restriction has been expanded to apply to a *group of persons* undertaking buying and selling activities together, rather than just the activities of a single person. A "group of persons" means 2 or more people when they occupy, or have occupied, the residential land together as their main home. It also includes a non-natural person (such as a trustee of a trust or another entity) if at least one of the people who occupies the main home has significant involvement in, or control of, the activities of the non-natural person. For the avoidance of doubt, it is provided that if the person is able to direct, either alone or as part of a group, the activities of the non-natural person, then they have significant involvement in, or control of, the activities of the non-natural person. See [17-211](#) for an example of a group of persons for these purposes.

Law: IT07 former ss [CB 6A](#), [CB 16A](#), [CZ 39](#), [CZ 40](#), [DB 23](#), [DB 23C](#), [YA 1](#) ("bright-line date", "[bright-line grandparented home](#)", "[bright-line period](#)", "[main home](#)", "[principal settlor](#)", "[residential land](#)", "[settlement](#)")

Last reviewed on 31 December 2025

Residential exclusion from land disposal provisions for development or division land [¶7-225]

[¶7-225]

[Click to open document in a browser](#)

The development or division of land may give rise to income upon disposal of the land under s [CB 12](#) or [CB 13](#). Section [CB 17\(1\)](#) provides that neither s [CB 12](#) nor [CB 13](#) will apply if the work involved in the undertaking or scheme is to create or effect a development, division or improvement that is for use in and for the purposes of residing on the land of the person or any member of their family living with them.

Section [CB 17\(2\)](#) provides that ss [CB 12](#) and [CB 13](#) will also not apply where the land disposed of:

- # is a lot that came out of a larger area of land that the person divided into 2 or more lots, and
- # the larger area of land was:
 - # 4,500 square metres or less immediately before subdivision, and
 - # occupied by the person mainly as residential land for themselves and any family members living with them.

It should be noted that the provision does not cover trustees of trusts that own the residence.

Law: IT07 ss [CB 12](#), [CB 13](#), [CB 17](#)

Last reviewed on 31 December 2025

Residential exclusion from land disposal provisions for rezoning gains [¶7-235]

[¶7-235]

[Click to open document in a browser](#)

There is an exclusion under s [CB 18](#) from the rezoning provisions (see s [CB 14](#) and [¶7-135](#)) in relation to the disposal of land if:

- # the person acquired the land and used, or intended to use, it for residential purposes, and
- # the person disposed of the land to another person who acquired it for residential purposes.

The purpose of acquisition by the other person is ascertained from the circumstances of the disposal and other relevant matters.

“Residential purposes” means the person has a purpose of using, or intending to use, the land mainly as a residence for themselves and any members of their family living with them. The term also includes the erection of a dwellinghouse on the land to be occupied as a residence.

In the case of farming land, there is also an exclusion under s [CB 22](#). See further at [¶7-280](#).

Law: IT07 ss [CB 14](#), [CB 18](#)

Last reviewed on 31 December 2025

Business premises exclusion from land disposal provisions [17-250]

[17-250]

[Click to open document in a browser](#)

There is an exclusion for land used as business premises where its disposal would otherwise give rise to assessable income under any of the land disposal provisions in ss [CB 6–CB 11](#). The person must have acquired and occupied, or erected and occupied, the premises mainly to carry on a substantial business from them.

The exclusion applies to land used for the purposes of the business and, if necessary, so much of the land as is required for the reasonable occupation of the premises and the carrying on of the business.

Example:

In Case D11 [\(1979\) 4 NZTC 60,485](#), the exclusion did not apply since the evidence disclosed that the land was not occupied primarily or principally as premises from which a substantial business was carried on. The land in this case was used only for the storage of building materials.

Example:

In Case D20 [\(1979\) 4 NZTC 60,558](#), a property was acquired and occupied primarily and principally for investment so that the units erected could be let and the rents received as part of the business partnership. The property was not premises from which substantial business was carried on.

Under s [CB 19\(2\)](#), the exclusion will not apply to a person who has engaged in a regular pattern of acquiring and disposing, or erecting and disposing, of premises for businesses.

The notion of what constitutes a regular pattern has been explored by the courts. The High Court thought that a regular pattern of transactions denotes “a similarity or likeness in the transactions ... In the same context the word ‘regular’ is used in the sense of recurring at uniform or near uniform intervals ... the Court must consider each transaction to assess the degree of similarity ... the number of transactions and the intervals of time between each, thereby assessing the degree of uniformity or consistency of occurrence”. The purchase and sale of 4 properties were found to amount to a pattern, because there was sufficient similarity between the transactions. However, there was not a regular pattern, because the transactions were spread over 13 years. The taxpayer could claim the benefit of the exclusion. See *Parry v C of IR* [\(1984\) 6 NZTC 61,820](#) at p 61,824 and Case C9 [\(1977\) 3 NZTC 60,058](#).

From 30 March 2021, amendments were made and have expanded the regular pattern restriction to apply to a group of persons undertaking buying and selling activities together, rather than just the activities of a single person. For the purposes of the business premises exclusion, a group of persons is treated as undertaking buying and selling activities together where:

- # all persons in the group occupy premises mainly to carry on a substantial business, irrespective of the nature of any business carried on, and
- # a person, whether or not they also occupy land as business premises, has significant involvement in, or control of, the activities of all those in the group (“the occupiers”). For the avoidance of doubt, if the person is able to direct, alone or as part of a group, the activities of the occupiers, that person has significant involvement in, or control of, the activities of the occupiers.

Example:



Companies A, B, C and D all occupy their land as business premises mainly to carry on a substantial business. (It does not matter whether the businesses are related.) The same persons have significant involvement in, or control of, the activities of all of the companies (for example, all the companies have the same shareholders). Therefore, companies A, B, C and D form a group of persons who are treated as undertaking buying and selling activities together. Because those buying and selling activities form a regular pattern (the properties are sold at regular intervals), they will be subject to the regular pattern restriction (assuming all the properties were acquired with an intention of resale (see below)).

Example taken from the Commentary to the Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Bill.

The amendments also clarified that the business premises exclusion does not apply when:

- # the disposal of the land in question is subject to s [CB 6](#), and
- # a person has engaged in a regular pattern of acquiring and disposing of premises acquired and occupied, or erected and occupied, mainly to carry on a substantial business.

QB 19/14

QWBA [QB 19/14](#) “Income tax – when does the business premises exclusion in s [CB 19](#) apply to preclude land sales from being taxed under ss [CB 6](#) to [CB 11](#)?” considers the application of s [CB 19](#).

Note: However, note that with the amendments made to the business premises exclusion provisions in March 2021 and discussed above, parts of [QB 19/14](#) no longer represent the current law and the following discussion should be read with this in mind.

The Commissioner considers that while business premises will typically include a building, there may be instances where land without a building is business premises. For example, a quarry may be business premises even if it does not have a building on it, provided the further requirements of s [CB 19](#) are met.

The landowner must have first acquired or erected the premises mainly for the purpose of carrying on a substantial business from them. This is tested when the landowner acquired or erected the premises. The landowner must also have occupied the business premises mainly to carry on a substantial business. “Occupied” in this context means the landowner (which would include their agent or employee) has a physical presence at the business premises and retains the right to exclude others from the property. A physical presence does not necessarily require a human presence at the premises. The presence of structures or equipment may be sufficient. For example, an automated self-service petrol station would satisfy the “occupation” requirement of s [CB 19](#).

[QB 19/14](#) confirms that where a landowner leases business premises to another taxpayer, giving them exclusive possession, the landowner does not “occupy” the business premises. Where land is owned by a trust, the trustees must have acquired/erected and occupied the premises mainly to carry on a substantial

business of the trust. Occupation by a beneficiary of the trust mainly to carry on their own substantial business will not be sufficient.

The premises must also be used mainly for carrying on a substantial business and the Commissioner considers this requires that the carrying on of the business must be the primary use and must outweigh any other uses, singly or collectively.

Situations may arise where a landowner has occupied premises to carry on a substantial business for most, but not all, of the time they owned the land. This might occur where the landowner vacated the premises prior to sale to give vacant possession, or where the landowner temporarily leased the premises to another taxpayer. In these situations, the exclusion may still apply, provided the landowner occupied the premises mainly to carry on a substantial business. However, [QB 19/14](#) states it will be more difficult to argue that premises were acquired/erected and occupied mainly to carry on a substantial business the longer premises are:

- # occupied by a third party (and not the landowner)
- # occupied by the landowner for a non-business use, or
- # unoccupied.

“Carrying on” a business from a location requires some or all of the activities of the business to be conducted continuously or habitually from there. The Commissioner also considers that whether a business is “substantial” is a question of fact.

Land that is reserved, with the business premises, for the use of the business will be included within the exclusion. This is limited to an area no greater than what is reasonably required for the occupation of the business premises and the carrying on of the business. In the Commissioner’s opinion, land reserved “with” business premises will usually be in close proximity to the business premises. Where the reserved land is not part of, or immediately adjoining, the business premises land, the closer it is to the business premises, the more likely it is to be considered reserved “with the premises”.

The words “for use of the business” do not necessarily require business activities to be “carried on” from the land. For example, although business activities are unlikely to be carried on from a carpark reserved for staff parking, it would nonetheless be considered reserved for the use of the business. The Commissioner also considers the words contemplate both current and future business uses. Land reserved for the future use of a business might be land not currently in use but kept for the future expansion of the business. The limitation on area of the land is also a question of fact and degree whether the land is “reasonably required”. The Commissioner acknowledges that while some taxpayers may reserve land adjoining the business premises for future expansion, whether all of the land reserved is “required” for the carrying on of the business will depend on the particular situation. It is also important to note that for reserved land to be covered by the business premises exclusion, it must be sold with the business premises land with which it is reserved.

The s [CB 19](#) exclusion provides for apportionment, meaning it may apply to only part of the land sold. For example, where a landowner occupies a single storey of a multi-storey office building as their business premises, the exclusion will apply to the proportion of the total sale price of the land that is attributable to that part of the building.

The question of whether a person has engaged in a regular pattern of buying, or building, and selling business premises is also a question of fact and degree. [QB 19/14](#) confirms that the discussion in [QB 16/07](#) on what constitutes a regular pattern is also relevant in the s [CB 19](#) context. Generally, at least 3 prior transactions would be needed. Note [QB 25/09](#) replaces [QB 16/07](#) but the principles discussed in [QB 25/09](#) remain the same.

If a landowner sells land covered by the s [CB 19](#) exclusion at a loss, the loss will be capital in nature, so will not reduce the taxpayer’s net income. The sale proceeds are not income (unless a taxing provision without a business premises exclusion applies), so the cost of the land is not deductible.

[QB 19/14](#) also includes a number of examples to explain how the law works.

Note that a separate business premises exclusion is relevant where the sale is potentially taxable under the bright-line test in s [CB 6A](#). Although these 2 exclusions are both described as “business premises

exclusions", they are not the same. [QB 25/14](#), "When does the business premises exclusion to the bright-line test apply?" discusses the application of the s [CB 6A](#) business premises exclusion in more detail ([17-050](#)). The main differences between the 2 exclusions are as follows:

- # Section [CB 19](#) relates specifically to the land taxing provisions from ss [CB 6](#) to [CB 11](#). The bright-line business premises exclusion applies only in relation to s [CB 6A](#).

- # Section [CB 19](#) applies only to land that is the landowner's business premises (and reserved land). The bright-line business premises exclusion potentially applies where someone else uses the land as business premises.

- # Section [CB 19](#) specifically requires the landowner to have *acquired and occupied, or erected and occupied*, the relevant business premises *mainly* to carry on a *substantial* business. The bright-line business premises exclusion does not require the premises to be those of the landowner or the business to be substantial.

- # Section [CB 19](#) applies *to the extent* that the land sold is business premises, where the bright-line business premises exclusion applies to all of the land sold or not at all.

- # Section [CB 19](#) does not apply where the landowner has engaged in a regular pattern of buying or building business premises and selling them. The bright-line business premises exclusion does not have such an exception. (Although note that s [CB 19](#) now provides the section will not apply where the landlord has engaged in a regular pattern of buying and selling land used as business premises.)

Law: IT07 ss [CB 6–CB 11](#), [CB 19](#)

Last reviewed on 31 December 2025

Exclusion from land disposal provisions for development or division for business purposes [¶7-260]

[¶7-260]

[Click to open document in a browser](#)

Section [CB 20](#) provides for a business exclusion from the application of both ss [CB 12](#) and [CB 13](#). Section [CB 20](#) provides that ss [CB 12](#) and [CB 13](#) do not apply if the work involved in the undertaking or scheme is to create or effect a development, division or improvement that is for use in and for the purposes of the carrying on of a business by the person on the land, and the business does not consist of the undertaking or scheme.

The business exclusion will overcome the kind of situation addressed in *Anzamco Ltd (in liq) v C of IR* ([1983](#)) [6 NZTC 61,522](#). In that case, the High Court had held that the development and division provisions had application to the disposal of farmland that the taxpayer had developed for farming purposes in the ordinary way. The land disposal provisions at that time were not restricted to specific kinds of land development.

The business exclusion applies to a farming or agricultural business that is not part of a land development business.

The exclusion does not apply if the only business carried on is the undertaking or scheme itself (s [CB 20\(c\)](#)).

Law: IT07 ss [CB 12](#), [CB 13](#), [CB 20](#)

Last reviewed on 31 December 2025

Farmland exclusion from land disposal provisions for development or division of land [¶7-270]

[¶7-270]

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Section [CB 21](#) excludes the operation of both ss [CB 12](#) and [CB 13](#) in the case of subdivided farm lots. That is, any amount derived on disposal of subdivided farmland will not be income where:

- # the land is a lot resulting from the division of a larger area of land into 2 or more lots
- # immediately before division, the larger area of land was occupied by the person or the person's spouse, civil union partner or de facto partner, or both of them, mainly for the purposes of a farming or agricultural business carried on by either or both of them
- # the area and nature of the land disposed of mean that it is then capable of being worked as an economic unit as a farming or agricultural business, and
- # the land was disposed of mainly for the purpose of use in a farming or agricultural business.

“Farming or agricultural business”

Section [CB 21\(2\)](#) provides that the circumstances of the disposal of the land are relevant to the decision on whether the land was disposed of mainly for the purpose of using the land in a farming or agricultural business. The circumstances include:

- # the consideration for the disposal of the land
- # current prices paid for land in the area
- # the terms of the disposal
- # a zoning or other classification relating to the land, and
- # the proximity of the land to any other land being used or developed for uses other than farming or agricultural uses.

“Person’s spouse”

In public binding ruling [BR Pub 04/04](#) (effective for an indefinite period from 1 June 2004), the Commissioner confirmed that the words “the taxpayer’s spouse” in ss [CB 21](#) and [CB 22](#) did not restrict the meaning of “taxpayer” to natural persons. (As part of the income tax legislation rewrite process, the word “taxpayer” was replaced with “person”.)

“Person” in this context could include non-natural persons such as companies and trusts. Accordingly, the exemptions provided by s [CB 21](#) apply to a taxpayer that is a non-natural person if the other requirements are met.

However, from a structuring point of view, it is important to note that the farming or agricultural business referred to in s [CB 21](#) must have been carried on by the person, their spouse, civil union partner or de facto partner or both. Consequently, if a trust owned the farmland but leased it to another person, who then carried on the farming or agricultural business, the exclusion under s [CB 21](#) would not be available.

“Economic unit”

The Commissioner’s views on activities that represent a farming or an agricultural business are outlined in *Tax Information Bulletin* [¶613-116 Vol 6, No 13](#), May 1995 at 15 and 16. These include agriculture, horticulture, viticulture, beekeeping, poultry farming, animal husbandry, dairy farming and sharemilking.

The Commissioner accepts that forestry does fall within the definition for the purposes of s [CB 21](#). See *Tax Information Bulletin* [¶104-128 Vol 10, No 4](#), April 1998 at 43 and [¶27-010](#), [¶28-017](#).

There have been conflicting decisions on the meaning of an “economic unit” as illustrated in the following case examples:

Example:

An economic unit is one that is capable of making reasonable profits on a stable basis or a property that is capable of yielding a reasonable standard of living for its owner, without the owner having to resort to secondary employment and after making due return on the capital invested. On the basis of a report from a farm advisory officer with the Ministry of Agriculture and Fisheries, the High Court found that the farm reached the minimum standard for an economic unit. See *O’Toole v C of IR* (1985) 7 NZTC 5,045.

Example:

The land must be capable of being worked as an economic unit, ie a farming or agricultural business at the time of sale. It is not sufficient that the land is capable of being developed into an economic unit. Any change or modification of a previous farm use will no doubt require expenditure of some time, effort and money, and there may be marginal cases where it is not easy to draw the line. However, the land must have the present capability. Long-term development possibilities involving the injection of large capital sums and distant returns could not possibly satisfy the requirements of the exclusion. See *C of IR v Bruhns* (1989) 11 NZTC 6,075 (CA).

Example:

A farming couple who subdivided their farmland into 9 lots were assessed on the profits derived on the sale of 2 lots of 8.3ha and 11.1ha respectively, because neither lot was capable of being worked as an economic unit. The taxpayers unsuccessfully argued that each block could be established as an economic unit if it were converted to a lamb-fattening operation and sown with a certain type of chicory pasture. The purchaser of each lot ran deer on the land but had other employment. Neither lot was capable of yielding a reasonable standard of living for its owner, without the owner having to resort to secondary employment. See Case S90 (1996) 17 NZTC 7,565.

Law: IT07 ss [CB 12](#), [CB 13](#), [CB 21](#)

Last reviewed on 31 December 2025

Farmland exclusion from land disposal provisions for rezoning gains [¶7-280]

[¶7-280]

[Click to open document in a browser](#)

Under s [CB 22](#) there is an exclusion from land disposal provisions creating income from the rezoning provisions ([¶7-135](#)) if:

- # the person (person A) acquired the land and they, their spouse or partner or both of them used, or intended to use, the land mainly for the purposes of a farming or agricultural business carried on by them, their spouse or partner or both of them, and
- # person A disposed of the land to another person (person B) mainly for the purposes of the continuing use of the land in a farming or agricultural business.

Person B's (ie the purchaser's) purposes in acquiring the land are ascertained from the circumstances of the disposal arising after person A (ie the vendor) acquired the land (with the exception of the rezoning factors creating this category of income). Activities that may constitute a farming or agricultural business are referred to at [¶7-270](#). In these situations, vendors should ascertain the intentions of purchasers to ensure that the desired exclusions apply.

Law: IT07 ss [CB 14](#), [CB 22](#)

Last reviewed on 31 December 2025

Exclusion from land disposal provisions — development or division to earn rents [¶7-290]

[¶7-290]

[Click to open document in a browser](#)

Section [CB 23](#) provides that ss [CB 12](#) and [CB 13](#) do not apply to create assessable income if the work involved in the undertaking or scheme is to create or effect a development, division or improvement that is for use in and for the purposes of deriving income from the land as described in s [CC 1](#), eg rents, premiums, fines, goodwill payments or other revenues derived by the owner of land from any lease, licence, easement or from the grant of any right to take profits (as described at [¶7-500](#)). The scope of the exclusion appears to be directed at a development involving the erection or modification of a property for future rental.

A change of purpose may not prevent application of the exclusion. This is provided the undertaking or scheme is commenced for the purpose of deriving rental income.

Example:

Two property developers purchased and extensively renovated a block of flats intending to retain them for rental income over the long term. Although the flats were sold a short time later at a good price, the Taxation Review Authority accepted that the taxpayers had not sought a short-term capital gain. The exclusion applied. See Case K31 [\(1988\) 10 NZTC 280](#).

Example:

A section of land was originally purchased with the intention of erecting 2 flats. The purchasers intended to derive rental income from one flat, while selling the second flat at cost to close relatives. Soon after commencement of the project, the taxpayers decided to sell both flats. The original purpose to rent one flat was abandoned early on, with the purpose being then to sell it. Since the development was undertaken for sale and not to obtain rental income, the exclusion did not apply. See Case N59 [\(1991\) 13 NZTC 3,457](#).

Law: IT07 ss [CB 12](#), [CB 13](#), [CB 23](#), [CC 1](#)

Last reviewed on 31 December 2025

Changes to co-ownership, subdivisions, and changes of trustees [¶7-300]

[¶7-300]

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Land may be held jointly in a number of different ways, for example tenants in common, joint tenancy, in partnership or in a capacity as trustee. Some changes to co-ownership may be a disposal for the purposes of the land taxing provisions. A good understanding of the legal relationship underlying the co-ownership is important when determining if a change in the co-ownership will be deemed to be a disposal for tax purposes. This is because different forms of co-ownership are, in law, different “interests in land”.

Land can be owned by more than one person or entity. When this is the case, they are referred to as co-owners. Joint tenancy and tenants in common are common examples of co-ownership. Co-owners of land are joint tenants if there is no indication in the document creating their co-ownership that they are to own separate or distinct shares. When a joint owner dies, their interest passes to the survivor(s). In contrast, tenants in common is where each person has a distinct, undivided share in the land (either in equal or unequal shares). If a tenant in common dies, their share of the land is dealt with under the terms of their will, or in accordance with intestacy rules if there is no will.

Interpretation statement [IS 22/03](#) “Income tax – application of the land sale rules to changes to co-ownership, subdivisions, and changes of trustees” clarifies the Commissioner’s position on whether, and if so to what extent, the land sale rules in ss [CB 6A](#) to [CB 15](#) and [CZ 39](#) apply to changes to co-ownership, subdivisions of land, and changes of trustees.

The statement concludes that the ordinary meaning, case law and legislative history and context indicate that “disposal” in the land sale rules:

- # requires complete alienation of the land by the disposer – the land must be “got rid of” by the person
- # requires dealing with the land – so that one person loses ownership of the land and another gains it (or gains a corresponding interest in respect of the same underlying land).

In the Commissioner’s view, “disposal” in the land sale rules does not include:

- # transfers to self (in the same capacity), or
- # extinguishment of an estate or interest in land to the extent that does not result in some other person acquiring an interest that corresponds (in whole or in part) to the extinguished interest.

In terms of the transactions considered in this statement, this means that:

- # A change to the form of co-ownership, where the proportional shares or notional shares do not change, will not be a “disposal” for the purposes of the land sale rules.
- # If there is a transfer between co-owners where neither’s interest is fully alienated but the proportional share or notional share of a co-owner is reduced, there would be a “disposal” for the purposes of the land sale rules by that person to the extent their interest is reduced. This is because while they have not fully alienated the whole estate or interest they had in the land, they have fully alienated part of their interest in land.
- # If there is a transfer that adds a new co-owner, there would be a “disposal” for the purposes of the land sale rules to the extent the share (or notional share) of the original owner(s) in the land is reduced.
- # If there is a transfer that removes a co-owner, there would be a “disposal” by the departing co-owner of their share (or notional share) in the land.
- # A transfer of land on a change of trustees of a trust will not be a disposal for the purposes of the land sale rules. The IT07 treats all of the trustees of a trust as essentially a single person, and “disposal” in the land sale rules does not include transfers to self (in the same capacity).

See also Table 1 in [IS 22/03](#) at paragraph 4 which summarises the conclusions discussed above.

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In conclusion, if there is a “disposal”, and it is for less than market value consideration, the IT07 may deem the person who disposed of the land to have derived an amount equal to the market value of the land at the time of the disposal.

There are specific provisions to ensure the registration of a transfer to change the proportionality of co-ownership will only result in the bright-line clock restarting to the extent a particular party's interest has increased. To the extent they already owned the land, the bright-line clock does not reset. See ss CB 6A(5D) and CZ 39(5D).

[IS 22/03](#) contains a number of examples to illustrate the tax treatment of the above changes in co-ownership.

For transfers of residential land and application of the bright-line test, rollover relief may be available to certain transfers. See [¶7-540](#).

Exempt income – certain subdivisions of land

Land is sometimes purchased by 2 or more persons together as co-owners to pool resources. It is not uncommon for the co-owners to then subdivide the land and allocate the subdivided parcels to each of the co-owners based on their ownership interests in the original parcel. This is known as partitioning. Under s [GC 1](#) the tax law deems the partitioning to occur at market value and this may give rise to a tax liability where the value of the land has increased, even where there is no effective change in economic ownership, or where the eventual sale is not subject to tax (eg exceptions to the bright-line test because the property is the person's main home, or they have held the residential land for longer than the brightline period and no other land taxing provision applies).

For persons who hold land on revenue account, who are taxed on the eventual disposal of the land, the tax law prior to the introduction of s [CW 3C](#) meant there were 2 taxing points. The first was at the time of the partition or allocation, and then on final sale. While s [GC 1](#) provides an uplift in the cost base ensuring no double taxation of the same income, taxpayers may have faced additional compliance costs and timing issues if the partition and eventual sale occur in different income years.

Section [CW 3C](#) ensures that the allocation of subdivided land among the co-owners of the original undivided land does not constitute a disposal for the land sales provisions. It applies to taxpayers who hold the land on capital account and on revenue account. This provision applies when a co-owner's proportion of the value of the land they receive on the partition or subdivision is no less than 95% of their contribution to the cost of the land. The result is that the amount derived is exempt income in proportion to the formula contained in s [CW 3C\(2\)](#).

For the purposes of the threshold of 95%, the cost of the land includes [costs](#) to subdivide, develop, and build on the [land](#). When looking at the land ownership of the co-owners, the provision includes land held alone, jointly or in common with another person (s [CW 3C\(1\)](#)). Co-ownership is also defined broadly to include various capacities in co-owning entities like companies, trusts and look-through companies.

In 2025 s [CW 3C](#) was amended retrospectively to:

- # include express references in s [CW 3C\(1\)](#) to the definitions of a person's end value proportion and their acquisition proportion (as before, there is an exemption if the person's end value proportion is not less than 95% of their acquisition proportion), and

provide that the bright-line period does not restart when land is allocated to each co-owner as part of a partition or subdivision.

See *Tax Information Bulletin* ¶375-102 Vol 37, No 5, June 2025 at 127 for detailed commentary on the 2025 amendments and examples. Also see a number of examples in Inland Revenue, “[Commentary on the Taxation \(Annual Rates for 2022–23, Platform Economy, and Remedial Matters\) Bill \(No 2\)](#)” demonstrating the application of the rules before the retrospective amendments in 2025.

Exclusion for land acquired from a co-owner on a partition of subdivision

An unintended consequence of land partitioning is that a co-owner may be subject to tax if the land disposed of was acquired from an associated entity set up to carry out the partition and this is because ss [CB 10\(2\)](#) and [CB 15\(1\)](#) impose tax on land acquired from an associated person in certain circumstances. To remedy this, s [CB 15E](#) applies to exempt a person's income on disposal of the land if the person had exempt income under s [CW 3C](#) and a full exemption is available if the person's end value proportion under s [CW 3C](#) is no more than 105% of their acquisition proportion under s [CW 3C](#). Section [CB 15E](#) applies from 27 March 2021, the date on which s [CW 3C](#) was introduced.

This exclusion under [CB 15E](#) applies to a person for a disposal of land acquired from a co-owner on a partition or subdivision if the person:

- # derives income from the disposal under s [CB 10\(2\)](#) or [CB 15\(1\)](#), and
- # the person was not associated with a land developer when they originally acquired the land (ie before it was partitioned or subdivided).

If the person's ownership proportion changed by more than the safe harbour amount (of 5%) on the subdivision or partition such that s [CW 3C\(2\)](#) applied to the land, then the income the person derives under s [CB 10\(2\)](#) or [CB 15\(1\)](#) from subsequently disposing of the land is exempt income to the extent calculated by the formula under s [CB 15E\(3\)](#):

$$\text{amount derived} \times (\text{acquisition proportion} \div \text{end value proportion})$$

Section [CB 15E\(3\)](#) was retrospectively amended (effective on 27 March 2021) to ensure it applied as intended by permitting an exemption instead of a reduction in a person's income (*Tax Information Bulletin* ¶375-102 Vol 37, No 5, June 2025 at 135). Also see examples from *Tax Information Bulletin* Vol 36, No 4, May 2024 at 95 demonstrating the application of this exclusion.

Law: IT07 ss [CB 15E](#), [CW 3C](#), [YA 1](#) (“dispose”)

Last reviewed on 31 December 2025

Cost of purchase of land [¶7-360]

[¶7-360]

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Land whose sale is subject to the land disposal provisions is revenue account property. A deduction is permitted for the cost of revenue account property under s [DB 23](#).

Retrospective amendments made in March 2021, but applying from 1 April 2008, clarified that the cost of revenue account property is deductible even if it was not known when the costs were incurred that the property would be subject to tax on sale, or if the property was used privately while it was held. Thus, s [DB 23](#) supplements the general permission ([¶10-021](#)) and overrides the capital limitation ([¶10-075](#)) and the private limitation ([¶10-071](#)).

Note that if land is taxable under the bright-line test in s [CB 6A](#) and an adjustment is required under that section to the person's taxable income because the land was used as a main home for some but not all of the bright-line period, then the cost of the land under s [DB 23](#) will be reduced by an amount determined under s [DB 23C](#) ([¶7-215](#)).

If land is acquired together with other property, the cost of acquisition must be apportioned between the land and the other property.

The cost base for the calculation of the income arising under the land disposal provisions is generally historical cost. No allowance is made for the effects of inflation in an endeavour to isolate just the developer's profit. See *Lowe v C of IR* ([1984](#)) [6 NZTC 61,712 \(PC\)](#).

In determining cost price, the Commissioner may accept use of the government valuation relating to the sections sold as the basis for both original cost and for any additional costs since acquisition. The government valuation might not be used if development occurs over such a protracted period that total costs are not known by the time the first sections are sold. Another situation in which the government valuation might not be used is where it is inappropriate to allocate cost on a straight area basis because, for example, the block of land comprises both areas that are swampy and areas that are well drained, or both sloping and level areas, or because sections are sold over a number of years. In the absence of a government valuation, the land must be valued at its true market value, being what a prudent buyer would pay, and not its value to the owner.

The deduction for the cost of purchase is effectively deferred until disposal of the land. No deduction is allowed for the cost at balance date while the land continues to be subject to development ([¶7-370](#) and [¶10-052](#)). The courts had reached the same conclusion under the general law. See *Murray Darnill Ltd v Taxation Review Authority (No 2)* ([1994](#)) [16 NZTC 11,126](#) and *Garwen Holdings Ltd v C of IR* ([1995](#)) [17 NZTC 12,396](#).

The exception to historical cost as the cost base is for a major development or division. The cost becomes the market value of the land at the commencement of the undertaking or scheme. This eliminates any inflationary gain over the holding period before the land is committed to the undertaking or scheme ([¶7-125](#)).

In *Holdaway v C of IR* ([1985](#)) [7 NZTC 5,104](#), the High Court held that the preferred approach to valuation is by reference to comparable sales if available, rather than a method that involves taking a government valuation and indexing it back to the scheme's commencement date. The case also confirmed that the Commissioner should value the land at the time of the scheme's commencement and not at the time of the sale of the land. It would be prudent for the person to obtain an independent valuation to support the calculation of profit returned as income.

Note that if the land is mining land subject to ss [CU 2](#) and [DU 3](#), those provisions override s [DB 23](#) ([¶128-090](#)).

Question we've been asked

QWBA [QB 15/13](#) “Income Tax — whether the cost of acquiring an option to acquire revenue account land is deductible” examines the situation where revenue account land is acquired through the exercise of an option and considers whether the cost of acquiring the option is deductible. The QWBA concludes that the cost of acquiring the option is deductible as follows (subject to the general permission being satisfied and no general limitation applying):

If the financial arrangements rules apply to the option (and consequent agreement for sale and purchase of the land), the cost of the option and the other consideration for the land are, in effect, deductible. Those costs will be taken into account under the FA rules, and the FA rules will then establish the cost base of the land, which will be deductible under s [DB 23](#) on the ultimate sale of the land.

Where the FA rules do not apply, the cost of acquiring the option is deductible under s [DB 23](#) because it is part of the cost of acquiring the revenue account land (together with the other consideration for the land).

The QWBA also briefly considers the deductibility of the cost of an option that is itself on revenue account and concludes that, provided the general permission was satisfied, the cost would be deductible under s [DB 23](#).

Note: There are special rules for some land transactions. When calculating the cost of revenue account property, the provisions in s [DB 23B](#) (Certain intra-group transactions), and s [DB 23C](#) (Cost of residential land reduced and subject to the bright-line test) need to be considered for those types of transactions. See [¶10-660](#).

Law: IT07 ss [DB 23](#), [DB 27](#), [DB 29](#)

Last reviewed on 31 December 2025

Ring-fencing of rental losses [17-365]

[17-365]

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From 1 April 2019, subpt [EL](#) provides for the ring-fencing of rental losses in an effort to level the playing field between property speculators/investors and home buyers. Under the provisions, speculators and investors are no longer able to offset tax losses from their residential properties against their other income (eg salary or wages, or business income) to reduce their income tax liability. The losses may be used in future years, when the properties are making profits, or if the person is taxed on the sale of land.

In summary, the rules do the following:

- # limit a person's deductions for expenditure incurred in relation to residential land to income derived from the land
- # suspend deductions for the excess expenditure for the income year in which the expenditure is incurred
- # provide that the excess amounts are carried forward to later income years in which the person derives residential income, and
- # release the excess amounts on fully taxed disposals of land.

Details of the rules in ss [EL 1](#) to [EL 20](#) are set out below.

Property subject to the rules

Residential rental property

The provisions apply to "residential rental property". This is defined as meaning "residential land" for which the owner is allowed a deduction relating to the use or disposal of the land. Note that land that is residential land for part of an income year is also included. This means that if there is a change of use of residential land in an income year (eg from residential rental to commercial rental), it remains residential rental property for that year and any ring-fenced deductions in relation to the property may be used in that year against any other income from the property (eg commercial rent). "Residential rental property" does not include properties that are excluded from the rules (see below).

"Residential land" is defined as:

- # land that has a dwelling on it
- # land for which the owner has an arrangement to build a dwelling on it, or
- # bare land that may be used for building a dwelling under the relevant operative district plan,

unless that land is:

- # used predominantly as business premises, or
- # farmland.

For the 2021–22 and later income years, the definition of "[residential land](#)" also includes land with a dwelling on it if it is used predominantly for a business of supplying accommodation and the dwelling is not the main home of the owner. This ensures the rental ring-fencing rules apply to short-stay accommodation properties (including a property that is rented out as part of the sharing economy on digital platforms, or a bach that is sometimes rented out when the owner does not use it), unless it is also the owner's main home and they rent out rooms for short-stay accommodation, such as a bed and breakfast.

This is the same definition as applies for the purposes of the bright-line test and is discussed at [17-049](#).

Note that the definition of "residential rental property" is not confined to property in New Zealand. Overseas rental properties of New Zealand residents are also subject to the ring-fencing rules.

Residential portfolio

A person's "residential portfolio" means one or more residential rental properties that they hold in a portfolio in an income year, and includes all properties the person has included in their portfolio at any time during the period they have a residential portfolio, whether or not they still own it.

The default position is that the loss ring-fencing rules apply on a portfolio basis, meaning that investors can offset deductions for one rental property against income from other rental properties — essentially calculating their overall profit or loss across their portfolio. However, taxpayers may elect to apply the rules on a property-by-property basis and any property a person makes this election for is excluded from the definition of "residential portfolio".

Example: Applying the rules on the default portfolio basis

Minerva owns two residential rental properties. She applies the ring-fencing rules on the default portfolio basis. In the 2019–20 income year, one property returned gross rental income of \$20,000 and deductions for that property were \$12,000. The second property returned \$25,000 gross rental income and deductions for that property were \$30,000. In her tax return, Minerva will include \$45,000 gross rental income. She can use all \$42,000 of the deductions for the portfolio in that year; none of the deductions are ring-fenced. Minerva will have net rental income of \$3,000 from the portfolio.

Example taken from *Tax Information Bulletin* [¶318-103 Vol 31, No 8](#), September 2019 at 56.

Property-by-property basis

A person may elect to apply the rules on a property-by-property basis under s [EL 6](#) for one or more properties. This means that each property the election is made for is looked at separately and deductions for one cannot be offset against income from another. The election can be made regardless of whether the person owns residential rental properties other than the one(s) for which they make an election or whether those other properties are included in a residential portfolio.

A person makes an election to treat a property on a property-by-property basis by taking a tax position on that basis in their return of income for the income year in which the property becomes their residential rental property. The election remains in effect for income years in which the person continues to take that tax position. However, if the person changes their tax position, the property becomes a property included in a residential portfolio. A transitional provision provided that for residential rental properties held at the start of the 2019–20 income year, the person had to make the election in the return of income for that income year.

Example: Applying the rules on a property-by-property basis

Riley owns three residential rental properties. He applies the ring-fencing rules on the default portfolio basis for two of the properties (A and B). He elects to apply the rules on a property-by-property basis for the third property (C). Riley decided to apply the rules on a property-by-property basis for property C because he was associated with a land developer when he acquired property C, so if he ends up selling it within 10 years the sale will be taxed.

In the 2019–20 income year, the portfolio properties (A and B) returned combined gross rental income of \$50,000. Deductions for those properties totalled \$45,000. Property C returned gross rental income of \$20,000, and deductible expenses for that property totalled \$23,000.

In his 2019–20 income tax return, Riley includes net rental income of \$5,000 from the two portfolio properties (A and B). He can use \$20,000 of the deductions for property C. The remaining \$3,000 of deductions from property C cannot be used against the income from the portfolio properties (A and B) or against any other income Riley has. The \$3,000 of excess deductions from property C are carried forward to the next income year and added to the deductions for property C in that year.

If property C ends up being taxed on sale, the net profit or loss for that specific property would be known, and any ring-fenced deductions in excess of the net income from the sale will be released and used against any other income Riley has.

Example taken from *Tax Information Bulletin* [¶318-103 Vol 31, No 8](#), September 2019 at 57.

Exclusions from the operation of the rules

Note that the following types of property are also excluded from the operation of the rules under specific provisions:

- # a person's main home (s [EL 9](#))
- # property held on revenue account (s [EL 10](#))

- # property held by certain persons and entities (s [EL 11](#))
- # property to which the mixed-use asset rules apply (s [EL 12](#)), and
- # property provided as employee accommodation.

Each of these exclusions is discussed below.

Allocation of deductions

The ring-fencing rules in s [EL 4](#) apply for an income year when a person has deductible expenditure or loss (excluding the cost of revenue account property under s [DB 23](#)) in relation to one or more residential rental properties in their residential portfolio.

The amount of the deduction that may be allocated to the income year must be no more than the amount of the person's residential income for the income year. An amount identified as a person's residential income may only be counted once for the deduction allocation rules. A person's residential income is the following amounts they derive for an income year in relation to residential land:

- # rental income, being amounts derived from the use of land under ss [CC 1](#) to [CC 2](#)
- # income derived from financial arrangements (s [CC 3](#)) in relation to a loan, denominated in a foreign currency, to the extent it relates to their residential portfolio
- # depreciation recovery income
- # net income under the land sale provisions (ss [CB 6A](#) to [CB 15](#)) from the disposal of property in their portfolio
- # net income the person would have if their only income were income referred to in the above bullet points from other land held on revenue account (see below).

If the property is being dealt with on a property-by-property basis, both the deductions allocated and the residential income derived must relate solely to that particular property.

To the extent that the person's deduction exceeds their residential income, the excess amount is:

- # suspended as a deduction for the income year
- # carried forward to a later income year in which the person derives residential income, and
- # added to their deductions related to their residential rental properties for the later income year.

Again, if the property is being dealt with on a property-by-property basis, any excess deductions can only be carried forward to a later income year in which the person derives residential income from that particular property.

When residential rental properties sold

When, in an income year, a person disposes of the last of the properties in their residential portfolio or, if they have chosen to apply the rules on a property-by-property basis, they dispose of that property, and they have an unused excess amount of deductions that have been carried forward, the treatment of the unused excess will generally depend on whether the property or portfolio has been fully taxed.

Fully taxed on disposal

Where all the properties in a portfolio have been taxed on disposal in either the current or an earlier income year, any unused excess is released from the limited allocation rule for the current year: s [EL 5\(2\)](#). In other words, where all the residential rental properties in a portfolio have been taxed on disposal, any unused excess is released from the ring-fencing rule on disposal of the final property. The same applies to any unused excess in relation to a property dealt with on a property-by-property basis if the person derives income under the land sales provisions on the disposal of that property: s [EL 7\(2\)](#). Note, however, that this treatment does not apply where the excess amount has been transferred from another property — see below.

Not fully taxed on disposal

However, where not all of the properties in a portfolio have been taxed on disposal or no income is derived under the land sale provisions on the disposal of a property dealt with on a property-by-property basis, any unused excess amount is not released. The ring-fencing rule continues to apply to that amount for income years in which the person derives residential income and it is treated as a transfer to another residential rental property for an income year in which the person derives residential income: ss [EL 5\(3\)](#) and [EL 7\(3\)](#).

Example: Taxed sale of individual basis property

Nikita has 3 residential rental properties — 2 in a portfolio (properties A and B), and one which he applies the ring-fencing rules on a property-by-property basis for (property C). He also has salary income of \$70,000. Property C has accumulated ring-fenced deductions of \$80,000. Nikita decides to sell property C. The sale is taxed and gives rise to a net gain of \$60,000. Nikita uses \$60,000 of the ring-fenced deductions against the net sale income from property C. Because Nikita has applied the ring-fencing rules on a property-by-property basis for this property, the remaining excess deductions of \$20,000 are unfenced and used against Nikita's salary income.

Example: Treatment of ring-fenced deductions on disposal of all properties in a portfolio

Jairus owns a portfolio of two residential properties; he has not previously owned other residential properties. In the 2019–20 income year, he sells both of his properties for a total net taxable gain of \$10,000. He also has gross rental income of \$20,000 from the properties in that year, rental deductions for the properties of \$35,000 and a salary of \$70,000.

Jairus has a total of \$30,000 “residential income” from the portfolio for the year (the rental income and the net taxable gain from the sale of the properties). He can use \$30,000 of the rental deductions against his residential income. Because the sales of both properties in the portfolio were taxed, the remaining \$5,000 of rental deductions are unfenced and can be used against Jairus' salary income.

If the sale of only one of the properties had been taxed, any excess deductions would remain ring-fenced. The excess would not be able to be used against Jairus' salary income but would have to be carried forward to be used against any future residential income Jairus has.

Examples taken from *Tax Information Bulletin* [¶318-103 Vol 31, No 8](#), September 2019 at 58–59.

Transferred amounts

In the event that an unused excess amount is transferred (under s [EL 5\(3\)](#) or [EL 7\(3\)](#)) to a property that is included in another residential portfolio that has been fully taxed on all disposals and the final property in that residential portfolio is disposed of, the amount of the excess that can be released from the ring-fencing rule is reduced by the total unused excess amount transferred. The same applies if an unused excess amount is transferred to a property that is dealt with on a property-by-property basis and income is derived on disposal of that property. This ensures that where an amount of excess deductions from a property that was not taxed on sale has been transferred to another property or portfolio that has been taxed on sale, the amount that would otherwise be released on taxable sale of the property or divestment of the portfolio is reduced by the transferred amount. However, these unused deductions are able to be carried forward.

Main home exclusion

The ring-fencing rule does not apply to residential land for an income year if more than 50% of the land is used for most of the income year by the person as their main home: s [EL 9](#). A “main home” is defined, for a person, as the one dwelling that is mainly used as a residence by the person and with which they have the greatest connection (if they have more than one).

In relation to trust property, the land is excluded when more than 50% of the land is used for most of the income year by a beneficiary of the trust as their main home and a principal settlor of the trust does not have a separate main home. For these purposes, a “principal settlor” for a trust means a settlor whose settlements for the trust are the greatest, or greatest equal, by market value.

IR guidance on the main home exclusion from the bright-line test ([¶7-215](#)) is relevant to the extent the exclusions are the same. The difference between the 2 is that for the bright-line exclusion the land has

to have been used predominantly for the main home for all the days in the bright-line period (before 27 March 2021, *for most of the bright-line period* and before 23 March 2020, *for most of the time it was owned*), whereas the test for the ring-fencing rules is whether it has been predominantly used as the main home *for most of the income year*.

Exclusion for land held on revenue account

The ring-fencing rule does not apply to residential land that will give rise to income under s [CB 7](#) when disposed of: s [EL 10](#). This is land held in dealing, development, subdivision, and building businesses.

In addition, residential land that will give rise to income under any of the other land sales provisions (ss [CB 6A](#) to [CB 15](#)) on disposal, regardless of when disposal occurs, may also be excluded from the operation of the rules. However, for this land to be excluded, 2 additional requirements must also be met. First, the person must notify the Commissioner that the land is held on revenue account by the date for filing their return of income for the later of:

- # the income year in which they acquire the land
- # the income year in which the land becomes land that, when disposed of, will give rise to income under the land sales provisions, or
- # for land that is held at the start of the 2019–20 income year and is land that, when disposed of, will give rise to income under the land sales provisions, the 2019–20 income year.

Second, the person must be able to identify separately the deductions relating to the revenue account property. The exception to this requirement is where all of the person's residential land (other than land excluded under the main home exclusion, the mixed-asset exclusion or the employee accommodation exclusion) has given rise to income under the land sales provisions or will give rise to such income, regardless of when disposal occurs, and they have notified the Commissioner.

Thus, only land that will definitely be taxed on sale and this is acknowledged by the taxpayer will be excluded, not land that may be taxed on sale if certain contingencies occur (eg being sold within a particular time period — such as under the bright-line test). In addition, the taxpayer is only required to separately identify the deductions that relate to that revenue account property, unless all of the properties they have are on revenue account, in which case it is unnecessary.

Exclusion for property held by certain persons and entities

The ring-fencing rule does not apply to any residential land owned by a company, other than a close company, or a person or entity listed in Sch [36](#) (Government enterprises): s [EL 11](#).

Exclusion for mixed-use assets

Residential land that is a mixed-use asset under s [DG 3](#) ([¶10-035](#)) is also excluded from the ring-fencing rule: s [EL 12](#).

Exclusion for property provided as employee accommodation

Residential land provided by a person to their employees or other workers for accommodation in connection with their employment or service is excluded from the ring-fencing rule: s [EL 13](#). However, this exclusion does not apply if the person is associated with the employees or workers, unless it is necessary for the person to provide the accommodation because of the nature or remoteness of a business carried on by them.

Example: Accommodation provided to associated employee

Bill is a farm manager. He is provided with accommodation at a house on a nearby property (which is not farmland), given the remote location of the farm and work hours required. Other farm workers are also provided with accommodation in the area. The

farming business is owned by a company, which also owns the house Bill is provided with and the other residential land with the accommodation for employees and contractors. Bill and the company are associated persons.

The accommodation is provided to the workers in connection with their employment or service. The land with the accommodation provided to the non-associated workers is therefore within the employee accommodation exclusion (s [EL 13\(1\)](#)).

Because Bill is associated with the company, there is a further requirement for the exclusion for employee accommodation to apply. This is that it is necessary to provide the accommodation due to the nature or remoteness of the business carried on by the company. That requirement is met because of the work hours required and the remote location of the farm.

Example taken from *Tax Information Bulletin* [¶1318-103 Vol 31, No 8](#), September 2019 at 56.

Continuity rules for companies

Companies cannot carry unused excess deductions forward to a later year unless they satisfy the shareholder continuity requirements for carrying forward losses under ss [IA 5](#), [IB 3](#), [IP 3](#) and [IP3B](#) ([¶18-023](#) and [¶18-025](#)): s [EL 14](#).

Transfer between companies in wholly-owned group

Section [EL 15](#) allows ring-fenced deductions to be transferred between companies in a wholly-owned group. The transfer is treated as made when both the transferor and the transferee take tax positions on that basis in their tax returns for the relevant income year. Transferred deductions remain ring-fenced, so they are only able to be used in the relevant income year to the extent the transferee company has residential rental or land sale income. Any remaining deductions will be carried forward and will remain ring-fenced.

Interposed entities — residential land-rich entities

Without rules to deal with interposed entities, taxpayers could get around the ring-fencing rules by interposing an entity (eg a company) to separate a loan (and interest deductions) from the residential rental property, so the interest deductions are not subject to ring-fencing.

Specific rules have therefore been included to deal with the interposing of entities: ss [EL 16](#) to [EL 19](#).

The interposed entity rules apply to deductible interest on borrowings to acquire an interest in an entity that is, for a particular income year, a “residential land-rich entity”. To the extent the portion of the person’s interest expenditure is more than their share of net residential income, the excess is ring-fenced and carried forward to a later income year in which the entity derives residential income: s [EL 16](#).

Residential land-rich entity

A “residential land-rich entity” is defined as:

- # a close company, partnership, or look-through company if more than 50% of its assets by value are residential land, or
- # a trustee of a trust whose property includes residential rental property if more than 50% of the trust’s assets by value are residential land.

In either case, it does not matter whether the land is owned directly or indirectly.

For these purposes, the value of land, including an improvement to land, is the following amount, as applicable:

- # the amount established by the later of:
 - # the land’s most recent capital value or annual value as set by a local authority, or
 - # either the cost of the land on acquisition or, if the transaction involves an associated person, its market value.
- # for a leasehold estate in land, the market value of the land which the person may establish through a valuation made by a registered valuer no more than 3 years before the end of the income year.

Assets other than land are valued using:

- # for property with an adjusted tax value, its adjusted tax value
- # for other property, its market value.

All assets are valued at the end of the income year.

Thus, the 50% “residential land-rich entity” threshold takes into account all residential properties, not just those within the scope of the ring-fencing rules. This ensures that the interposed entity rule applies even if, for example, the main home is held in the same entity as a rental property (which would often be worth less than the main home).

Calculating interest expenditure and net residential income

For the purposes of determining the ring-fenced amount under s [EL 16](#), formulas for calculating a person's interest expenditure and net residential income are provided in s [EL 17](#).

A person's interest expenditure is calculated using the following formula:

$$\text{applied capital percentage} \times \text{interest on borrowings}$$

where:

applied capital percentage is the percentage of the entity's capital, as at the end of the income year, that it has used to acquire residential rental property, and

interest on borrowings is the amount of interest expenditure the person has incurred for the income year in relation to the amount borrowed.

The applied capital percentage definition has the effect of essentially regarding all of the entity's capital (both debt and equity) as split on a pro rata basis between the different investments the capital has funded. This was seen as easier to apply than a definition requiring taxpayers to trace the use of specific funds.

A person's share of net residential income is calculated using the following formula:

$$\text{person's interest} \times \text{entity's net residential income}$$

where:

person's interest is, as applicable:

when the entity is a company, the person's voting interest in the company measured at the end of the income year

when the entity is the trustee of a trust, the value of the person's interest in residential rental property that is trust property as a percentage of the trust's assets, measured at the end of the income year, and

entity's net residential income is the amount of the net income for the corresponding tax year that the entity would have in the absence of s [EL 4](#) (ie if the ring-fencing rule did not apply), if the only income derived by the entity were residential income.

Note that if the entity is a partnership or look-through company and it has chosen to apply the ring-fencing rules on a property-by-property basis for a particular property, certain modifications are made to the above formulas: s [EL 18](#). The applied capital percentage formula is read as if the residential rental property were the particular property and the residential income derived by the person for the income year from that particular property is treated as their share of net residential income.

For a detailed discussion on the ring-fencing rules and further examples providing more detailed guidance on how the rules apply in a range of situations, see *Tax Information Bulletin* [T318-103 Vol 31, No 8](#), September 2019 at 53–66.

Allocation of deductions for bright-line disposals of land

A special ring-fencing rule has applied in relation to deductions on the disposal of land subject to the bright-line test under s [CB 6A](#) since 1 October 2015. This rule was previously contained in former ss DB 18A and

DB 18AB, but with the introduction of the ring-fencing rules for all residential land, those sections were repealed and replaced by s [EL 20](#) with effect from 1 April 2019. The ring-fencing rule for bright-line disposals is discussed at [¶7-049](#) and [¶7-050](#).

Law: IT07 subpt [EL](#), s [YA 1](#) (“dwelling”, “main home”, “principal settlor”, “residential land”)

Last reviewed on 31 December 2025

Deduction of development costs for land [¶7-370]

[¶7-370]

[Click to open document in a browser](#)

Costs associated with land subject to the land disposal provisions can be expected to be allowed as a deduction under the general permission. The costs represent expenditure incurred in deriving assessable income. It is difficult to envisage how deduction of the costs could be prevented by the capital limitation, because the costs relate to revenue account property (rather than capital assets) of the taxpayer.

Timing of the deduction for a cost may be an issue in some cases. The cost may be found to have an unexpired portion at balance date to prevent deduction in full by that year-end. *Thornton Estates Ltd v C of IR* (1998) 18 NZTC 13,577 (CA) confirmed application of the provisions on prepayments to land developments. See further at [¶10-052](#).

Law: IT07 ss [DA 1](#), [DB 23](#), [EA 3](#)

Last reviewed on 31 December 2025

Deduction of holding costs for land [¶7-371]

[¶7-371]

[Click to open document in a browser](#)

What are holding costs?

Holding costs are costs such as interest, rates, insurance, and repairs and maintenance expenditure that are incurred as a result of owning land. It is generally accepted that, to the extent that land is used to earn taxable income, holding costs are deductible. So, if a person owns a rental property, holding costs are deductible in full (subject to the rental ring-fencing rules – see [¶7-365](#)) because those costs relate to the taxable rental income. See also the interest deductibility rules which disallow interest deductions for residential properties ([¶10-814](#)).

Equally, if land is held by a land dealer, holding costs are generally deductible in full because those costs relate to the taxable income from the sale of the land.

Prior to 27 March 2021, interest was allowed as a deduction for most companies, without the need to establish a connection with the production of assessable income. That principle would, for example, permit a company that is not a qualifying company to deduct the interest payable on a borrowing raised to purchase bare land that is retained for an extended period prior to committal to a development or division scheme. A non-corporate land owner would need to establish that any interest cost is expected to produce assessable income before a deduction for the expense would be allowed ([¶10-650](#)). However, since 27 March 2021, when subpt [DH](#) came into effect, some companies are disallowed from claiming interest. See ss [DB 7\(6C\)](#) and [DH 3](#). See also [¶10-814](#).

Privately used land taxable on sale

In October 2019, IR released a consultation document, “Holding costs for privately used land that is taxable on sale”. The document considers the rules for the deductibility of holding costs for land that is taxable on sale and is used privately (in whole or in part) while it is held. For example, this will arise where a bach or second home is sold within 10 years (or 5 years if acquired before 27 March 2021) so that the gain from the sale is taxable under the bright-line test. This will also arise where a person regularly purchases properties to renovate and sell, and lives in the properties while they own them.

The document considers 3 options for the deductibility of holding costs for land subject to income tax on sale that is used privately. These options are:

- # apportioning the holding costs between the taxable gain on sale and the private use of the land while it is held
- # allowing deductions for all holding costs, even though there is private use, and
- # denying deductions for all holding costs for periods of private use.

While it is acknowledged that an apportionment approach would arguably be the most accurate option, the document notes that it would not be consistent with other areas of New Zealand’s tax law where no apportionment is required. Therefore, officials’ current view is that denying deductions for all holding costs for periods of private use would be the best option.

The document also considers the tax treatment of holding costs relating to land that is not actively used and is taxable on sale. If deductions are denied as a result of private use, it is necessary to determine whether unused or vacant land should be treated as being used privately or for income earning purposes.

The document proposes that the treatment of vacant or unused land as either private or income earning could depend on the other uses of the land during the period of ownership. This would mean that:

- # where land is otherwise actively used either privately or for income-earning purposes, any vacant or unused days could be treated similarly

where land is used for both income-earning and private purposes and there are more than 62 days of vacant or unused time, the current “mixed-use asset rules” could continue to apply.

Where land is wholly vacant or unused, the use could be considered income earning if:

- # it is held for a business of dealing in, developing, or building on land
- # it is held for another income-earning purpose (eg land purchased to expand a current business onto, or to erect a rental property), or
- # the taxpayer otherwise informs the Commissioner at the time of purchase that the land was acquired solely with an intention of resale for profit.

In all other situations where land is wholly vacant or unused the use would be considered private.

This document should be read keeping in mind the updated comments in the interpretation statement discussed below.

Interpretation statement

Interpretation statement [IS 23/10](#) “Deductibility of holding costs for land” considers the deductibility of holding costs related to land in detail and covers all taxpayers, except companies. It discusses the key aspect of nexus between the expenditure incurred and income derived, and when apportionment of any allowable holding costs is required. Apportionment is required when the land is used privately by the owner at times.

Land must be used in income-earning activity

A key aspect of the statement is that land must be used to derive assessable income. Use of land generally means that the land is physically used or occupied, like being rented out or used by the owner in some way. Where land is held on capital account, the view in the statement is that it cannot be said that the land is being held for income-earning sale as the property is not committed to an income-earning activity. This is the case even when the land disposal may result in tax being payable, for example when the bright-line test applies. In circumstances where the bright-line test applies to the disposal of land, holding costs will not be deductible. See [12] and [30]–[32] of the summary of the interpretation statement for discussion on land held on capital account and periods of private use and periods of rental use relating to the land. Where assessable rental income is derived, holding costs relating to those periods are deductible. However, where there has been a period of private use, holding costs are not deductible. If there is no current year income-earning use of land, the general permission under s [DA 1](#) is not satisfied.

See below for commentary where the holding costs relate to mixed-use assets, for property used both privately and rented out from time to time.

Interest deductibility

When holding land, taxpayers are limited by subpt [DH](#) (the interest limitation rules) when the interest expenditure satisfies the nexus test under the general permission. The disallowed interest expenditure may become deductible when the property is disposed of and the disposal is taxed. The amount that is allowed as a deduction on disposal is dependent on application of the general permission and apportionment (where applicable). If the interest is deductible, the previously disallowed interest expense is added to the cost of the land in the year of disposal (subject to any cost reduction under s [DB 23C](#) and also subject to s [EL 20](#) under the loss ring-fencing rules). See [45] in the summary onwards and [172] onwards in the main statement.

Cost of land on disposal

If the disposal of land is taxable, a deduction for the cost of land is allowed (s [DB 23](#)). The statement covers whether the holding costs related to the land forms part of the “cost” of land. The Commissioner’s view is that holding costs do not form part of the costs intended to be deductible under s [DB 23](#). Their view is that s [DB 23](#) applies to costs incurred to acquire the land. This includes the initial outlay on acquisition as well as the cost of capital improvements (as these form part of the land). Holding costs do not form part of these initial acquisition costs, but rather they are incurred as part of ownership holding of the land.

Deductibility where land is subject to bright-line test

Generally during the period of ownership if land is held on capital account (not held for taxable sale), then a taxpayer cannot deduct holding costs. Notably, there is an exception for land taxed under the bright-line test. Where land is taxed under the bright-line test, interest expense which was disallowed due to the application of the interest limitation rules under subpt [DH](#) are allowed to be deducted as part of the cost of land under s [DB 23](#). The total amount allowed is calculated in accordance with s DB 23C which reduces that allowed interest expense if the property has been used as a main home. In addition, the bright-line loss quarantine rule in s [EL 20](#) must be taken into account. As a result, the final allowable interest deduction may be reduced under any of these provisions.

Apportionment

Where land is used privately, holding costs are not deductible as there is no derivation of assessable income. Therefore, if land is used privately during an income year for periods of time, apportionment of the holding costs must take place. The method of apportionment will depend on whether the mixed-use asset rules apply or not (below and at [¶10-035](#)). If they do not, then holding costs are subject to:

- # apportionment for any period the property is not part of an income earning process, and
- # where applicable, application of subpt [DH](#) denial of interest deductions.

Ring-fencing of rental losses may also apply ([¶17-365](#)).

When to apply the mixed-use asset rules

The statement clarifies when the mixed-use asset rules should be used, as opposed to the general deductibility rules. These rules already apportion use in the formula. The mixed-use asset rules apply when the land is ([¶10-035](#)):

- # used privately (including individuals associated with the owner, or if the property is rented out at less than 80% of the market value rent)
- # used for income-earning, and
- # unused for at least 62 days.

The statement covers a summary of apportionment of holding costs at [15] to [37] in the summary.

The interpretation statement contains a flowchart which can assist in the determination of whether, and to what extent, holding costs are deductible.

Law: IT07 ss [DA 1](#), DB 7(6C)

Last reviewed on 31 December 2025

Averaging costs over all land disposed [¶7-372]

[¶7-372]

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In some instances, it may be appropriate to average costs over all of the land sold. This is likely to be a sensible approach in relation to the development or division of a substantial block of land, where a range of costs may be incurred on the block as a whole rather than in relation to specific portions of it. Costs incurred in the provision of road access and domestic amenities within the block could be examples. The object of the exercise must be to adopt an approach that best represents the income derived from disposal of the land.

Example:

A taxpayer purchased land for market gardening, but later subdivided it into residential lots for resale to produce income from an undertaking or a scheme commenced within 10 years. To calculate the assessable profit, the taxpayer added the cost price of the land to the remaining estimated development costs and divided the resulting figure by the total number of sections. The taxpayer, therefore, obtained an average cost per section, and this was deducted from the amount received upon sale to give the net profit arising on the sale of each section. The Commissioner accepted this approach, and the Court of Appeal confirmed it. The Court also allowed projected holding costs and development expenses to be included in the profit calculation and to be deducted, even though the costs had not been incurred at that time. See *Lowe v C of IR* ([\(1981\) 5 NZTC 61,006](#)).

One proposition that underpinned the Court's conclusion in the *Lowe* case was the notion that in some cases the assessment of income may call for the exercise of judgment. The allocation of costs, the Court observed, requires the exercise of judgment and is not a simple matter of arithmetical calculation. However, any cost allocation is to be made in accordance with recognised commercial accounting practices. In some matters of accounting, an honest and careful estimation is the most that can be expected or achieved, the Court added.

Last reviewed on 31 December 2025

Timing of income derivation from land [¶7-380]

[¶7-380]

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The general timing provisions for the allocation of income or allowable expenditure are found in ss [BD 3](#) and [BD 4](#). In the absence of any specific timing regime under Pt [E](#), assessable income is recognised in the income year when derived, and allowable expenditure is deductible when incurred. Examples of specific timing regimes are those relating to certain income from leases ([¶5-115](#)) and income derived on compulsory acquisition of land ([¶5-122](#)).

The Australian case, *Gasparin v FC of T* [94 ATC 4280](#), specifically addressed the issue of when income from the sale of land is derived. The case involved a land developer who had entered into a number of agreements for the sale of various allotments. The agreements became unconditional before balance date but were not settled until after balance date. The issue was whether income from the sales was derived when the agreements became unconditional (before balance date) or when the sales were settled (after balance date). The Full Federal Court of Australia held that income is derived when a legal debt arises in respect of the property disposed of. Generally, this does not occur until settlement takes place. Although a vendor may demand specific performance or damages under an unconditional contract before the conveyance of title, the vendor is not entitled to sue for the purchase price as a debt. No legal debt for the purchase price arises until title is due to be conveyed.

The Commissioner has accepted that *Gasparin* is authoritative law in New Zealand. See *Tax Information Bulletin* [¶165-112 Vol 16, No 5](#), June 2004 at 34. IR concludes at 40:

... that the derivation occurs when a sale takes place and a debt arise which can be sued upon and generally this will be the same time as the vendor loses their dispositive power. While a debt may arise at the time an unconditional contract is signed, this will not always be the case. When considering when derivation occurs it is important to consider what will give the correct reflex of the taxpayer's income.

The item also emphasises that the financial arrangements rules must be taken into account in cases of a deferred settlement. See also *Tax Information Bulletin* [¶111-102](#), [¶111-103 Vol 11, No 1](#), January 1999 at 7.

The effects of inflation are to be disregarded in the calculation of the assessable income. See *Lowe v C of IR* [\(1984\) 6 NZTC 61,712 \(PC\)](#).

Disposal of land at less than market value

An anti-avoidance provision exists to prevent land that is subject to the land disposal provisions from being disposed of for less than market value. Where land is disposed of for no consideration or less than market value consideration, it is deemed to be disposed of for its market value (s [GC 1](#)).

Law: IT07 ss [BD 3](#), [BD 4](#), [GC 1](#)

Last reviewed on 31 December 2025

Accounting for amounts from long-term construction contracts [17-385]

[17-385]

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Accounting for amounts arising from long-term construction contracts is an area of difficulty. Such projects, for example, buildings, bridges, ships and dams, usually extend over a number of income years. The consequence of this is that the timing of measurement of both assessable income and allowable deductions becomes subjective. There are 2 commonly used methods for accounting for long-term construction contracts:

- # the completed contracts method, which recognises no income until the contract has been completed, and
- # the percentage of completion method, which recognises anticipated contract profits progressively on a yearly basis over the term of the contract.

There are no specific provisions relating to long-term contracts, so assessable income is recognised by the core timing provisions in tandem with relevant case law.

Example:

A roofing contract provided for progress payments during the term of the contract. The court held that based on the terms of the contract, the percentage of completion method was the correct basis of income recognition. See *HW Coyle Ltd v C of IR* (1980) 4 NZTC 61,558.

NZ IFRS 15 *Revenue from contracts with customers* applies for annual reporting periods beginning on or after 1 January 2018 (originally 1 January 2017), although the new standard could be voluntarily adopted prior to that date. The standard replaces several existing standards and introduces a new revenue recognition model for all contracts with customers. The standard allows for revenue to be recognised over time, in a manner that best reflects the company's performance, or at a point in time, when control of the good or service is transferred to the customer. New criteria are included to determine when revenue should be recognised over time. Some contracts that are currently accounted for under the percentage of completion method may require revenue to be recognised on contract completion under the new standard.

The High Court has affirmed that the recognition of total profit upon completion was the correct accounting method in a particular income year for a company engaged in the construction of domestic dwellinghouses. This was because evidence indicated that, for the 1987 income year, individual contract costs could not be reliably estimated before completion. See *Horizon Homes Ltd v C of IR* (1994) 16 NZTC 11,064.

Generally, the Commissioner will not accept a completed contract method, unless the contract allows payment only on the completion of the project. Where progressive payments are made, the general principles of the *HW Coyle* case (above) will be applied in determining assessable income for each year. The Commissioner will also apply a cash receipts basis. Where instalments are paid based on physical completion stages, then that is when revenue will be recognised. It is also possible that a long-term construction contract will be a financial arrangement for the purposes of the financial arrangements rules.

Retention money

QWBA QB 13/04 "Income tax — retention money" applies generally to business taxpayers for whom the payment, or the receipt, of retention money is on revenue account. The item applies to contracts generally and not only construction contracts.

IR was asked when a contractor derives as income the retention money withheld by a customer and also incurs the expenditure of the retention money the contractor withholds from payments to the subcontractor.

Retention money is generally a set percentage of a progress payment (say 10%) withheld as security for the contractor delivering the work free of defects or omissions.

IR states that the contractor derives the retention money as income in the income year in which the works are complete and free of defects and omissions (that is any repairs are completed and omissions rectified) and thus when the income-earning process is completed and an enforceable debt is created. If payment is not to be made unless the work is certified by a third party, for example, by an engineer, the retention money is derived as income when that certificate is given. The same principle applies to derivation of income by the subcontractor.

The contractor also incurs the expenditure of the retention money payment to the subcontractor in the income year in which all repairs are completed and omissions rectified, because that is when the contractor becomes definitively committed to make the payment. It is this that determines when the expense is incurred and not the due date for the payment. If the repairs and rectifications must be certified by a third party, for example, by an engineer, the contractor incurs the expenditure when that certificate is given as that is when the contractor becomes definitively committed to make the payment.

Last reviewed on 31 December 2025

Trustee distribution of land to beneficiary [17-400]

[17-400]

[Click to open document in a browser](#)

A distribution by a trustee to a beneficiary of land that is subject to the land disposal provisions is treated as a disposal of the land at its then market value, if another provision in the IT07 does not already provide a value for the property. This may require the trustee to recognise income upon the distribution.

The beneficiary is treated as having a cost of acquisition that is the same as the trustee's disposal value. That would provide a cost base for the beneficiary, in the event that the beneficiary holds the land on revenue account.

The same rules apply upon a resettlement of land that is subject to the land disposal provisions on another trust. Effectively, there is a disposal and acquisition of the land at its then market value.

Law: IT07 ss [FC 1](#)–[FC 5](#)

Last reviewed on 31 December 2025

Death of a person who owned land [¶7-405]

[¶7-405]

[Click to open document in a browser](#)

The death of a person who owned land at the time of death that is subject to the land disposal provisions will give rise to 2 disposals. These are:

- # the vesting of the land in the administrator or executor of the deceased's estate (s [FC 1\(1\)\(a\)](#)), and
- # a distribution by the administrator or executor to a beneficiary of the estate, whether under the will or upon an intestacy (s [FC 1\(1\)\(b\)](#)).

Provision is made for rollover relief to be applied to the disposal, which means that the land will pass to the recipient and the disposal will be treated, in certain circumstances, in the same manner as a relationship property transfer taking place at tax book value ([¶7-440](#)). That treatment applies to the following 2 categories of disposal:

- # the vesting of the land in the executor and its later distribution to an estate beneficiary where:
 - # the land is to pass to the surviving spouse, civil union or de facto partner, and
 - # estate beneficiaries who are close relatives are to receive all estate assets comprising tax-base property which is defined as revenue account property, foreign investment fund interests, financial arrangements not accounted for on a cash basis and depreciable property. A close relative in this context is defined as a surviving spouse, civil union or de facto partner, and a person who is within the second degree of relationship to the deceased (eg grandparents, grandchildren, brothers or sisters)
 - # distribution of the land by the executor to a beneficiary who is a close relative or a charity, either of whom is to receive all estate assets comprising tax-base property as above and where all of the following apply:
 - # the estate creates no life interest over the property
 - # no trust is created for the estate, apart from during the period of its administration, and
 - # during administration, the estate's net income is distributed to the maximum extent possible.

Note that s [FC 9](#) overrides the above treatment for certain transfers of residential land, discussed below.

The Commissioner has indicated that this second category can continue to apply if the will provides for legacies of assets that are not within the tax base. Possibly, the Commissioner had in mind legacies, such as jewellery and motor vehicles. Less certain is the position in relation to a cash legacy granted to a friend of the deceased. The focus of the second category is on the beneficiaries who are to receive the deceased's revenue account assets. Since a cash legacy does not deal with taxable assets, it may be that such a provision does not prevent application of the second category. See *Tax Information Bulletin* [¶177-111 Vol 17, No 7](#), September 2005 at 43.

If the book value approach is not available, a market value treatment applies. The treatment becomes as follows:

- # the executor is treated as having acquired land, subject to the land disposal provisions immediately before the death of the deceased at its then market value
- # a beneficiary of the estate to whom the land is distributed is treated as acquiring the land at the same market value.

Ten-year rules

The effect of a person's death on the 10-year rules incorporated in the land disposal provisions is addressed in s [FC 5](#). The first topic dealt with is the categories of land disposal income relating to the disposal within 10 years of a dealer's other land ([¶7-065](#)), a developer's other land ([¶7-085](#)) and a builder's other land ([¶7-095](#)). If an interest in land potentially subject to those provisions is to vest in a beneficiary who is a close relative of the deceased, they do not operate to create income upon:

- # vesting of the land in the executor, and
- # distribution to the beneficiary.

A similar approach is provided for in relation to land affected by zoning change and disposed of within 10 years of acquisition ([¶7-135](#)). That category of land disposal income does not operate to create income upon the land vesting in the executor, or when the executor distributes the land to an estate beneficiary. This is provided that a beneficiary who is a close relative receives an interest in the land.

“Close relative” is defined in s [FC 1\(2\)](#) to mean a surviving spouse, civil union partner, or de facto partner of the deceased person. It also includes any person who is within the second degree of relationship to the deceased person.

In the event that any of the 10-year provisions are not prevented from having application, there is an attribution of costs. The executor or beneficiary is imputed with the cost of purchase by the deceased and any further costs incurred by the deceased that have not already been allowed as a deduction. Expenditure incurred by the executor or administrator on land can also be included as part of the cost of the land when calculating profits on disposal. The executor or beneficiary may take those costs into account in determining the income arising under the land disposal provisions relating to other land and rezoning gains. Note that the concessions do not apply to land of the deceased that is subject to the rule for developments or divisions begun within 10 years.

Bright-line test — transfers of residential land

For residential land acquired on or after 1 October 2015, the effect of a person's death on the bright-line test in ss [CB 6A](#) and former [CZ 39](#) (see [¶7-049](#) and [¶7-050](#)) is addressed in s [FC 9](#). Rollover relief is provided for all transfers following a death and an exemption for any disposals by the executor or administrator or subsequent disposals by the beneficiaries.

The rollover relief is achieved by deeming the transfers from the deceased person to the executor or administrator, and from the executor or administrator to the beneficiary, as a disposal and acquisition of the property to be at the total cost of the land to the deceased person at the date of transfer (rather than at the land's market value). The effect of this is that no tax liabilities under the bright-line test arise under the transfers.

Disposals by a beneficiary, executor or administrator of residential land transferred to them on the death of a person are specifically excluded from the bright-line test (under s [CB 6A\(5\)\(c\)](#) for the new 2-year bright-line test, former s [CB 6A\(2B\)](#) for the 5-year new build and 10-year bright-line test, and s [CZ 39\(7\)](#) for the 5-year bright-line test). However, the disposals may still be subject to tax under the current land sale rules.

Example: Inheritance

<i>Transferred for \$500k – no gain</i>		<i>Transferred for \$500k – no gain</i>		<i>\$100k gain exempted from bright-line</i>	<i>\$200k gain is subject to the bright-line</i>
1 May 2016 Mrs Higgins acquires residential rental property (\$500k)	1 May 2017 Mrs Higgins dies	1 May 2017 Property transferred to administrator at cost (\$500k)	1 June 2017 Property transferred to Henry, son of Mrs Higgins at cost (\$500k)	1 July 2017 Henry sells property to Peter for \$600k	1 July 2018 Peter sells property to Paul for \$800k

(Note that as the land was acquired before 29 March 2018, the bright-line period is two years. For land acquired between 29 March 2018 and 26 March 2021, the bright-line period is five years, the bright-line period increases to ten years for land acquired on or after 27 March 2021 and disposed of before 1 July 2024, the bright-line period is back to 2 years for land disposed of on or after 1 July 2024.)

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 86.

Extension of relief from bright-line test

If residential land is transferred on or after 1 July 2024, by a person who has inherited the land, the transfer of residential land in some trust contexts, and between associated persons, may be treated as a disposal at cost by the transferor and an acquisition at cost by the transferee for the purposes of the bright-line test (see s [FD 1](#) and [¶7-545](#)). See [¶7-540](#) for rollover relief applicable before 1 July 2024.

Law: IT07 ss [CB 6A\(5\)\(c\)](#), CB 6A(2B), CZ 39(7), [FC 1](#), [FC 2](#), [FC 3](#), [FC 4](#), [FC 5](#), [FC 9](#), [FC 9B](#), [FC 9C](#), [FD 1](#)

Last reviewed on 31 December 2025

In specie distribution of land [¶7-410]

[¶7-410]

[Click to open document in a browser](#)

Land subject to the land disposal provisions that is distributed by a company to a shareholder may result in dividends ([¶16-550](#)). In that event, the land is treated as having been disposed of by the company for its market value and acquired by the recipient for market value on the date of the distribution.

The shareholder derives dividends to the extent that that results in a transfer of company value to the shareholder.

Law: IT07 ss [FC 1\(1\)\(d\)](#), [FC 2\(1\)](#)

Last reviewed on 31 December 2025

Gifts of land subject to land disposal provisions [¶7-420]

[¶7-420]

[Click to open document in a browser](#)

A gift may be made of land that is subject to the land disposal provisions. In that event, the donor is treated as having disposed of the land for its market value on the date on which the gift is effective. The recipient is treated as having an acquisition cost that is the same as that value.

Under the general law, a gift of land committed to a development scheme by a donor may be regarded as a gift of a capital asset that does not lead to assessable income upon the subsequent sale of the land by the donee. See *Gutwenger v FC of T* [95 ATC 4008](#).

Law: IT07 ss [FC 1\(1\)\(e\)](#), [FC 2\(1\)](#)

Last reviewed on 31 December 2025

Associated persons and “tainting” and land disposal provisions [¶7-430]

[¶7-430]

[Click to open document in a browser](#)

The associated persons concept applies in connection with those who are in the business of dealing in land, developing land or erecting buildings. Where the person who disposes of the land, or someone associated with that person, carried on one of those kinds of business at the time of acquisition of the land (or at the time improvements were commenced for builders), the disposal gives rise to income under the provisions relating to:

- # land acquired for the purposes of dealing, developing or building businesses ([¶7-055](#)), and
- # the other land of a dealer ([¶7-065](#)), developer ([¶7-085](#)) or builder ([¶7-095](#)) where the land is sold within 10 years of acquisition (or within 10 years of completing improvements for builders).

A definition of “associated persons” for the purposes of the land transaction provisions applies to land acquired, or land on which improvements were commenced, on or after 6 October 2009.

For the tests of association which apply to land, see [¶7-433](#).

Last reviewed on 31 December 2025

Transfer of land between associated persons [¶7-432]

[¶7-432]

[Click to open document in a browser](#)

Land that is transferred between associated persons, and later sold by the transferee, gives rise to income in the hands of the transferee where:

- # the transferee derives a gain upon on-sale of the land, and
- # the amount derived would have been income of the transferor under any of ss [CB 6–CB 14](#) if the transferor had retained and disposed of the land.

This does not apply to Kōwhiri Ora – Homes and Communities (previously Housing New Zealand) or a company in the same wholly owned group, or certain land acquired from a co-owner on a partition or subdivision (see ss [CB 15\(1B\)](#), [CB 15D](#), [CB 15E](#), and [¶7-210](#)).

Under s [CB 15\(2\)](#) an associated transferee is treated as having acquired land on the date on which the land was first acquired by an associated transferor. This treatment applies for the purposes of ss [CB 7–CB 12](#) and [CB 14](#).

Adoption of the associated transferor's acquisition date may have a favourable outcome in some cases. For example, the land disposal provisions relating to a development or division commenced within 10 years of acquisition did not apply where the land was acquired from a majority shareholder, an associated person, who had acquired it more than 10 years before commencement of development of the land by the company. See *Paul Stephens Construction Ltd v C of IR* (1990) 12 NZTC 7,192.

In Case Z22 (2010) 24 NZTC 14,305 land held on revenue account by a development company was transferred to an unassociated (but closely connected) family trust. The sale price was minimal due to the fact that there was a 10-year lease in place between the development company and another associated company at the time. When the family trust later sold the property, the Commissioner assessed the sale proceeds on the grounds of tax avoidance. The Commissioner alleged that the sale of the property to the family trust was part of a tax avoidance arrangement to convert land held on revenue account by a development company to a capital asset of a connected family trust. In deciding in favour of the taxpayer, Judge Barber held that the character of property held by one party is not necessarily the same as its character in the hands of another. There was nothing artificial or contrived about the steps taken by the development company.

Subsections (1) and (2) of s [CB 15](#) apply in different circumstances for a disposal of land and are not interdependent. The different circumstances are:

- # a disposal of land that was acquired at an earlier time from an associated person of the vendor who would have been taxed on the disposal had the associated person retained the land and made the disposal themselves: s [CB 15\(1\)](#)
- # a disposal of land that would be taxed under one of the land sales rules if the land is sold within 10 years of acquisition (or, in the case of the land sales rule applying to builders, sold within 10 years of commencing making improvements to the land): s [CB 15\(2\)](#).

Section [CB 15\(1\)](#) is an anti-avoidance rule. Under that subsection, the income derived on disposal is income of the vendor under the anti-avoidance rule, rather than under any of the main land sales rules. This ensures that the anti-avoidance rule does not apply where there is a series of transactions between associated persons, and also clarifies that the vendor cannot use any of the exclusions from the main land sale rules.

Section [CB 15\(2\)](#) ensures that the vendor is not taxed on the disposal of land if there is a combined period of actual ownership exceeding 10 years between:

- # the vendor, and
- # in certain circumstances, an associated person from whom they acquired the land.

Note that s [CB 15](#) was amended retrospectively from the beginning of the 2008–09 income year, but that a savings provision protected tax positions taken on the basis of the existing law prior to introduction of the relevant Bill on 28 June 2018.

Bright-line test rollover relief

For discussion on the bright-line rollover relief provisions which apply to transfers of residential land between associated persons see [¶7-545](#).

Law: IT07 s [CB 15](#)

Last reviewed on 31 December 2025

Associated persons tests for land [¶7-433]

[¶7-433]

[Click to open document in a browser](#)

The 12 categories of association are as follows:

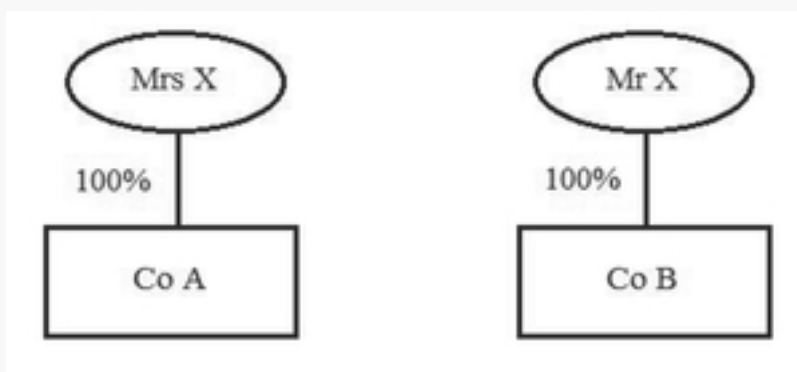
Two companies — s YB 2

Two companies are associated with each other when a group of persons together own at least 50% of the voting interests (or market value interests of at least 50% where a “market value circumstance” applies to either company) in each company or who control both companies by any other means.

The test also includes an aggregation rule under which a person will be treated as holding anything held by an associated person, see s [YB 2\(4\)](#) and [YB 2\(5\)](#). The aggregation rule is intended to prevent the 2 companies test being circumvented by the fragmentation of interests among associated persons, so that the 50% threshold is not reached. There is an exception which provides that 2 companies are not associated where one of the companies is a portfolio investment entity (PIE).

Example:

Mr X owns 100% of the shares in Co A. Mr X owns 100% of the shares in Co B.



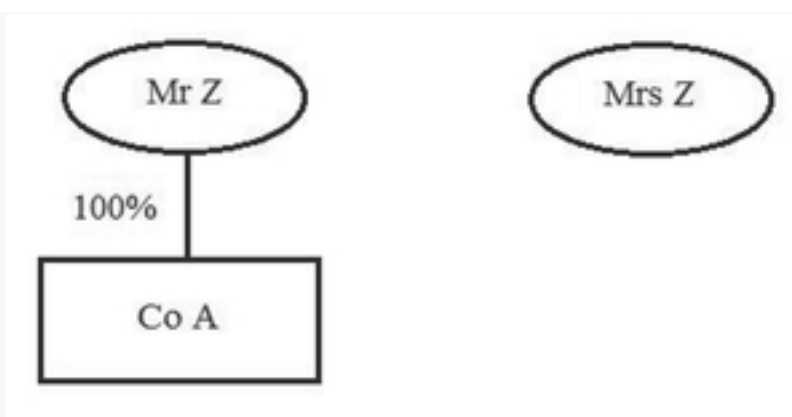
The 2 companies are associated under s [YB 2](#). This is because under the aggregation rule, Mrs X is deemed to hold the shares in Co B because she is associated with Mr X. Likewise, Mr X is deemed to hold the shares in Co A because he is associated with Mrs X. As a result, there is a group of persons who together own at least 50% of the voting interests in each company, making the 2 companies associated.

A company and a person other than a company — s YB 3

A company and a person other than a company (typically an individual) will be associated if the person owns at least 25% of the voting interests (or a market value interest of at least 25% where a “market value circumstance” applies). Prior to 29 March 2018, a “person other than a company” in this context included a corporate trustee. There is also an aggregation rule similar to that applying to the previous test which provides that a person will be treated as holding anything held by an associated person.

Example:

Mr Z owns 100% of the shares in Co A. Mrs Z does not own any of the shares.



Mrs Z is associated with Co A even if she does not own any of the shares in Co A. This is because under the aggregation rule, Mrs Z is deemed to hold the shares held by Mr Z in Co A. Therefore, since she is deemed to hold at least 25% of the shares in Co A, she is associated with Co A.

Two relatives — s YB 4

There are 3 categories of association which apply to relatives. For land transactions, 2 people will only be associated if they are married or in a civil union or de facto relationship. In addition, s [YB 4\(2\)](#) provides that for the purpose of the land provisions, persons are associated because of a blood relationship only if one is the infant child of the other (a child by adoption being treated as a natural child).

An interesting exception to this section provides that 2 people are not associated if one person cannot reasonably be expected to know that the other person exists or the person is related within 2 degrees of blood relationship (s [YB 4\(4\)](#)).

Person and trustee for a relative — s YB 5

Section [YB 5\(2\)](#) expressly states that this test does not apply to land transactions.

Trustee and beneficiary — s YB 6

Section [YB 6\(2\)](#) expressly states that this test does not apply to land transactions.

Two trustees with common settlor — s YB 7

A trustee of a trust and a trustee of another trust are associated persons if the same person is a settlor of both trusts. For the purposes of applying the test, persons who are married or in a civil union or de facto relationship are treated as the same person, eg if a husband is the settlor of a trust and a wife is a settlor of another trust, the trusts will be associated as the husband and wife are treated as a common single settlor.

The definition of a “settlor” for the purposes of the associated persons rules is widely drawn to include a person who transfers value to a trust, but it does not include a person who provides services to a trust for less than market value.

Trustee and settlor — s YB 8

A trustee of a trust and the settlor of a trust are associated persons. This test, however, does not apply to charitable trusts, the effect of which prevents donors to tax charities from being associated with each other.

Settlor and beneficiary — s YB 9

Section [YB 9\(2\)](#) states that this test does not apply to land transactions.

Trustee and person with power of appointment and removal — s YB 11

A trustee of a trust and a person who has a power of appointment and removal of the trustee are associated persons. An exclusion exists for a person who holds the power of appointment or removal of that trustee in their professional capacity if the person meets all of the following criteria:

- # the person holds the power as a provider of professional services
- # the person is subject to a professional code of conduct, and disciplinary process intended to enforce compliance with the code, of an approved organisation as that term is defined in s 3(1) of the Tax Administration Act 1994, for such providers of professional services, and
- # the person has not benefited from the trust and is not eligible to benefit from the trust.

Approved organisations include Chartered Accountants Australia and New Zealand, the New Zealand Law Society, and the Society of Trust and Estate Practitioners.

Partnership and partner — s YB 12

A partnership and a partner in the partnership will be associated under this test. A separate rule applies to partners in limited partnership. A limited partner in a limited partnership will be associated with the partnership only if that limited partner has a share of 25% or more in the partnership (if the rule in s [YB 16B](#) does not apply whereby certain limited partnerships are treated as though they were companies for the purposes of applying specific tests of association).

Look-through company and a person — s YB 13

A person is associated with a look-through company if that person holds a look-through interest in the company and is also a director or employee of the company under s [YB 13\(1\)](#). If s [YB 13\(1\)](#) does not apply, then a person is associated with a look-through company if that person has an effective look-through interest of 25% or more in the company. Aggregation rules, similar to those applying under the association test for 2 companies, also apply.

Example:

Elberfeld Developments Ltd is a look-through company that carries on business as a property developer. The shareholders of Elberfeld Developments Ltd are Baron Elberfeld (60%), Max Detweiler (20%) and Rolf (20%). The directors of Elberfeld Developments Ltd are Baron Elberfeld and Max Detweiler. Rolf is not a director of Elberfeld Developments Ltd, but he is employed by the company to make deliveries. Are Baron Elberfeld, Max Detweiler and Rolf associated with Elberfeld Developments Ltd?

Baron Elberfeld, Max Detweiler and Rolf will all be associated with Elberfeld Developments Ltd. In particular, Baron Elberfeld and Max Detweiler will be associated with Elberfeld Developments Ltd, as they both hold look-through interests in the company and are directors of the company. Rolf will be associated with Elberfeld Developments Ltd, as he holds a look-through interest in the company and is an employee of the company. Note that Max Detweiler and Rolf will be associated with Elberfeld Developments Ltd even though they each hold less than 25% of the shares in the company.

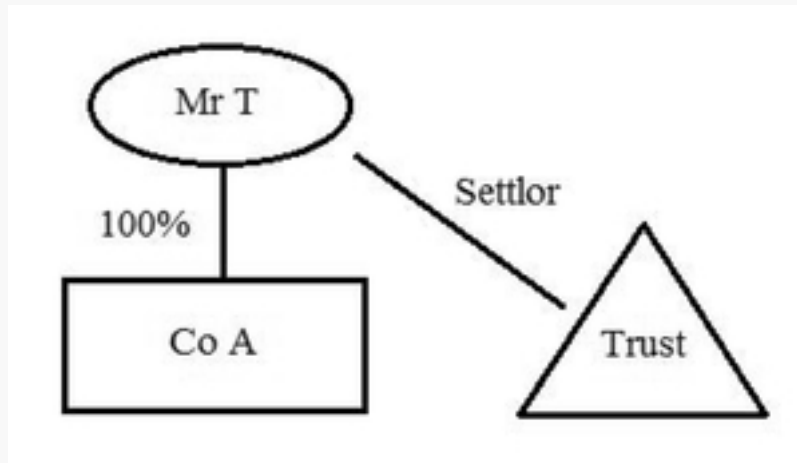
Under the aggregation rule, any person who is associated with Baron Elberfeld, Max Detweiler or Rolf under the other tests of association will be treated as holding their look-through interests in Elberfeld Developments Ltd. Note, however, that any such associated person will not be imputed with Baron Elberfeld's, Max Detweiler's or Rolf's status as a director or shareholder of the company. Accordingly, persons associated with Max Detweiler or Rolf will not necessarily be associated with Elberfeld Developments Ltd under s [YB 13](#). Such persons may, however, be associated with Elberfeld Developments Ltd under the tripartite test of association in s [YB 14](#).

Tripartite relationship — s YB 14

Two persons will be associated where they are each associated with the same third person. However, the test will only apply where each is associated with the same third person under a different test of association. In addition, an exception exists where the corporate tests of association apply, such that the test will not apply where the first person is associated with the third person under s [YB 2](#) and the third person is associated with the second person under s [YB 3](#).

Example:

Mr T owns 100% of the shares in Co A. Mr T also has a family trust of which he is the settlor.



The trust and Co A will be associated under the tripartite test. This is because they are both associated with a common third person, being Mr T. Co A is associated with Mr T under s [YB 3](#) because at least 25% of the shares in Co A are owned by Mr T. The trust is associated with Mr T under s [YB 8](#) because Mr T is the settlor of the trust. Therefore, Co A and the trust are associated under the tripartite test.

Law: IT07 ss [HC 27](#), [YB 1](#)–[YB 16](#)

Last reviewed on 31 December 2025

Nominees [¶7-435]

[¶7-435]

[Click to open document in a browser](#)

Any rights held or exercised by a nominee for another person are treated as if the person has held or exercised the rights and the nominee is ignored. A trustee is only a nominee if acting in the capacity of a bare trustee.

Example:

Agri-Co-One Ltd has 3 shareholders: Hewey, Dewey and Louie. The voting interest held in Agri-Co-One Ltd by each shareholder is 60%, 20% and 20% respectively. Agri-Co-Two Ltd has 4 shareholders: April, May, June and Hewey. The voting interest held in Agri-Co-Two Ltd by each shareholder is 30%, 20%, 15% and 35% respectively. June holds her shares in Agri-Co-Two Ltd as nominee for Hewey. Are Agri-Co-One Ltd and Agri-Co-Two Ltd associated persons?

Yes, Agri-Co-One Ltd and Agri-Co-Two Ltd are associated persons. This is because, in determining the voting interest held by each person in each company, the 15% voting interest held by June (the nominee) in Agri-Co-Two Ltd is attributed to Hewey (the other person). Therefore, Hewey holds a voting interest in Agri-Co-Two Ltd of 50%. The associated persons test is satisfied because Hewey has a voting interest in each company equal to 50% or more, see s [YB 2](#).

Law: IT07 s [YB 21](#)

Last reviewed on 31 December 2025

Relationship property transfer of land [17-440]

[17-440]

[Click to open document in a browser](#)

A settlement of relationship property is defined in s [FB 1B](#) to mean a transaction between parties to a relationship agreement that creates a disposal and acquisition of property under subpt [FB](#).

Section [FB 3](#) applies (for the purposes of ss [CB 6](#)–[CB 12](#), [CB 14](#), [CB 17](#), [CB 20](#), [CB 23](#)) when land is acquired under the conditions set out in any of those provisions and the land is transferred on a settlement of relationship property. Section [FB 3](#) stipulates that:

- # the transferor is treated as having disposed of the land for its cost price
- # the transferee is treated as having acquired the land for that cost price, and
- # the transferee is regarded as having acquired the land on the day the transferor acquired it.

A disposal under the above provisions includes a sale by a mortgagee where the transferee defaults under the mortgage (s [FB 5](#)).

For the purposes of s [CB 13](#), land that is in the course of a major development or division is treated as disposed of and acquired at a cost equivalent to market value of the land at the commencement of the scheme together with the transferor's accumulated costs (s [FB 4](#)).

Example:

In 2020, Mr TP acquired a block of land for \$100,000, and he spent \$20,000 in subdividing it. In 2021, the land was transferred to Mrs TP, pursuant to a settlement of relationship property. Mrs TP continued with the subdivision at a cost of \$70,000, and the land was sold for \$270,000. No tax liability arose in the hands of Mr TP, because the deemed sale price equalled the cost price plus capitalised expenses. The tax liability of Mrs TP would be calculated as follows:

		\$	\$
Proceeds of sale			270,000
Less	Cost price	100,000	
	Capitalised expenses	20,000	
	Further subdivision costs	70,000	
		190,000	190,000
Taxable income			80,000

The effect of these provisions is that the land is treated as having been transferred under the settlement of relationship property for its book value. As a consequence, no income will arise to the transferor. If the transferee later sells the land, any gain on sale is income in the hands of that person.

Bright-line test — residential land

Section [FB 3A](#) applies a similar provision for the purposes of the bright-line test in s [CB 6A](#) ([17-049](#)) and former s [CZ 39](#) ([17-050](#)) and the main home exclusion for the bright-line test in s [CB 16A](#) ([17-215](#)) and former s [CZ 40](#) ([17-220](#)) where residential land is transferred on a settlement of relationship property. No tax liability arises under the bright-line test for the transfer of the property under the relationship property agreement. The transfer is treated as a disposal and acquisition for the total cost of the land to the transferor at the date of transfer. The transferee is treated as having acquired the residential land on the date the transferor acquired it. However, the person to whom the relationship property has been transferred may be liable under the bright-line test for any subsequent disposal of the property.

Example:



(Note that as the land was acquired before 29 March 2018, the bright-line period is two years. For land acquired between 29 March 2018 and 26 March 2021, the bright-line period is five years, and the bright-line period increases to ten years for land acquired on or after 27 March 2021.)

Example taken from *Tax Information Bulletin* [¶281-115 Vol 28, No 1](#), February 2016 at 86.

Law: IT07 ss [FB 3A–FB 5](#)

Last reviewed on 31 December 2025

Close family relationships — land transactions under the 5-year bright-line test [¶7-445]

[¶7-445]

[Click to open document in a browser](#)

Land transactions involving family are not uncommon. Usually motivated by familial situations, tax implications may arise inadvertently. Below we discuss a number of common scenarios and the tax implications in regard to the 5-year bright-line test under s [CZ 39](#) relating to transfers of land that are not a main home.

Interpretation statement [IS 23/02](#) “Income Tax – Application of the s [CZ 39](#) 5 year bright-line test to certain family and close relationship transactions” considers how the 5-year bright-line test under s [CZ 39](#) applies to a number of family transactions. [IS 23/02](#) also contains a number of examples to illustrate the applications of the rules.

Parents assisting their children when buying a house

Transfer from parent to child

Parents may assist their children to purchase a house in a number of ways, including:

- # paying the initial deposit in full
- # paying part of the deposit amount
- # drawing down a mortgage on the property to pay the purchase price (partially or fully), either in their personal names or the name of a trust
- # buying the property in their/trust’s name and gifting the property to the child.

In all the above cases the parents, or trustee, name is on the title to support with financial security.

The property is eventually transferred from the parents to the child, with the value increasing in the intervening period. The Commissioner, in interpretation statement [IS 23/02](#), concludes that the bright-line test will apply to the following transfers of land:

- # a disposal from parents, as individuals, to their child
- # a disposal from a company (which is not a look-through company), where the parents are shareholders, to their child
- # a disposal from parents, as trustees of a trust, to their child who is a beneficiary of the trust.

If the disposal of residential land is for an amount less than market value, the Commissioner’s view is that s [GC 1](#) applies to deem the value to be market value.

The situation is legally different where the parent owns the land as bare trustee, or nominee.

Transfer from parents as bare trustee or nominee to child

Due to the underlying legal nature, a transfer from a parent as nominee to their child is ignored for tax purposes (s [YB 21](#)). This is because when a nominee (or bare trustee) holds land or anything else for someone, the nominee or bare trustee is merely holding title on the child’s behalf.

Consequently, when the nominee transfer the land to the child, it is not deemed a disposal of land. However, the Commissioner states at [144] in [IS 23/02](#) that if the parents have taken out a loan to acquire the land and have assumed personal obligations for the repayment of the mortgage, that there is an active duty on the parents and they are not acting as bare trustees in this case. The statement also adds that the Commissioner considers that parents who borrow funds to purchase a property for their child are not their child’s agents. They do not create or affect the child’s relationship with third parties (for example, the bank). They borrow funds and purchase the property in their own right, not on behalf of their child. In

these situations the transfer from parents to child will constitute a disposal for the purposes of s [CZ 39](#). The interpretation gives guidance on the deductions allowed to the parents on such disposals. See [146] and [147]. The interpretation statement contains a number of examples to illustrate the various scenarios involving nominees and bare trustees.

Transfer from company owned by parents to child

A transfer of residential land from a company (which has not elected to be treated as a look-through company), in which the parents are shareholders, to their child may also be subject to s [CZ 39](#) if transferred within 5 years of acquisition.

Transfer from family trust to child as beneficiary

A transfer of residential land from a trust where parents act as trustees to a child, who is a beneficiary of the trust, may also be subject to the bright-line test under s [CZ 39](#) (see Example 3 in [IS 23/02](#)).

Transfers of an interest in land to a new partner

An income tax liability may arise if a partner transfers a share of their residential land to their new spouse, civil union or de facto partner (“partner”), and results in them becoming co-owners of the land. A disposal takes place to the extent of the share that is transferred to the new partner. However, if the transfer takes place according to the terms of a settlement of relationship property, then s [FB 3A](#) applies and s [CZ 39](#) does not apply. Note that the land must have been acquired before 29 March 2018. See s [CZ 39\(1B\)](#).

Inherited land transferred between beneficiaries

The transfer by a beneficiary of land acquired under a will or the rules of intestacy to another beneficiary is not subject to the old bright-line test. See s [CZ 39\(7\)](#) read with s [FC 9\(2\)](#). Also see Example 8 in [IS 23/02](#).

The subsequent sale of inherited land by the beneficiary may be subject to the bright-line test if disposed of to a third party as the transaction does not fall under the protection of the inheritance provisions (see Example 9 in [IS 23/02](#)).

See [17-405](#) for further discussion on the tax treatment of land transferred on the death of a person.

Law: IT07 s [CZ 39](#)

Last reviewed on 31 December 2025

Land affected by Canterbury and Hurunui/Kaikoura earthquakes [¶7-450]

[¶7-450]

[Click to open document in a browser](#)

A number of provisions have been introduced to provide relief to those taxpayers who hold land and buildings as revenue account property that have been affected by the Canterbury and Kaikoura earthquakes.

Canterbury earthquakes

Rollover relief under s [CZ 25](#) may be available to a person whose land and buildings held on revenue account have been damaged by the Canterbury earthquakes. To take advantage of rollover relief the following must apply to the person before the 2024–25 income year:

the person receives:

an insurance or compensation payment in relation to revenue account land or buildings damaged by a Canterbury earthquake, and the damage causes the building to be useless for the purpose of deriving assessable income and is to be demolished or abandoned for later demolition, or

a payment from the Crown for the purchase of revenue account land or buildings under the government's "red zone compensation package", and

the person would have received an amount of income, under s [CB 6](#), [CB 7](#), [CB 12](#), [CB 13](#) or [CG 6](#), from the consideration, insurance or compensation for the affected property that exceeds the total amount of available deductions under ss [DB 23](#) and [DB 27](#) for the affected property, and

the person plans to acquire revenue account land or buildings to replace the affected property, and the property is acquired before the 2024–25 income year and is located in greater Christchurch, and

the person notifies the Commissioner.

When the above requirements are met, the person may effectively defer the income (suspended recovery income) that would otherwise arise pursuant to s [CB 6](#), [CB 7](#), [CB 12](#), [CB 13](#) or [CG 6](#).

Any suspended recovery income remaining becomes assessable income at the end of the 2023–24 income year. Assessable income also arises if a balance of suspended recovery income remains in an income year in which the person decides not to acquire replacement property or becomes bankrupt or goes into liquidation.

A further provision (s [CZ 26](#)) provides that assessable income under ss [CB 9–CB 12](#) and [CB 14](#) does not arise where land is purchased by the Crown under s 91, 103 or 104 of the Greater Christchurch Regeneration Act 2016 (prior to 19 April 2016, s 53(1), 54 or 55 of the Canterbury Earthquake Recovery Act 2011). This provision is intended to provide some relief for taxpayers whose land is purchased by the government under the "red zone compensation package". Section [CZ 26](#) applies from 4 September 2010. However, with effect from 27 February 2014, the section no longer applies to assessable income under s [CB 12](#).

Hurunui/Kaikoura earthquake

Section [CZ 25B](#) allows the owners of revenue account property that is land and buildings affected by the Hurunui/Kaikoura earthquake in November 2016 the same rollover treatment as set out above for the owners of property affected by the Canterbury earthquakes in 2010–2011. The provision applies for income years before the 2024–25 income year.

Law: IT07 ss [CZ 25](#), [CZ 25B](#), [CZ 26](#)

Last reviewed on 31 December 2025

Land affected by emergency events [¶7-451]

[¶7-451]

[Click to open document in a browser](#)

The Taxation (Annual Rates for 2024–25, Emergency Response, and Remedial Measures) Act 2025 introduced the below tax reliefs for damaged land and buildings following an emergency event.

Rollover relief for land and buildings held on revenue account

For land or buildings held as revenue account property that has been destroyed by an emergency event, the taxpayer can elect to treat the amount of compensation received for the property that exceeds the cost as not assessable upon receipt but as an item of suspended recovery income to be reduced by the cost of replacement assets (see ss [CC 2B](#) and [FP 5–FP 7](#)). IR must be notified for each income year in which suspended recovery income treatment is applied. See *Tax Information Bulletin* ¶1375-102 Vol 37, No 5, June 2025 at 14–16 for detailed commentary and example on this rollover relief.

Turning off bright-line and other timing land disposal tests

New s [FP 27](#) provides that the following land provisions will not apply when a damaged property is subject to a Crown or local-authority buy-out following an emergency event:

- # the new 2-year (s [CB 6A](#)) bright-line test
- # other land disposed of by a dealer in land within 10 years of acquisition (s [CB 9](#))
- # other land disposed of by a land developer within 10 years of acquisition (s [CB 10](#)), and
- # other land disposed of by a builder within 10 years of completing improvements (s [CB 11](#)).

Note a similar exemption applied for properties damaged by the North Island flooding events in 2023 (s [CZ 26B](#)).

Law: IT07 ss [CB 6A](#), [CB 9](#), [CB 10](#), [CB 11](#), [CC 2B](#), [CZ 26B](#), [FP 5](#), [FP 6](#), [FP 7](#), [FP 27](#)

Last reviewed on 31 December 2025

Property investment income [¶7-500]

[¶7-500]

[Click to open document in a browser](#)

A common use of land is to earn investment income in the form of rents. Generally, all receipts received are income and all expenses are allowed as a deduction. Any improvements made by a tenant are not taxable to the lessor as rent, nor are they deductible to the tenant.

In more detail, income from land encompasses all rents, fines, premiums or other revenue (including goodwill) derived by the owner of land from any lease, licence or other easement or the granting of rights to take profits from the land. An income-spreading provision for this type of income is described at [¶5-115](#).

Where a property is purchased for resale, any profit from rental income will be taxable. Expenses pending sale, such as insurance, rates or repairs and maintenance are deductible from the gross rental amount. Expenses applicable to the property should still be deductible even in the event that the property is temporarily vacant.

Law: IT07 s [CC 1](#)

Last reviewed on 31 December 2025

Tax treatment of forfeited deposits [¶7-510]

[¶7-510]

[Click to open document in a browser](#)

It is common for a deposit to be payable by the purchaser, on signature or within a short period of time thereafter, of a sale and purchase agreement for the purchase of land. The purpose of a deposit is to guarantee performance by the purchaser. On settlement the deposit is credited as part of the purchase price. If the purchaser defaults, the deposit may be forfeited. Such forfeited deposits are not income under the land taxing provisions as there is no disposal of land under the failed agreement. However, the amount of the deposit may be income to the seller under other provisions.

QWBA [QB 23/09](#) "Income tax – forfeited deposits on cancellation of land sale agreements" clarifies the Commissioner's view of the circumstances when a forfeited deposit from a cancelled land sale agreement is deemed to be income to the seller of the land.

The seller needs to consider whether the forfeited deposit may be taxable income in their hands. This will be the case when the deposit is:

- # business income to the seller (see s CB 1 and [¶5-172](#))
- # income derived from a profit-making scheme (see s [CB 3](#) and [¶5-192](#)), or
- # income under the ordinary concepts (see s [CA 1\(2\)](#) and [¶5-167](#)).

If the land subject to the sale and purchase agreement was part of the operational business, like for persons dealing in land, or incidental to that business, then the forfeited deposit will be business income. See [7]–[22] of [QB 23/09](#).

Example: Forfeited deposit as part of ordinary business

Instant Homes Ltd is a property developer. It regularly purchases land, builds houses or renovates existing properties for sale with the intention of making a profit. Recently the company purchased a property, built a home on it, and sold it to Mr. Brown. Mr. Brown paid a 10% deposit but was unable to pay the balance of the purchase price on settlement date. Instant Homes Ltd cancelled the agreement and retained the deposit. The forfeited deposit is business income to Instant Homes Ltd under s [CB 1](#). Instant Homes Ltd is in business and it derives the forfeited deposit from the business. The sale of the land is part of the ordinary business of Instant Homes Ltd and the receipt of the forfeited deposit is an amount which arises from that transaction. The possibility that the sale may fall through, and the deposit may be forfeited if Mr. Brown defaults is part of doing business as a property developer and a contemplated outcome of the transaction.

Example reproduced from [QB 23/09](#).

If a person is carrying out a profit-making undertaking or scheme, the amount of the forfeited deposit may be taxable income. There must be sufficient connection between the scheme and the deposit for this to be the case. See [23]–[29] of [QB 23/09](#).

Example: Forfeited deposit is income under a profit-making scheme

Conor is an accountant who lives in Auckland. In 2017 he purchased some bare land near Wanaka with the intention of building a home on it and moving there permanently. However, circumstances changed, and Conor decided to stay in Auckland. He decided to subdivide the Wanaka land into four lots, provide services to each property and do some work to make the sections attractive to potential purchasers who might like to build a home there. This included clearing the land, significant earthworks to construct building platforms, putting in driveways, fencing and letterboxes and grassing the land. Connor hired a project manager to arrange for the work to be done. The development was finished in early 2023 and Connor put the sections on the market. He received an unconditional offer from Ambrosia for one section and she paid a 10% deposit. However, Ambrosia changed her mind about building a home and did not pay the balance of the purchase price on settlement date. Conor cancelled the agreement and retained the deposit. The forfeited deposit is income to Connor from a profit-making scheme he is carrying on. He has a coherent plan to develop the land and sell it for a profit. The forfeited deposit is connected to the profit-making scheme – the fact that a sale might not be completed is a contemplated outcome of the scheme and the contract of sale provides for it. As income under s [CB 3](#) the forfeited deposit will contribute to any taxable profit arising from that scheme.

Example reproduced from [QB 23/09](#).

Alternatively, the amount may be income under the ordinary concepts which is a very broad general provision that considers all the facts and circumstances around the forfeiture of the deposit. See [30]–[47] of [QB 23/09](#). The item also contains a number of examples illustrating the Commissioner's view of when a forfeited deposit will be taxable income under the ordinary concepts of income. One of the examples relates to a forfeited deposit on a sale subject to the bright-line test. The Commissioner views the deposit as taxable, despite the sale not proceeding.

Law: IT07 ss [CA 1](#), [CB 1](#), [CB 3](#), [CB 6A–CB 23B](#), CZ 39, CZ40

Last reviewed on 31 December 2025

Structuring borrowings for rental accommodation [¶7-521]

[¶7-521]

[Click to open document in a browser](#)

Note: Interest incurred on loans for residential rental properties have limited deductible from 1 October 2021 to 31 March 2025 under the interest limitation rules. The ability to deduct interest expenses on residential rental properties was disallowed unless it applies to “grandparented” loans. Deductibility for interest on these loans was being reduced on a sliding scale depending on the tax year in which the interest was incurred ([¶10-814](#)). From 1 April 2025 interest will again be deductible in relation to residential rental properties.

It is important for persons seeking to deduct interest costs on rental property to structure their borrowings carefully. Interest may be deductible providing the property is used for deriving rental income, is not a disallowed residential property, and the objective of achieving a capital gain on sale does not prevent that result ([¶10-650](#)). There have been a number of historical tax cases on this point. See Case R8 ([1994](#)) [16 NZTC 6,049](#), Case S17 ([1995](#)) [17 NZTC 7,127](#), Case S87 ([1996](#)) [17 NZTC 7,545](#) and Case T16 ([1997](#)) [18 NZTC 8,095](#). All these cases were decided when the tax laws around borrowing for rental properties were quite different. At all times, when structuring borrowings, the general anti-avoidance provisions should be considered to ensure that the proposed arrangement does not fall foul of the rules.

In public binding ruling [BR Pub 12/03](#) “Deductibility of break fee paid by a landlord to exit early from a fixed interest rate loan on sale of rental property”, the Commissioner states the repayment of the loan will trigger a base price adjustment under the financial arrangements rules. The amount of the break fee is included as part of the “consideration” in the base price adjustment formula. A negative base price adjustment is deemed to be interest expenditure. Companies may be entitled to an automatic deduction under s [DB 7](#) of the IT07. For those taxpayers who do not qualify for an automatic deduction, a deduction will be permitted under ss [DB 6](#) and [DA 1](#) (the general permission) ([¶10-190](#)).

Last reviewed on 31 December 2025

GST and rental accommodation [¶7-522]

[¶7-522]

[Click to open document in a browser](#)

The letting out of a residential property is an exempt supply for GST purposes ([¶32-052](#)). Consequently, no GST may be charged on the rent, or claimed on the purchase price of the dwelling or the ongoing rental costs (such as repairs and maintenance).

Property supplied by lease that is to be used for the principal purpose of residential accommodation is also exempt from GST.

The exemption for residential accommodation does not extend to homestays, farmstays, bed-and-breakfast establishments and serviced apartments as these types of accommodation are included in the definition of “commercial dwelling”. Also see [¶32-640](#) for commentary regarding the electronic marketplace rules for “listed services” including taxable supplies of accommodation (for example on AirBnB).

The GST issues on renting dwellings change when a person buys a house for development and rents the house out as an interim measure. In this case, the GST input tax can be claimed on the purchase (including by way of a secondhand goods credit if the vendor is not GST-registered). However, adjustments will be required where the house is used concurrently for a taxable and non-taxable purpose ([¶32-088](#)).

Last reviewed on 31 December 2025

GST on land transactions [¶7-530]

[¶7-530]

[Click to open document in a browser](#)

For full discussion of GST in relation to land transactions, including:

- # time of supply
- # long-term settlement
- # zero-rating rules
- # invoices, payment and real property transactions
- # transactions between associated persons
- # mortgagee sales, going concerns
- # recovery of GST — sale and purchase agreement
- # GST and local authority rates,

please refer to [¶32-500](#) – [¶32-590](#).

Last reviewed on 31 December 2025

Bright-line test — rollover relief before 1 July 2024 [¶7-540]

[¶7-540]

[Click to open document in a browser](#)

Note: This commentary covers the position relating to the rollover relief under the bright-line test applicable to residential land transfers from 1 April 2022 and before 1 July 2024.

Certain land transactions are subject to rollover relief under the bright-line test. Under the bright-line test ([¶7-049](#) and [¶7-050](#)) when land is gifted or disposed of for below market value, the law deems the gross income from the disposal to be the market value of the land. However, it was recognised that in some circumstances the disposal transaction may not be the appropriate taxing point and that ignoring the disposal transaction is justified for the purposes of the bright-line test. Alternatively, there may be justification for partial relief by limiting the value of the deemed disposal so that the transaction is taxed based on the actual amount of consideration rather than market value. In both situations the bright-line date is not reset for the parties to the transaction. Put another way, the bright-line period does not start again.

Rollover relief is not an exemption from income tax. It defers the taxing point to a later disposal of the land. The recipient of the land is deemed to step into the shoes of the transferor and the original date of acquisition applies to the recipient, along with the cost base of the transferor.

Where residential land is transferred in a number of contexts, the transfer is treated as being at cost to the transferor (or at the amount paid by the transferee, if that is greater). The transferor is treated as having disposed of the residential land for that consideration and the transferee is treated as having acquired the residential land for the same amount.

If a rollover relief provision applies to a transfer of residential land, the recipient of the land is subject to the same bright-line test as the transferor was (that is, either the 2-year, 5-year or 10-year bright-line test).

Generally, rollover relief applies to transfers of residential land on or after 1 April 2022 and this commentary covers the rules before 1 July 2024. For detailed commentary on the rollover relief applicable after 1 July 2024, see [¶7-545](#).

Amalgamations

Under the bright-line test there is rollover relief for amalgamations (former s [FO 10\(6\)](#)). This rollover relief extends the existing rollover relief for amalgamations to property that is revenue account property of an amalgamating company due to the application of the bright-line test ([¶20-108](#)).

Family trusts

Rollover relief applies to transfers to and from a family trust that is considered a “rollover trust” on or after 1 April 2022, provided certain criteria are met (former s [CB 6AB](#)).

Key definitions

The definition of “rollover trust” is, at the time of a relevant transfer (former s [CB 6AB\(5\)](#)):

- # all principal settlors are beneficiaries
- # all principal settlors are close family associates, and
- # all beneficiaries are close family beneficiaries.

A “principal settlor” is defined under s [YA 1](#) as a settlor whose settlements for a trust are the greatest by market value, or greatest in equal share where there is more than one settlor.

Two persons are “close family associates” if one or more of the following applies (former s [CB 6AB\(7\)](#)):

- # they are within 4 degrees of blood relationship

- # they are married, in a civil union, or in a de facto relationship, or
- # one person is within 4 degrees of blood relationship to the other person's spouse, civil union partner, or de facto partner.

For the relevant trust, “close family beneficiary” is defined as a beneficiary that is at least one of the following (former s [CB 6AB\(6\)](#)):

- # a principal settlor
- # a close family associate of another beneficiary who is also a principal settlor
- # a trustee of another trust, if at least one beneficiary of the other trust is a close family associate of a beneficiary of the relevant trust
- # a charity registered under the Charities Act 2005
- # any association, club, institution, society, organisation, or trust not carried on for the private profit of any person whose funds are applied wholly or principally to any civic, community, charitable, philanthropic, religious, benevolent, or cultural purposes, whether in New Zealand or elsewhere, and in the case of it having one principal settlor only, the trust has one or more beneficiaries who are close family associates of the principal settlor
- # from 1 March 2023, a company in which a 50% or more voting interest (or a market value interest of at least 50%, if a market value circumstance exists) is owned by a beneficiary that is a principal settlor or a close family associate of another beneficiary that is a principal settlor.

Transfers to family trusts

For transfers of residential land to a family trust on or after 1 April 2022, rollover relief applies when at the time of transfer, all of the following criteria are satisfied (former s [CB 6AB\(1\)\(a\)](#)):

- # the relevant trust is a rollover trust
- # each transferor is both a settlor and a beneficiary of the trust
- # at least one of the transferors is a principal settlor of the trust.

Transfers from family trusts

Rollover relief applies to a transfer of residential land, or disallowed residential property, out of a family trust either back to the principal settlor or the group of settlors that originally transferred the land to the trust (provided that, for a group, at least one of the settlors is a principal settlor), even if the settlor(s) is not an “original settlor” (as was required by the originally enacted provisions, but changed with retrospective effect).

For transfers of residential land from a family trust on or after 1 April 2022, there are 2 separate tests for determining whether rollover relief applies.

The first test is relevant when the transferees had originally transferred land to the family trust (former s [CB 6AB\(2\)\(a\)](#)). Under this test, rollover relief applies when at the time the trustee transfer the land to the transferees:

- # the trust is a rollover trust
- # all transferees are beneficiaries of the trust
- # at least one of the transferees is a principal settlor of the trust, and
- # if there is more than one transferee, the transferees acquired proportionally the same amount of land they originally transferred to the trust.

From 29 March 2024, former s [CB 6AB\(2B\)](#) applies to modify the proportionality requirement in the first test above for when a settlor who had previously transferred the land to the trustee dies. This means the proportionality requirement is met and rollover relief still applies, provided that the transferees receive at least the same proportion of the land back from the trustee as they had previously transferred. See example in *Tax Information Bulletin* [1364-102d Vol 36, No 4](#), May 2024 at 104 to demonstrate the application of the rules in a scenario involving land transferred back to surviving settlors.

Resettlements of family trusts

Rollover relief applies in resettlements where trustees transfer land to a new trust. Rollover relief is available when residential land or disallowed residential property held in a qualifying family trust is resettled onto another family trust, provided certain conditions were met.

To qualify for the rollover relief, both trusts must be rollover trusts, and either (former s [CB 6AB\(1\)\(b\)](#)):

- # the trust receiving the residential land or disallowed residential property has the same beneficiaries as the head trust (that is the trust from which the land is transferred as part of the resettlement), or
- # all natural person beneficiaries are either the same, or close family associates of a principal settlor of the head trust.

The rollover trust receiving the settlement of land may not necessarily have the same beneficiaries as the head trust. However, provided the above conditions are met, this would not preclude the resettlement from qualifying for rollover relief. For example, if an additional generation is added to the resettled trust's beneficiaries, rollover relief would still be available if the close family beneficiary requirements were satisfied. Rollover relief can apply even if the principal settlor of the head trust is deceased.

Māori family trusts

Former s [CB 6AC](#) provides rollover relief under the bright-line test for transfers of residential land to or from a "Māori rollover trust" occurring on or after 1 April 2022.

A "Māori rollover trust" means at the time of a relevant transfer (former s [CB 6AC\(4\)](#)):

- # all beneficiaries of the trust are members of the same iwi or hapū, or descendants of the same tūpuna (living or dead), and
- # the land in question is subject to Te Ture Whenua Māori Act 1993.

A "Māori trustee" is defined as a trustee of a trust that is either a Māori authority or eligible to elect to be a Māori authority (former s [CB 6AC\(5\)](#)).

Transfers to Māori family trusts

When residential land is transferred to the trustee of a Māori rollover trust, rollover relief applies if (former s [CB 6AC\(1\)\(a\)](#)):

- # the transferors are settlors of the trust, and
- # at the time they transfer the land to the trustee, they are also beneficiaries of the trust.

Transfers from Māori family trusts

Rollover relief is available for when trustees of a Māori family trust transfer residential land back to the settlors, provided that the settlors are beneficiaries of the trust. As with the rules for family trusts, the proportional ownership interest must be the same as prior to the original settlement. In this case, rollover relief applies when (former s [CB 6AC\(2\)](#)):

- # the trust is a Māori rollover trust
- # the transferees acquire proportionally the same amount of land they had transferred to the trustees, and
- # all transferees are settlors of the trust.

Similar to the rollover relief for family trusts above (former s [CB 6AB\(2B\)](#)), from 29 March 2024, former s [CB 6AC\(2B\)](#) applies to modify the proportionality requirement for when a settlor who had previously transferred the land to the Māori trustee dies. This means the proportionality requirement is met and rollover relief still applies, provided that the transferees receive at least the same proportion of the land back from the Māori trustee as they had previously transferred.

Transfers to or from different capacity

For the purposes of the 2 types of transfers involving Māori rollover trusts, former s [CB 6AC\(3\)](#) provides that the transferors and transferees may have different capacities. For example, a transferee may be a settlor of the trust in their personal capacity and be a beneficiary as an LTC owner, or they may have transferred the land to the trust in their personal capacity and acquire it back from the trust as a partner in a partnership.

Resettlements

Former s [CB 6AC\(1\)\(b\)](#) provides similar rollover relief for resettlements of Māori rollover trusts as those afforded to family trust resettlements. In this case, rollover relief applies if all the beneficiaries of the resettled trust are the same as for the first trust and this includes the situation where one of the settlors of the first trust is deceased.

Look-through companies

Due to the look-through nature of LTCs, relief applies to transfers of residential land to or from an LTC (former s [CB 6AB\(4\)](#)). The rules are intended to apply where each person transferring residential land to the LTC or acquiring it from the LTC has the same ownership interest in the land before and after the transfer. No intervening transfer to a third party may take place.

In these cases, the person's bright-line acquisition date for when the land is ultimately disposed of to a third party is the bright-line acquisition date they first had for the land.

Rollover relief applies to transfers that are effected on or after 1 April 2022.

Note that former s [CB 6AB\(8\)](#) provides that rollover relief does not apply when shares in an LTC are transferred to a rollover trust. Rollover relief also does not apply when LTC shares are transferred back to an original settlor.

Partnerships

Rollover relief applies to transfers of residential land to or from a partnership (former s [CB 6AB\(4\)](#)). The relief applies where each partner transferring land to, or acquiring land from the partnership, has the same ownership interest proportion before and after the transfer.

The original bright-line acquisition date will apply when the residential land is eventually disposed of to a third party.

Rollover relief applies to transfers that are effected on or after 1 April 2022.

Cost of land subject to rollover relief

Full rollover relief is only available for the transactions discussed above when the transfer is made for an amount of consideration that is less than or equal to the total cost of residential land to the transferor. When this is the case, rollover relief will deem the transfer to be at cost.

Partial rollover relief applies if the transfer is for an amount that is more than the transferor's cost but less than market value of the land at date of transfer. Partial relief deems the cost to be the amount of consideration paid, rather than deeming the transfer to take place at cost or market value. See former ss [FC 9B](#) and [FC 9C](#).

Irrespective of whether the transaction qualifies for full or partial rollover relief, the recipient is treated as having the same bright-line acquisition date as the transferor. The effect is that the bright-line start date is not reset by the transfer.

Where partial relief applies and where more than cost is paid for the transfer, the excess gain is taxable income under the bright-line test.

Companies within a consolidated group

Transfers of residential land between companies within a wholly-owned group of companies, consolidated for tax purposes, also qualify for rollover relief. The commencement of the bright-line period is not reset when residential land is transferred between consolidated companies. Rollover relief applies irrespective of consideration for the transfer.

Changes in co-ownership

Remedial amendments ensured that transfers of residential land that effect changes in co-ownership do not reset the bright-line commencement date. The date of acquisition will remain the same as long as there is no change to the person's proportional, or notional proportional, ownership. The remedial amendments apply to all residential land transactions, not just those that qualify for rollover relief.

It is possible for a person to hold land jointly in several different ways, for example under joint tenancy, as tenants in common, in partnership with other persons or in capacity as a trustee. A person can transfer land to themselves by changing the form of co-ownership, or transferring the land from co-ownership to sole ownership, and vice versa. For a discussion on the effect of changes to co-ownership under the land disposal rules, see [¶7-300](#).

For the purposes of the bright-line rules, while registration of a transfer instrument has the effect of changing the legal form of co-ownership, it does not necessarily result in a disposal. Generally, registration triggers the start date of the bright-line period. To remedy this issue, former ss CB 6A(5B) and CB 6A(5C) provide that as long as the economic ownership of the land has not changed, the bright-line start date is not reset by the transfer.

When joint tenancy is converted to tenants in common, former s CB 6A(5B) provides that to the extent that the residential land is held as tenants in common in equal shares to the all joint owners, and previously the land was held in equal nominal shares, the bright-line test acquisition date is the date the joint tenancy was acquired.

Where the transfer results in a change in the co-ownership proportion the bright-line test acquisition date reset only applies to the ownership share that has changed hands, for example where the co-ownership changed from 50:50 to 75:25, the bright-line test reset would apply to the newly acquired 25% share transferred. See former s CB 6A(5D).

Transfers involving a Treaty of Waitangi claim

Settlements under the Treaty of Waitangi can be a multi-staged process. The Crown transfers the land to a single governance entity that may act on behalf of several different claimant groups (usually different hapū or a collective of iwi groups). The governance entity then transfers the settlement assets, including residential land, to different members of the claimant group in accordance with the deed of settlement or the settlement legislation.

Previously there was reduced risk of the bright-line test being triggered under the 2-year bright-line test, or the 5-year bright-line test, but under the 10-year bright-line test there is a greater risk. Therefore, former s [CB 6AE](#) applies to provide rollover relief when:

- # the land is subject to the Treaty of Waitangi, and
- # is transferred to a trustee of a trust who:
 - # is a Māori authority (or eligible to be a Māori authority), and
 - # on behalf of the claimants, receives and manages assets that are transferred from the Crown as part of the settlement of a claim under the Treaty of Waitangi, in accordance with the requirements of s [HF 2\(3\)\(e\)\(i\)](#).

The rollover relief applies to the transfer of the residential land to a member of the claimant group. The recipient trustee has the transferor's acquisition date.

The transfer of residential land in settlement of a Treaty of Waitangi claim may be treated by the transferee as an acquisition at market value for bright-line test purposes (former s [FC 9D](#)).

Subsequent disposal of a Treaty of Waitangi settlement

A person who subsequently disposes of residential land the person acquired in settlement of a Treaty of Waitangi claim may have income under the bright-line test. To calculate the amount of the income, the cost of the residential land is taken to be market value of the land at the time it was transferred from the Crown to the person (former s [FC 9D](#)).

Law: IT07 former ss CB 6A(5B), (5C), (5D), (7), (7B), (7C), (15), CB 6AB, [CB 6AC](#), [CB 6AE](#), CZ 39(5B), (5C), (5D), (6B), (6C), (6D), [FC 9B](#), [FC 9C](#), [FC 9D](#), [FM 15\(2B\)](#), [FO 10\(6\)](#), [YA 1](#) ("principal settlor")

Last reviewed on 31 December 2025

Bright-line test — rollover relief on or after 1 July 2024 [¶7-545]

[¶7-545]

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Note: This commentary covers the position relating to the rollover relief under the bright-line test applicable to residential land transfers occurring on or after 1 July 2024.

In 2024, the bright-line test has been simplified by returning to the 2-year bright-line test for disposal of residential land occurring on or after 1 July 2024. The scope of the rollover relief under the bright-line test has also been simplified and widened for transfers of residential land on or after 1 July 2024.

Where rollover relief applies, the transfer is treated as being at cost to the transferor (or at the amount paid by the transferee, if that is greater). The transferor is treated as having disposed of the residential land for that consideration and the transferee is treated as having acquired the residential land for the same amount.

If a rollover relief provision applies to a transfer of residential land, the transferee's bright-line date is deemed to be the same as that of the transferor (s [FD 1\(3\)](#)). However, a transitional rule applies if the transferor acquired the land before 1 July 2024 and the transferee's bright-line start date is the transferor's bright-line date if the transferor acquired the land on or after 27 March 2021 but before 1 July 2024, or 27 March 2021 if the transferor acquired the land prior to 27 March 2021.

The new rollover relief applies to transfers of residential land on or after 1 July 2024.

Transfers between associated persons

From 1 July 2024, rollover relief applies to:

- # all transfers between persons associated under any of ss [YB 2](#) to [YB 13](#), provided they have been associated for at least 2 years prior to the transfer (s [FD 1\(a\)](#)), or

- # a transfer to a trustee of a newly established trust if all the beneficiaries are (s [FD 1\(b\)](#)):

- # persons that have been associated with the transferor for at least 2 years (other than infants less than 2 years old and persons that are associated due to a recent marriage, civil union, defacto relationship or adoption), or

- # charities, meaning organisations including trusts not carried on for the private profit and whose funds are applied principally for civic, philanthropic, charitable, religious, community or like purposes in New Zealand or elsewhere.

If rollover relief applies, the transferor is treated as transferring the residential land at cost meaning the transferee takes on the transferor's bright-line acquisition date and cost base (ss [FD 1\(2\)](#) and [FD 1\(3\)](#)).

For the purposes of the main home exemption under s [CB 16A](#), the transferor's use of the residential land is attributed to the transferee (s [FD 1\(4\)](#)). For example, if the transferor used the land as a main home for one year, this is attributed to the transferee and can be taken into account when the transferee subsequently sells the land.

A discussion on the persons associated under the land provisions can be found at [¶7-433](#).

Limitation on rollover relief

There is a limitation on the number of times rollover relief under s [FD 1](#) can be applied to a property, that is, for the relevant residential land, rollover relief can only be claimed under the associated person provision once in any 2-year period (s [FD 1\(5\)](#)).

Māori family trusts

Section [FD 2](#) provides rollover relief under the bright-line test for transfers of residential land to or from a “Māori rollover trust” occurring on or after 1 July 2024.

A “Māori rollover trust” means at the time of a relevant transfer (s [FD 2\(5\)](#)):

- # a trustee of the trust is a Māori authority or eligible to elect to be a Māori authority
- # all beneficiaries of the trust are members of the same iwi or hapū, or descendants of the same tūpuna (living or dead), and
- # the land in question is subject to Te Ture Whenua Māori Act 1993.

Where rollover relief applies, the transferor is treated as transferring the residential land at the greater of cost or the actual amount paid by the transferee, and the transferee takes on the transferor's bright-line acquisition date (ss [FD 2\(3\)](#) and [FD 2\(4\)](#)).

The table under s [FD 2\(1\)](#) summarises when rollover relief applies for transfers involving Māori rollover trusts. Further, s [FD 2\(2\)](#) provides that the transferors and transferees may have different capacities.

Transfers involving a Treaty of Waitangi claim

Settlements under the Treaty of Waitangi can be a multi-staged process. The Crown transfers the land to a single governance entity that may act on behalf of several different claimant groups (usually different hapū or a collective of iwi groups). The governance entity then transfers the settlement assets, including residential land, to different members of the claimant group in accordance with the deed of settlement or the settlement legislation.

Section [FD 3](#) applies to provide rollover relief for transfers of residential land when:

- # the land is subject to Te Ture Whenua Māori Act 1993
- # the land is subject to the Treaty of Waitangi, and
- # is transferred to a trustee of a trust who:
 - # is a Māori authority (or eligible to be a Māori authority), and
 - # on behalf of the claimants, receives and manages assets that are transferred from the Crown as part of the settlement of a claim under the Treaty of Waitangi, in accordance with the requirements of s [HF 2\(3\)\(e\)\(i\)](#).

The rollover relief applies to the transfer of the residential land to a member of the claimant group. The recipient trustee has the transferor's acquisition date. The transferor is treated as transferring the land at the greater of the cost or the actual consideration derived (s [FD 3\(2\)](#)). The transfer may be treated by the transferee as an acquisition at market value for bright-line test purposes (s [FD 3\(3\)](#)).

Subsequent disposal of a Treaty of Waitangi settlement

A person who subsequently disposes of residential land the person acquired in settlement of a Treaty of Waitangi claim may have income under the bright-line test. To calculate the amount of the income, the cost of the residential land is taken to be market value of the land at the time it was transferred from the Crown to the person.

Cost of land subject to rollover relief

Full rollover relief is only available for the transactions discussed above when the transfer is made for an amount of consideration that is less than or equal to the total cost of residential land to the transferor. When this is the case, rollover relief will deem the transfer to be at cost.

Partial rollover relief applies if the transfer is for an amount that is more than the transferor's cost but less than market value of the land at date of transfer. Partial relief deems the cost to be the amount of consideration paid, rather than deeming the transfer to take place at cost or market value. See ss [FC 9B](#) and [FC 9C](#).

Irrespective of whether the transaction qualifies for full or partial rollover relief, the recipient is treated as having the same bright-line acquisition date as the transferor. The effect is that the bright-line start date is not reset by the transfer.

Where partial relief applies and where more than cost is paid for the transfer, the excess gain is taxable income under the bright-line test.

Companies within a consolidated group

Transfers of residential land between companies within a wholly-owned group of companies consolidated for tax purposes also qualify for rollover relief. The commencement of the bright-line period is not reset when residential land is transferred between consolidated companies (s [FM 15\(2B\)](#)). Rollover relief applies irrespective of consideration for the transfer.

Amalgamations

Under the bright-line test there is rollover relief for amalgamations (s [FO 10\(6\)](#)). This rollover relief extends the existing rollover relief for amalgamations to property that is revenue account property of an amalgamating company due to the application of the bright-line test ([120-108](#)).

Changes in co-ownership

Remedial amendments ensured that transfers of residential land that effect changes in co-ownership do not reset the bright-line commencement date. The date of acquisition will remain the same as long as there is no change to the person's proportional, or notional proportional, ownership. The remedial amendments apply to all residential land transactions, not just those that qualify for rollover relief.

It is possible for a person to hold land jointly in several different ways, for example under joint tenancy, as tenants in common, in partnership with other persons or in capacity as a trustee. A person can transfer land to themselves by changing the form of co-ownership, or transferring the land from co-ownership to sole ownership, and vice versa. For a discussion on the effect of changes to co-ownership under the land disposal rules, see [17-300](#).

Where the transfer results in a change in the co-ownership proportion, the bright-line test acquisition date reset only applies to the ownership share that has changed hands, for example where the co-ownership changed from 50:50 to 75:25, the bright-line test reset would apply to the newly acquired 25% share transferred (s [CB 6A\(3\)](#)).

Questions we've been asked issued

QWBA [QB 25/15](#) "How do the bright-line rollover relief provisions apply to transfers of residential land between associated persons?" covers the rules relating to transfers of land after 1 July 2024 and sets out the Commissioner's view of how the new rules apply. Two categories of transfers are discussed:

- # transfers of residential land between persons who have been associated for at least 2 years before the transfer date and at the date of transfer (s [FD 1\(1\)\(a\)](#))
- # transfers of residential land to a trustee of which all beneficiaries are either:
 - # associated at date of transfer (and have been associated in the 2 years prior to the transfer date), or
 - # a charitable organisation.

If the above criteria are met, rollover relief applies for the purpose of the bright-line test and:

- # the transfer is treated as a disposal and acquisition for an amount equal to the transferor's cost
- # the transferee's bright-line start date for the land is the transferor's bright-line start date, and
- # the transferor's use of the residential land is attributed to the transferee in determining whether the main home exclusion applies.

Law: IT07 ss [CB 6A\(5\)](#) , [CB 6A\(6\)](#), [FD 1](#), [FD 2](#), [FD 3](#), [FM 15\(2B\)](#), [FO 10\(6\)](#), [YB 2](#), [YB 3](#), [YB 4](#), [YB 5](#), [YB 6](#), [YB 7](#), [YB 8](#), [YB 9](#), [YB 10](#), [YB 11](#), [YB 12](#), [YB 13](#)

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